

UNITED STATES: A DROP OF OIL IN THE TREASURIES MARKET'S GEARS

Céline Choulet

The US regulatory framework is becoming more favourable to intermediation conditions within the US Treasuries market. The easing of leverage requirements has enabled the largest banks, known as Global Systemically Important Banks, or G-SIBs, to fulfil their role as intermediaries during the first months of the year. The ongoing reassessment of the G-SIB capital surcharge calculation method could also benefit market liquidity. However, the capacity of large US banks to absorb federal debt is expected to remain limited.

THE LEVERAGE STANDARD ONCE AGAIN ACTS AS A BACKSTOP

In 2025, the need to recalibrate the enhanced Supplementary Leverage Ratio (eSLR) imposed on Global Systemically Important Banks (G-SIBs) became a priority for US regulators¹. The constraints on balance sheets were, in fact, on the verge of becoming more binding than the risk-weighted capital requirements (see box). It risked preventing, or even discouraging, certain major banks from fulfilling their role as intermediaries in the Treasury market. This was an undesirable situation under normal circumstances and even more so during periods of stress.

Last November², the enhanced Supplementary Leverage Ratio (eSLR) requirement was aligned with the Basel recommendation, set at 3% plus a buffer equal to 50% of the G-SIB surcharge calculated according to the Financial Stability Board's Method, referred to as "Method 1" in the US regulatory framework³. The effective date of this new eSLR rule was set for 1 April 2026 (the legal deadline). However, due to the introduction of a relaxation, banks were permitted to apply it early, starting on 1 January 2026. Under the new formula, the eSLR requirements for the eight largest US banks (the G-SIBs) now range from 3.5% to 4.25%, compared to the previous uniform requirement of 5%. The buffer imposed on their depository institution subsidiaries (in addition to the

basic 3% requirement) has been capped at 1%, ensuring that their eSLR requirements cannot exceed 4%. This places them within a range of 3.5% to 4%, down from the previous uniform requirement of 6%.

The eSLR requirement for the eight G-SIBs is now less binding than their riskweighted requirements (Chart 1, left-hand panel). In other words, the amount of Tier 1 capital needed to satisfy the eSLR is lower than that required by the riskweighted requirement. At the consolidated level, this allows every GSIB to increase its balance sheet in favour of riskfree assets without the need to raise additional Tier 1 capital. Consequently, the eSLR requirement is no longer considered "binding".

A MORE FLEXIBLE REGULATION IN FAVOUR OF TREASURY MARKET LIQUIDITY

The relaxed leverage requirements achieved the outcome regulators had hoped for: intermediation conditions in the Treasury market improved during the first months of the year. Against a backdrop of heightened uncertainty due to the Iran conflict, major banks were able to absorb a portion of Treasuries that had no buyers. This is reflected in the rising net positions of primary dealers, predominantly GSIB subsidiaries, which reached 1.8% of the outstanding federal debt in March and April, the highest level since the 2008 financial crisis (Chart 2).

Definitions of capital requirement

Banks are subject to various capital requirements; some rules are risk-weighted, while others are not.

The risk-weighted Tier 1 requirement compels banks to mobilise sufficient core capital based on the risks (credit, counterparty, market and operational risks) associated with their exposures. The Tier 1 capital ratio is the ratio of Tier 1 capital to risk-weighted assets.

Conversely, the leverage requirements are non-risk-weighted capital requirements. Their purpose is to ensure that a bank's assets or commitments, regardless of the risks associated with them, do not exceed a specific multiple of its capital. As a result, US Treasury securities, although considered «safe» assets with a zero risk-weighting for risk-weighted capital ratio calculations, are fully accounted for in the exposure calculations (the denominator of leverage ratios) just like any other asset, including those that are highly risky. A leverage ratio limits the size of bank balance sheets. Its calibration should enable it to function as an extreme limit (safety net) rather than a permanent constraint. Otherwise, it could become the decisive factor in portfolio choices, incentivising banks to favour riskier, more capital-intensive, yet more profitable assets.

All US banking institutions are subject to a simple leverage requirement (Leverage Ratio, LR), which compares Tier 1 capital to average on-balance sheet assets. The largest banks (those with consolidated assets exceeding USD 250 bn or with at least USD 75 bn in non-bank assets, short-term market debt, or off-balance-sheet exposures) and their depository institution subsidiaries are also subject to the Basel leverage rule (Supplementary Leverage Ratio, or SLR). This rule compares Tier 1 capital to leverage exposure, which includes all on-balance-sheet assets (in accordance with applicable accounting rules, excluding derivatives and securities financing transactions recorded at gross value) and a reduced measure of off-balance-sheet commitments. The SLR requirement for the eight G-SIBs is stricter and is referred to as the enhanced Supplementary Leverage Ratio (eSLR).

¹ See [The US Treasuries market, an idol with feet of clay: Oiling the wheels](#).

² [Federal Reserve Board - Agencies issue final rule to modify certain regulatory capital standards](#).

³ In the United States, the capital surcharge imposed on GSIBs is determined using two methods: the Financial Stability Board's approach ("Method 1") and the Federal Reserve's approach ("Method 2"). The more stringent of the two (typically Method 2) is used to set the overall riskweighted capital requirement. The outcome of Method 1 is now used to set the eSLR requirement.

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The leverage ratio eSLR is once again acting as a backstop for the 8 G-SIBs

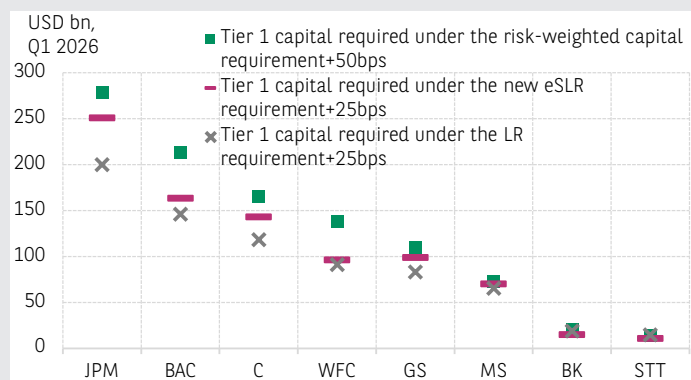
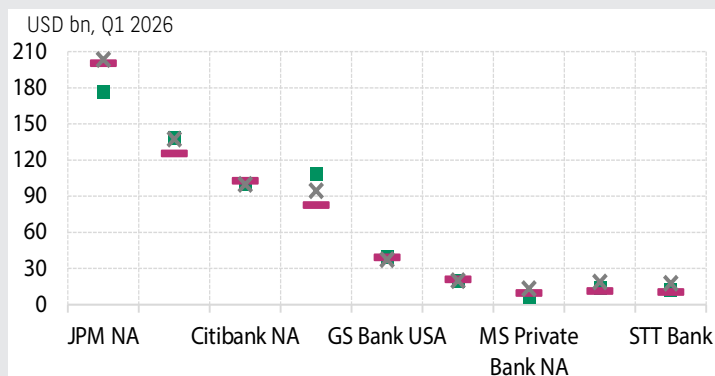


CHART 1

The chart shows the Tier 1 capital amounts required to meet various solvency benchmarks. Left-hand panel: for the eight G SIBs, the risk weighted Tier 1 requirement (plus a 50 basis point safety margin) is stricter than the leverage standards LR and eSLR (both plus a 25 basis point safety margin). The eSLR leverage standard is more binding than the LR leverage standard for six of the eight G SIBs. Right-hand panel: with the exception of Wells Fargo Bank NA, the major deposit-taking subsidiaries of the G SIBs are mainly constrained by leverage standards. The eSLR standard exceeds the risk weighted T1 requirement for four of the nine major subsidiaries and is practically equivalent for three others. The LR standard is more binding than the eSLR standard for six subsidiaries and slightly less binding for the remaining three.

... but remains binding for their major deposit-taking subsidiaries



SOURCE: FINANCIAL REPORTS, S&P CAPITAL IQ, BNP PARIBAS

Primary dealers' Treasury inventories reach their highest level since 2008

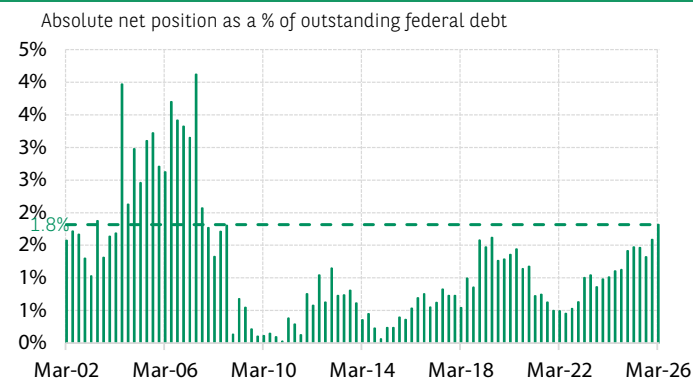


CHART 2

SOURCE: FEDERAL RESERVE BANK OF NEW YORK, BNP PARIBAS

This increase is particularly significant as, from midDecember to mid-April, the Federal Reserve (Fed) absorbed a substantial share of new Tbill issuance, contrasting with the periods of 2014–2019 and 2022–2025 when the Fed was reducing its holdings. With the Federal Reserve Management Purchases and Treasury buybacks programmes in place, the relaxation of the leverage standard helped preserve Treasury market liquidity and contributed to more favourable conditions in the repurchase agreement (repo) markets.

⁴ With the exception of JPMorgan and Goldman Sachs

⁵ Large-scale outright purchases would have resulted in an increase in GSIB surcharges by enlarging the size indicator and worsened simple leverage and eSLR ratios (which continue to be binding for some depository institution subsidiaries). These acquisitions would also have heightened banks' maturity-transformation and interest-rate risk exposures or breached internal market-risk exposure limits.

The relaxation of the eSLR requirement has not sparked a significant increase in Treasury purchases

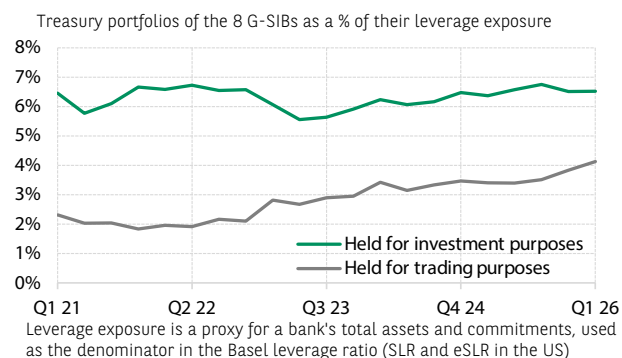


CHART 3

SOURCE: S&P CAPITAL IQ, BNP PARIBAS

FEDERAL DEBT ABSORPTION CAPACITY REMAINS LIMITED

The relaxation of the eSLR requirement has not resulted in the anticipated increase in demand for these securities. Admittedly, GSIB trading portfolios, which contain positions booked by brokerdealer subsidiaries, have grown (averaging 4.13% of leverage exposure in Q1 2026, up from 3.54% in 2025), yet their Treasury investment portfolios (held-to-maturity or available-for-sale) have remained virtually unchanged⁴ (6.52% compared with 6.55%; Chart 3). Various limitations⁵ have prevented the stimulus hoped for by the Treasury Secretary, including the eSLR itself.


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For seven of the nine large GSIB depository institution subsidiaries, the standard continues to be binding—or nearly so (Chart 1, right-hand panel). Yet, the Treasury investment portfolios of major banks are, for the most part, recorded on the balance sheets of their deposit-taking subsidiaries.

THE PROPOSED REFORM TO GSIB CAPITAL SURCHARGES COULD LIKEWISE PROVIDE SOME MOMENTUM

Market-making requires maintaining extensive inventories of securities and executing numerous repo (and reverserepo) transactions. This tends to inflate leverage ratios at dealer parent companies by enlarging their balance sheets, while also exacerbating their systemic risk scores (due to increased size, shortterm wholesale funding, and complexity indicators). These scores are critical in determining the capital surcharges levied on large banks (the GSIB surcharges).

The Federal Reserve has recently proposed revisions to its methodology⁶. It plans to reassess all the coefficients in its formula (to account for economic growth and inflation), reduce the weight of the short-term wholesale funding indicator, introduce narrower surcharge brackets (to mitigate threshold effects), and calculate positions based on annual average data rather than end-of-period data. These adjustments should give GSIBs greater flexibility in their intermediary activities and positively impact Treasury market liquidity. They will relieve balance-sheet pressure by reducing both the level and growth rate of surcharges. They should also smooth liquidity supply over the year and reduce repo rate fluctuations around balance-sheet reporting dates.

Nevertheless, this reform is unlikely to trigger large-scale Treasury purchases. On the one hand, leverage standards LR and eSLR are expected to remain binding for most GSIB deposit-taking subsidiaries. On the other, the proposed relaxation of risk-weighted capital rules could reverse the prevailing hierarchy of capital requirements, pushing the leverage standard back to a “binding” status on a consolidated basis⁷ and deterring large banks from acting as market-makers.

The expanding scope of centralised clearing for Treasury repo transactions would undoubtedly improve market liquidity. However, unless the federal debt trajectory is more effectively managed, US authorities may feel compelled to continue using tools to maintain the role of dealers in the Treasury market.

Céline Choulet

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⁶ Federal Register: Regulatory Capital Rule (Regulation Q): Risk-Based Capital Surcharges for Global Systemically Important Bank Holding Companies; Systemic Risk Report (FR Y-15). The proposal is open for comment until 18 June.

⁷ For context, the capital surcharge for US GSIBs is determined by “Method 2” (currently under review), whereas the buffer used to calibrate the eSLR requirement is based on “Method 1”, which is less stringent but remains unchanged.



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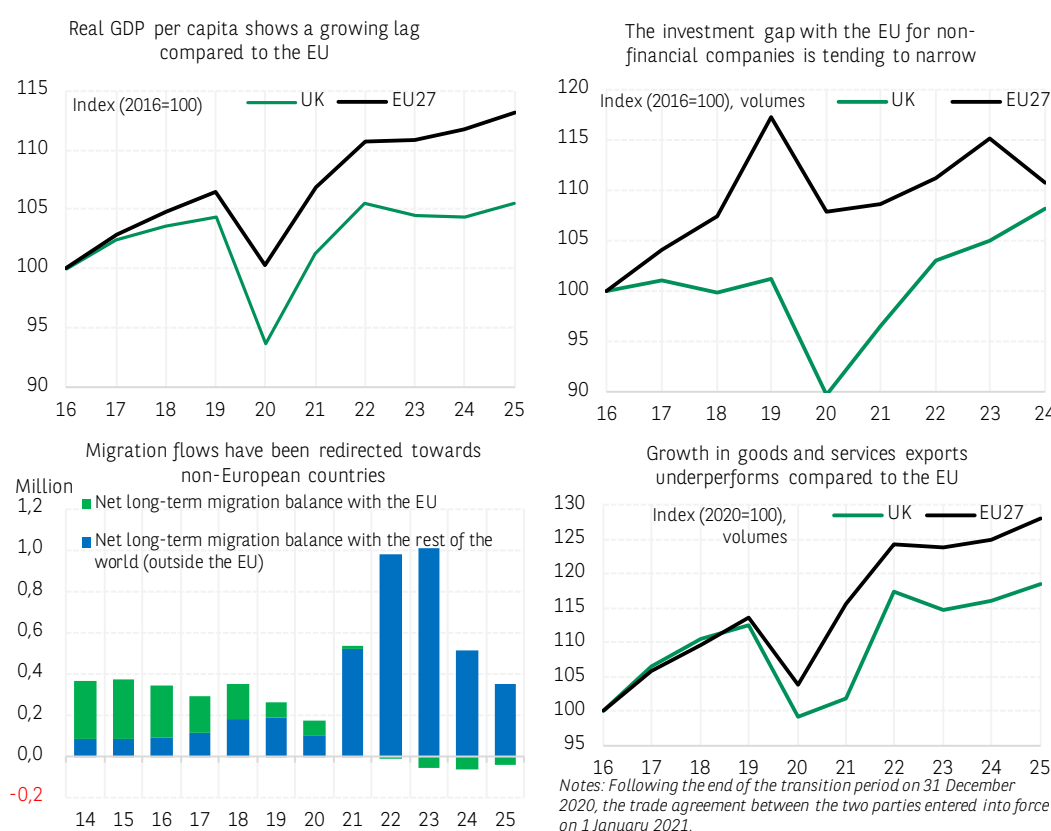
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A DECADE AFTER THE REFERENDUM, THE UK IS FACING THE CONSEQUENCES OF BREXIT

Marianne Mueller

23 June will mark the tenth anniversary of the Brexit referendum, which led to the UK's official exit from the European Union on 31 January 2020 (followed by a transition period). Since then, the country has indeed regained control over certain policy domains, such as trade, migration and regulatory frameworks. However, both the anticipation of Brexit and its actual implementation in 2021 have been linked to a decline in the country's performance across several key indicators. Against a backdrop of escalating geopolitical tensions and mounting shared challenges, the UK is now seeking to re-establish practical collaboration with its main economic partner: the European Union.



SOURCE: ONS, OECD, EUROSTAT, BNP PARIBAS

An imperfect Brexit

While the referendum enabled the United Kingdom to regain exclusive competence over several areas of governance, this restored sovereignty has not resulted in a clean break with the European Union. Furthermore, it has led to developments that deviate from initial expectations.

In terms of trade, the United Kingdom has negotiated new free trade agreements with Japan (2021), Australia and New Zealand (2023), before joining the Comprehensive and Progressive Agreement for Trans-Pacific Partnership (CPTPP, 2024). However, the momentum of UK exports has waned, lagging behind that of the EU (Chart4). Furthermore, while the volume of UK goods exported to the EU has fallen (-14% between 2019 and 2025), the EU continues to be the country's largest trading partner, accounting for around 41% of its goods and services exports, underscoring the significance of geographical proximity in international trade.

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The situation is similar from a regulatory perspective

The UK has carved out its own path in targeted sectors – most notably through the Edinburgh Reforms aimed at financial and banking services, as well as a more flexible regulatory framework for artificial intelligence compared to that of the EU. However, aside from these initiatives, the overall divergence in regulation remains limited: only a third of the 6,800 European texts that were incorporated into UK law have been amended or repealed. With the exceptional framework (REUL Act) expiring on 23 June, any future amendments will have to follow the standard parliamentary procedure, which is longer and more restrictive, likely slowing the pace of divergence from European standards.

Finally, regarding immigration, the desire to regain control over borders has been achieved through the introduction of a points-based immigration system and the end of free movement for Europeans within the UK. Consequently, the net migration balance from the EU plummeted following the referendum, becoming negative by 2022. However, this new system has not led to an overall reduction in immigration. In fact, immigration from non-EU countries increased massively (with total net migration reaching a record high in 2023), before a tightening of regulations led to a decline in 2025, though remaining above pre-Brexit levels (Chart3). Thus, the UK has regained control over migration channels yet has not reduced total migration flows.

A significant economic cost

In 2018, the Office for Budget Responsibility (OBR) projected a 4% decrease in productivity and a 15% reduction in trade over the long term – projections it then reaffirmed in 2024. These figures are corroborated by an NBER study (2025), which found that the UK's GDP is currently 6-8% lower than it would have been had the UK not left the EU. The same study revealed that investment, employment and productivity levels are also lower than they would have been without Brexit, with investment shortfalls ranging from -12% to -18%, and employment and productivity deficits between -3% and -4%. This trend is illustrated by the disparity in real GDP between the UK and the EU27 (Chart1), as well as the growth rates of exports (+3.8%) and imports (+4.9%) between 2021 and 2025, which lag behind those of similar economies (Chart4). As a result, uncertainty and trade barriers have had measurable effects on growth.

The UK still benefits from structural advantages that existed prior to Brexit and remain relevant

The effects of Brexit differ across various sectors and regions. The UK remains an attractive destination for foreign direct investment, especially in financial services, technology and artificial intelligence. This is largely due to more flexible regulations in these sectors compared to the EU (a flexibility that existed prior to Brexit and has since been further enhanced, particularly regarding prudential regulations), a deliberately pro-innovation government policy (evidenced by the AI Opportunities Action Plan and the regulatory sandbox), as well as inherent structural strengths (the robustness of its financial and technological ecosystems, its skilled workforce, and its language and time zone advantages, which facilitate bridges to North American and Asian markets).

This combination of factors has supported business investment (Chart2), the only area where the UK has managed in recent years to partially close the gap that had opened with the EU (while the Draghi report highlighted that excessive regulation has penalized such investment within the EU).

A strategic pivot toward the European Union

The UK is now seeking a rapprochement with the European Union. The bilateral summit on 19 May 2025, the first since Brexit, culminated in a joint declaration, a security and defence partnership, and a roadmap aimed at strengthening cooperation in several areas. Concrete progress has already been made, such as the extension of the fisheries agreement, discussions on the alignment of carbon markets, and a proposal for a common sanitary and phytosanitary area (with dynamic regulatory adjustments) to remove trade barriers in this sector. Furthermore, the UK is currently negotiating for broader access to specific European programmes as a third country, notably the SAFE defence fund and the European Industrial Accelerator Act. The forthcoming bilateral summit, to be held on 22 July, should help to advance these discussions. This strategic shift is a response to an increasingly challenging international environment, characterised by escalating geopolitical tensions, heightened economic rivalries, and energy and climate issues. It would also help to ease the economic friction caused by Brexit, capitalising on the fact that the majority of the British public is now dissatisfied with Brexit and largely in favour of the country rejoining the EU.

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EDITORIAL

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THE FED UNDER PRESSURE: A TEST WITH GLOBAL STAKES

The independence of the Federal Reserve (Fed) has been challenged by the US administration, but it remains intact. As the Kevin Warsh era begins with the 16-17 June FOMC meeting, the simultaneous strength of inflation and the labour market set the stage – should it persist, as we anticipate – for monetary tightening to start by the end of the year. Yet the turbulence at the end of Jerome Powell's term is a reminder that central bank independence is not a given. The stakes go beyond price stability alone and extend to the global financial architecture itself.

Since returning to the White House, Donald J. Trump has not spared the Fed, openly criticizing its former Chair, Jerome Powell, for rate cuts deemed insufficient and, in the process, exerting explicit and sustained pressure on the central bank's independence. The former Fed Chair — but still an FOMC member — has even described the episode as a "stress test", that is, resilience probed under heavy pressure. Initially verbal, the pressure shifted onto administrative and legal ground: first in August 2025, against Governor Lisa Cook, then in January 2026, with proceedings aimed at Powell himself over the renovation of the Fed's headquarters.

For now, the Fed is passing the test, and it should continue to act independently. The judicial rulings handed down so far have generally favored the institution's autonomy from the executive¹. The Fed's internal culture has also played a role, not only in keeping Cook on the board. The FOMC has stayed on the course, keeping an approach dictated by the data and the economy outlook. It held the policy rate through the first half of 2025, when the effects of the additional tariffs on inflation were not yet known. And it eased in the second half of the year because the labour market was weakening, not because of political pressure. Dissent was voiced, admittedly more frequent than usual, but Powell's legitimacy was never called into question.

CHAIRMAN AND FED FUNDS: A TWOFOLD CHANGE OF DIRECTION

Warsh's arrival at the head of the FOMC should not, in itself, change the situation. We expect monetary policy to continue aligning with the dual mandate and to be driven by economic conditions. The committee's voting structure is the first safeguard, not least in fixing the Fed Funds target range. Warsh's vote does not carry more weight than any other governor's or voting regional Fed president's — and the latter generally appear concerned by the elevated and growing level of inflation.

Furthermore, Kevin Warsh's track record and public positions do not suggest much appetite for instrumentalizing the central bank for political or fiscal ends. His first departure from the Board of Governors (2011) stemmed from a disagreement on quantitative easing (QE), and he reiterated his critical view of the use of the Fed's balance sheet at his confirmation hearing before the Senate Banking Committee. In his view, the size of the balance sheet has become "an ordinary recurring force", diverted from his purpose as an instrument used "in times of emergencies". Warsh therefore considers that this tool has become "unhelpful" in "achieving the dual mandate" and that shrinking it is imperative.

In recent months, the Fed had leaned towards the risks surrounding the maximum employment objective, while inflation remained above-target but was edging closer to it. With inflation having resumed an upward path and employment concerns having receded, the

FOMC should now rebalance its stance. Although driven by energy prices, the combination of that inflationary dynamic with a rebounding labour market and still-strong growth cannot be ignored by the Fed. Governors Waller and Bowman have each acknowledged, to differing degrees, that their earlier dovish stance no longer holds. The debate is thus no longer about whether rate cuts are warranted, and the Fed's next move should be upward. That is our call — a first 25bp hike in December, followed by two more, in January and March 2027, taking the target range to 4.25%-4.5%. These three increases would reserve the three insurance cuts implemented in 2025 in the face of labour-market risks that have since faded.

INDEPENDENCE: A FRAGILE CONSENSUS

The pressure on the Fed is a live reminder that the independence of advanced economies central banks is never settled for good. It earned its legitimacy through the empirical demonstration of its effectiveness, most visibly in bringing the inflation of the 1970s to an end. It is written into law, too: the Federal Reserve Act in the United States, the Maastricht Treaty for the European Central Bank (ECB). But ultimately it rests on a continuous consensus among all relevant actors: the executive, the legislature, markets and the general public.

For political executives, there is a line between a natural preference for low rates to support growth and limit the cost of debt, and a more problematic slide into "fiscal dominance", whereby monetary policy becomes subordinate to fiscal policy. The former can no longer focus solely and independently on controlling inflation or maximizing employment. The US president's criticism of Powell sits within this framework: it targeted rates he judged too high, detrimental to growth and to the cost of servicing the federal debt.

The case of the Bank of Japan (BoJ) is an interesting example of blurred lines: independence is legally guaranteed yet is bound by coordination with the Ministry of Finances. During the 2010s, the BoJ rolled out unconventional tools on a scale never seen before, aimed at supporting the government's "reflationist" agenda. This took shape in 2013 with massive asset purchases (Quantitative and Qualitative Easing, QQE), before the yield curve control (YCC) was introduced in 2016. The scale of the interventions has pushed the BoJ's balance sheet beyond 100% of GDP, which can be associated with the emergence of a *de facto* fiscal dominance. While endemic deflation justified the support at the time, the exit from this extremely accommodative policy is now proving complicated. It is complex for the government, whose debt-servicing costs grow as sovereign yields rise and whose bond issuance must be absorbed more by the market and less by the BoJ, which is scaling back its purchases. And it is equally complex for the BoJ, which must move cautiously in normalizing its monetary policy, as it must raise rates sufficiently to counter inflation, but neither too much nor too fast, in order to contain the rise in long-term rates.

¹ The Trump vs. Cook case, however, has not yet been decided by the Supreme Court, and the Department of Justice's (DoJ) dropping of charges against Jerome Powell did not, in his view, proceed with the expected 'transparency and finality,' which is why he remains a member of the Board of Governors."



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CENTRAL BANK CREDIBILITY: BEYOND INFLATION, A SHARED CONCERN

Central bank's primary role is to ensure price stability, even if differences may exist regarding the targets and the wording of their mandate. The ECB is prioritizing inflation², whereas the Fed runs a more explicit dual mandate (price stability and maximum employment). Any threat to their independence would compromise those goals, since the proper anchoring of household, corporate and market inflation expectations is based on the credibility of central banks' commitment to their mandate.

Furthermore, the central banks' status, embodied in their independence and credibility, is a pillar of the financial architecture of advanced economies and, increasingly, that of emerging economies. In the United States, it underpins the dollar's role as a reserve currency and the central position of Treasuries as the risk-free asset. The country is thereby able to finance its imbalances on more favorable terms than the size and trajectory of its government debt would probably warrant. The reasoning extends beyond the United States — by analogy, and by contagion. Japanese, German, and British government bonds likewise benefit, albeit to a lesser extent, from a privileged status tied to the credibility of their signature, to which their respective central banks are no strangers. The ultimate risk is a generalized rise in interest rates.

Since the start of 2025, we have seen an illustration of how markets could be rattled by Donald Trump's threat to the Fed's independence. These tensions were initially acute, then more contained³. Kevin Warsh will have to steer through those same waters, and the likeliest outcome is that he holds course. Were he to decide otherwise, he would face major opposition within the FOMC, which would weigh on his own credibility. In addition, being outvoted would undermine his objective of institutional changes, on which he hopes to leave his mark at the Fed: a smaller balance sheet and reshaping the institution's style and cadence of communication. And if he was to lose the control of inflation, his legacy would echo that of Arthur Burns — it is certainly not how he wants to be remembered.

In his first speech as a former Fed Chair, Powell declared: "Our credibility has been built and sustained over many decades, and we have a duty to safeguard that priceless asset for our fellow citizens and for generations to come." The statement concerns the Fed, but it holds equally for every independent central bank. Calling these principles into question would carry such costs that it appears, rationally, unlikely. In the end, the safest way for central banks to preserve their independence is to honor their mandate.

Anis Bensaidani

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² The Treaty also requires the ECB to support the economic policies of the European Union once the price stability objective is achieved – and without prejudice to that objective.

³ In April 2025, President Trump's ambiguous remarks about ending Powell's "termination which cannot come fast enough" triggered a sharp sell-off across equity and bond markets. Market reactions were less pronounced when Governor L. Cook faced an attempt to remove her (August 2025) and when the Department of Justice's (DoJ) subpoenas served to Jerome Powell were publicly disclosed by the latter.



[Find out more in our scenario and forecasts](#)

ADVANCED ECONOMIES

UNITED STATES

Inflation hits multi-year highs, but consumer sentiment stabilises.

In May, CPI headline rose to 4.2% y/y (up 0.4pp m/m), in line with expectations but the fastest pace since March 2023. It was driven largely by energy prices (up 40.6% y/y). Core CPI rose to 2.9% y/y, up 0.1pp with the monthly increase (0.2% m/m) softer than expected thanks to a decline in core goods inflation. Meanwhile, producer prices surged – the PPI index rose to 6.5% y/y (up 0.8pp), well above consensus, and its highest reading since 2022. The PPI index excluding food, energy, and trade services was particularly strong too, at 5.1% y/y (up 0.7pp), suggesting further inflationary pressures to come to retail prices and mechanically increasing core PCE inflation (the Fed's preferred target), which we expect will accelerate to 0.4% m/m (from 0.2 in April) and 3.4% y/y. Separately, in June, the University of Michigan's consumer sentiment index rose by 4.1 pts, breaking a 3-month streak of decreases, albeit it remains historically low and below the pre-war level. Inflation expectations edged down at 1-year (-0.2pp to 4.6%) and 5-10 year (-0.5pp to 3.4%). This week's FOMC meeting will be the first chaired by Kevin Warsh. We expect the Committee to drop its easing bias, meaning the next move could be a hike as well as a cut.

EUROPEAN UNION

Progress in trade and defence despite setbacks. China abruptly cancelled a high-level EU-China meeting due to take place later this month. The EU has signed two separate trade agreements with South Korea and four African nations (Comoros, Madagascar, Mauritius, and Seychelles), both covering services among others. The EU has approved measures to simplify and accelerate defence procurement, including faster permit decisions (42-day deadline), easier cross-border transfers of defence products, and streamlined access to the European Defence Fund. The reforms address industry demands for reduced bureaucracy and clearer regulations, aligning with the 2030 defence strategy. Less positively, German Chancellor Merz officially pulled the plug on FCAS (the Franco-German-Spanish joint advanced fighter jet project).

France. Inflation spreads to construction. Construction producer prices increased by 3.5% y/y in April (vs. 2.3% in February) for buildings and 7.3% y/y in April (0% in February) for civil engineering.

Germany. Construction rebound amid tepid growth. Industrial production hit its highest level since December 2025 in April, rising +0.4% m/m, and the first positive print since the Middle East conflict began. The primary driver was construction, which reached its highest level since March 2024. April manufacturing output was flat against March, reducing the y/y decline (-1.8% in April vs. -4.9% in March). Imports surged to their highest level since November 2022: +2.8% y/y YTD. The Bundesbank on Friday downgraded Germany's 2026 GDP growth forecast to 0.5% (vs. 0.8% according to our forecasts), with GDP expected to stagnate in Q2 before a slight Q3 recovery. The 2027 forecast was cut to 0.8%, while 2028 was raised to 1.4% on the back of fiscal stimulus. Inflation forecasts were revised upward. German company insolvencies rose 16.1% y/y in March, a sharp acceleration from near-flat readings in January and February.

EUROZONE

ECB hikes policy rates by 25bps. The decision to raise the deposit facility rate to 2.25% was expected and unanimous. Being the first major central bank to raise interest rates and facing criticisms of policy

mistake, President Lagarde stressed that the decision was not an insurance hike but a necessary step that was "robust across all scenarios" and that no alternative proposals were discussed in the meeting. The ECB president reaffirmed that decisions will be made on a meeting-by-meeting basis, based on available data, without a pre-set rate trajectory. The ECB now expects headline inflation to rise to 3.0% in 2026 (up from 2.6%) and 2.3% in 2027 (up from 2.0%). We expect greater stickiness. The ECB's downward revisions to GDP growth projections were more subdued (-0.1pp for both 2026 and 2027, to 0.8% and 1.2%, respectively). We expect another rate hike, most likely in September. Italian Deputy Prime Minister Antonio Tajani publicly criticized the ECB's rate hike, saying it "doesn't help anyone" and arguing that credit access should be made easier even in difficult times.

JAPAN

Higher producer-price inflation. In May, the PPI index stood at 6.3% y/y (up 1.0pp, consensus: 5.5%) amid higher energy prices compounded by a weak-JPY. It gives the BoJ an additional reason to raise its policy rate to 1% this week. Markets will be attentive to hints about the pace of additional rate hikes, as the yen remains under pressure owing to perceptions that the BoJ is behind the curve in normalizing policy.

UNITED KINGDOM

Stagflation vibes require BOE balancing act. GDP contracted for the first time in eight months in April. Permanent staff placements dropped the most in 10 months in May (REC/KPMG survey) and potential layoff notices surged to over 37,000 in the four weeks to May 24 – up 62% y/y and the highest since 2020. More positively, like-for-like retail sales rose 3.4% y/y in May, a sharp reversal from -3.4% in April. The BOE's quarterly Inflation Attitudes Survey showed UK households expect inflation to reach 4% over the next year – up from 3.2% in February and the highest reading since November 2022. Longer-term expectations also rose. Separately, a BOE Decision Maker Panel survey showed firms plan to raise prices by 4% in the coming year, the highest reading since February 2025. These circumstances require a tough balancing act from the BOE, which we expect will keep its policy rate unchanged at 3.75% this week while restating vigilance and willingness to act to curb inflation. We expect 2 hikes in H2.

EMERGING ECONOMIES

Not immune to global headwinds. The World Bank has revised down its [growth outlook](#) for EMDEs to 3.6% in 2026—0.4pp below its January projections. Weak growth is making the jobs challenge even more urgent in EMDEs, where 1.2 billion young people are expected to enter the workforce over the next decade. Separately, according to IIF estimates, non-resident portfolio investments in the main EMs turned negative in May (USD -26.6 bn vs. +70.6 bn in April including China, USD -45 bn vs. USD +14.7 bn excluding China). The reversal was concentrated in equities, while debt flows remained positive. Besides, EM Asia accounted for more than the total EM outflow, driven by large equity selling in Korea and India. The reversal is not a sudden stop episode; in the sharper stress episodes, debt and equity outflows tend to reinforce each other.

AFRICA & MIDDLE EAST

South Africa: Real GDP growth accelerates slightly to 0.5% q/q in Q1 2026, beating market consensus expectations (0.3%). Activity was not yet affected by the rise in fuel prices, which the government began



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implementing in April. Resilient GDP growth in Q1 means that the fiscal deficit for FY25/26 shrunk to 3.9% of GDP (vs. 4.5% of GDP in the prior year).

ASIA

China: Surging trade and producer prices. Exports surged in May (+19.4% y/y) supported by both volume growth and a slight uptick in export prices, while the rise in total import value (+27.5% y/y) was probably driven mostly by prices rather than volumes. China's imports from the EU slumped by 1.3% in May, widening the bilateral trade imbalance and increasing friction with the bloc. Factory gate prices rose by 3.9% y/y, the fastest in 4 years, while China's CPI held at 1.2% y/y in May, with a 16% plunge in pork prices weighing on consumer prices. The divergence between PPI and CPI signals that higher input costs are not yet passing through to consumers, squeezing corporate margins. Separately, Beijing is reportedly pursuing a \$295 billion AI investment plan. The World Bank trimmed its 2026 China growth forecast to 4.2% (vs. 4.6% in our forecast), citing weaker growth in domestic demand, a decline in consumer confidence, property sector adjustment, and labor force decline.

India: Headline inflation hit a 15-month high of 3.9% y/y in May (vs. 3.5% in April), driven by rising fuel (+2%) and food prices (4.8% y/y), with further increases expected due to heatwave impacts and supply disruptions. So far, the RBI has kept its policy rates unchanged, but the likelihood of a rate hike at the next Monetary Policy Committee meeting in August has increased significantly.

Indonesia: Unexpected rate hike to support the rupiah. This move is unlikely to be sufficient, however, as investors are increasingly concerned about fiscal discipline and the decline in the quality of governance.

South Korea, Taiwan: No slowdown in booming export growth. This is due to both a positive price effect and the continued rise in export volume resulting from global AI expansion (total export value in May: +52% y/y in Taiwan, +53% in South Korea).

EMERGING EUROPE

Türkiye: Monetary status quo. The Central Bank of the Republic of Türkiye (CBRT) left its policy rate unchanged at 37.0%, in line with market expectations, while maintaining the overnight lending rate at 40.0%. The CBRT noted that the underlying trend of inflation, which had accelerated in April due to energy-related factors, moderated somewhat in May. Besides, real GDP quasi stagnation in Q1 (+0.1% qoq) and leading indicators suggest that economic activity continues to slow down, supporting the ongoing disinflation process.

LATIN AMERICA

Mexico: Headline inflation came in lower than expected in May (3.9% y/y, down from 4.5% in April), due to a significant decrease in the inflation rate of agricultural products.

Peru: As expected, the central bank kept its policy rate at 4.25% for the 9th consecutive month. CPI inflation in Lima eased to 3.9% y/y in May (from 4% in April). However, inflationary pressures persist (core inflation was 4.5% in May), and the central bank has indicated its readiness to tighten policy if necessary. Meanwhile, the presidential runoff between Keiko Fujimori and Roberto Sánchez remains too close to call. Electoral authorities now expect to announce the final results in July.

COMMODITIES

On the news that the US and Iran have reached an interim agreement, expected to be signed on Friday 19th, **Brent oil prices have reached their lowest level since the beginning of March, at 83 \$/b.** This agreement should extend the ceasefire for 60 days and allow the progressive reopening of the Strait of Hormuz.

Oil demand down, solar takes off. Both OPEC+ and the US Energy Information Administration revised down their world oil demand growth forecasts for 2026. OPEC+ reduced its forecast by 0.2 mb/d for the second time since the start of the conflict to 106.13 mb/d, pointing out global uncertainty weighing on consumption. The EIA now estimates global oil demand to decline by 1.1 mb/d to 102.86 mb/d while it anticipated an increase in its previous reports. OPEC+ still expects global oil demand growth of 1 mb/d y/y for 2026. Meanwhile, solar overtook coal in US power generation in May; it is the first time the renewable source bested the fossil fuel in a calendar month. Solar and storage together made up 91% of new US capacity installed in Q1 2026.



MARKETS OVERVIEW

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Bond Markets

	In %	In bps			
	12/06/2026	1-Week	1-Month	Year to date	1-Year
Bund 2Y	2.62	-0.5	-1.6	+53.4	+81.0
Bund 5Y	2.72	-0.3	-6.6	+25.5	+67.7
Bund 10Y	3.00	-1.3	-6.9	+13.8	+52.1
OAT 10Y	3.65	-0.3	-2.9	+14.9	+45.4
BTP 10Y	3.73	-1.2	-12.6	+23.3	+30.8
BONO 10Y	3.42	-0.1	-10.4	+17.9	+34.3
Treasuries 2Y	4.08	+4.9	+10.7	+60.2	+15.2
Treasuries 5Y	4.21	+4.6	+9.1	+48.5	+25.3
Treasuries 10Y	4.48	-1.2	+1.7	+31.4	+3.2
Gilt 2Y	4.24	-8.8	-29.7	+48.9	+37.0
Treasuries 5Y	4.38	-7.5	-26.8	+53.3	+38.8
Gilt 10Y	4.85	-3.9	-25.7	+47.6	+17.2

Currencies & Commodities

	Level	Change, %			
	12/06/2026	1-Week	1-Month	Year to date	1-Year
EUR/USD	1.16	-0.4	-1.4	-1.4	-0.1
GBP/USD	1.34	-0.2	-0.8	-0.3	-1.3
USD/JPY	160.22	+0.3	+1.6	+2.2	+11.5
DXY	99.75	+0.6	+1.5	+1.4	-0.5
EUR/GBP	0.86	-0.2	-0.6	-1.2	+1.3
EUR/CHF	0.92	+0.8	+0.5	-1.0	-2.1
EUR/JPY	185.45	-0.1	+0.2	+0.7	+11.4
Oil, Brent (\$/bbl)	87.36	-8.1	-19.1	+43.6	+25.9
Gold (\$/ounce)	4214	-5.6	-9.7	-2.6	+24.7

Equity Indices

	Level	Change, %			
	12/06/2026	1-Week	1-Month	Year to date	1-Year
World					
MSCI World (\$)	4788	-1.5	+0.8	+8.1	+21.4
North America					
S&P500	7431	-2.2	+0.4	+8.6	+22.9
Dow Jones	51202	+0.2	+2.9	+6.5	+19.2
Nasdaq composite	25889	-4.4	-0.8	+11.4	+31.7
Europe					
CAC 40	8351	+2.5	+4.6	+2.5	+7.5
DAX 30	24635	-1.5	+2.8	+0.6	+3.6
EuroStoxx50	6188	+2.5	+6.5	+6.8	+15.4
FTSE100	10472	+1.3	+2.0	+5.4	+17.9
Asia					
MSCI, loc.	1879	-1.0	+0.5	+11.2	+29.1
Nikkei 225	66020	-1.4	+5.2	+31.1	+72.9
Emerging					
MSCI Emerging (\$)	1716	-3.2	+1.0	+22.1	+42.7
China	75	-1.5	-6.5	-9.7	-0.4
India	928	+0.3	+1.4	-12.3	-12.4
Brazil	1794	-2.0	-8.5	+9.0	+26.2

Performance by sector

Eurostoxx600

Year 2026 to 12-6, €

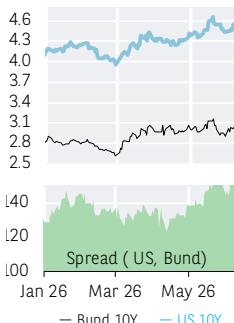
+28.9%	Oil & Gas
+27.4%	Commodities
+25.6%	Technology
+24.6%	Telecoms
+12.6%	Utilities
+10.9%	Chemical
+7.0%	Banks
+6.9%	Eurostoxx600
+5.9%	Industry
+3.2%	Food industry
+2.0%	Financial services
+0.6%	Retail
+0.6%	Travel & Leisure
+0.4%	Construction
-1.6%	Real Estate
-1.9%	Health
-2.5%	Insurance
-6.1%	Consumption Goods
-8.6%	Media

S&P500

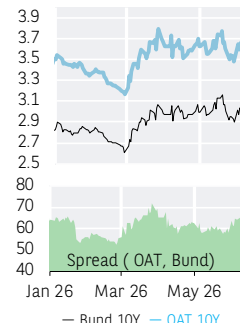
Year 2026 to 12-6, \$

+40.3%	Semiconductors
+27.0%	Energy
+25.4%	Tech. Hardware & Equip.
+17.3%	Capital Goods
+13.2%	Materials
+12.2%	Food, Beverage & Tobacco
+11.2%	Retail
+8.6%	S&P500
+3.7%	Utilities
+3.0%	Media
+2.6%	Bank
+2.6%	Pharmaceuticals
+1.9%	Consumer Discretionary
+0.3%	Telecoms
-3.0%	Insurance
-3.9%	Consumer Services
-6.5%	Healthcare
-8.1%	Automobiles
-12.5%	Commercial & Pro. Services
-29.9%	Real Estate

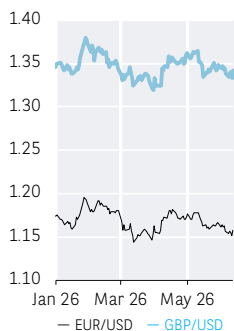
Bund 10Y & US Treas. 10Y



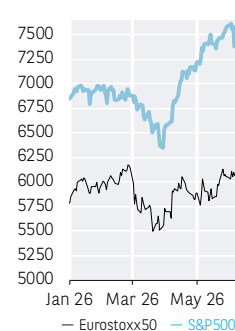
Bund 10Y & OAT 10Y



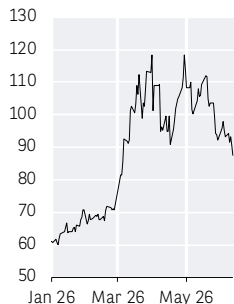
EUR/USD & GBP/USD



EUROSTOXX 50 & S&P500



Oil, Brent (\$/bbl)



Gold (\$/ounce)



MSCI World (\$)



MSCI Emerging (\$)



SOURCE: LSEG, BLOOMBERG, BNP PARIBAS
DATA VISUALISATION AND CARTOGRAPHY: TARIK RHARRAB



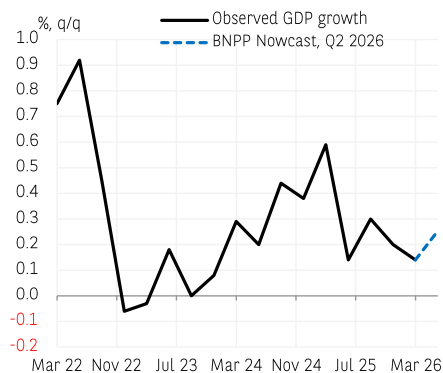
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The scenario, forecasts and nowcasts of the Economic Research – 15 June 2026

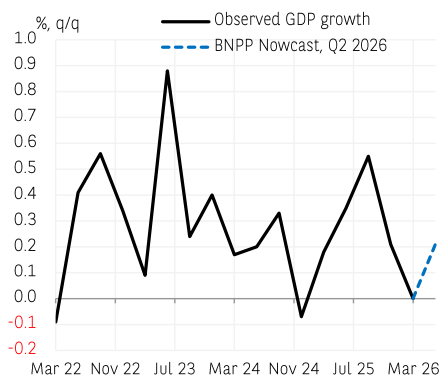
NOWCASTS OF THE ECONOMIC RESEARCH

Eurozone



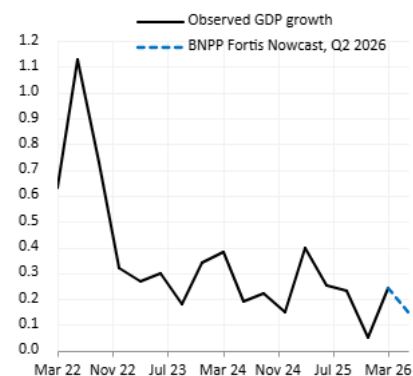
Source: Refinitiv, BNP Paribas

France



Source: Refinitiv, BNP Paribas

Belgium



Source: Refinitiv, BNP Paribas

Our nowcast for Eurozone growth has been revised downward due to the deterioration in confidence surveys (PMI, consumer confidence). It still points to a 0.2% q/q increase in activity in Q2, against a forecast of 0.3% q/q.

Our *nowcast* for French GDP growth suggests a recovery in Q2 2026, at +0.2% q/q, driven by the one-off factors that weighed on Q1 GDP (aeronautics exports and construction output).

Our *nowcast* for Q2 Belgium GDP growth suggests a slight deterioration (0.15% q/q) from Q1. The momentum in the manufacturing sector is proving more resilient than first feared. Costs are rising faster than previously expected, especially in the service sector.

Read the [Nowcast methodology](#)
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ECONOMIC SCENARIO AND FORECASTS

GDP growth and Inflation

%	GDP Growth					Inflation			
	2024	2025	2026 e	2027 e		2024	2025	2026 e	2027 e
United States	2.8	2.1	2.3	2.4		2.9	2.7	3.7	2.8
Japan	-0.2	1.1	0.5	0.7		2.7	3.1	2.3	3.1
United Kingdom	1.0	1.4	1.0	1.2		2.5	3.4	3.4	3.3
Euro Area	0.9	1.5	0.6	1.6		2.4	2.1	3.0	3.3
Germany	-0.5	0.3	0.8	1.1		2.5	2.2	3.2	3.5
France	1.1	0.9	0.8	1.1		2.3	1.0	2.2	1.6
Italy	0.6	0.7	0.8	0.8		1.1	1.7	3.1	3.7
Spain	3.5	2.8	2.3	2.2		2.8	2.7	3.3	3.1
China	5.0	5.0	4.6	4.5		0.2	0.0	1.3	1.4
India*	7.1	7.7	6.6	6.8		4.6	2.1	5.1	4.2
Brazil	3.4	2.3	2.3	1.4		4.4	5.0	4.7	5.1

Source : BNP Paribas (e: Estimates & forecasts)

Last update: 15/06/2026

* Fiscal year from April 1 of year N to March 31 of year N+1

Interest and exchange rates

Interest rates, %		2026				2027
		Spot 12/06	Q2	Q3	Q4	Q4
End of period	US					
	Fed Funds (upper limit)	3.75	3.75	3.75	4.00	4.50
Eurozone	T-Note 10y	4.48	4.55	4.65	4.75	4.85
	deposit rate	2.00	2.25	2.50	2.50	2.50
	Bund 10y	3.00	3.15	3.20	3.35	3.10
	OAT 10y	3.65	3.77	4.00	4.17	3.60
	BTP 10y	3.73	3.85	3.95	4.10	3.60
UK	BONO 10y	3.42	3.57	3.64	3.79	3.42
	Base rate	3.75	3.75	4.25	4.25	3.50
Japan	Gilts 10y	4.85	4.70	4.60	4.50	4.30
	BoJ Rate	0.75	1.00	1.00	1.25	2.00
	JGB 10y	2.62	2.70	2.85	2.85	3.10
Exchange Rates		2026				2027
		Spot 12/06	Q2	Q3	Q4	Q4
End of period	USD					
	EUR / USD	1.16	-	1.15	1.16	1.20
	USD / JPY	160	-	163	165	165
	GBP / USD	1.34	-	1.32	1.32	1.36
EUR	EUR / GBP	0.86	-	0.87	0.88	0.88
	EUR / JPY	185	-	187	191	198
Brent		2026				2027
		Spot 12/06	Q2	Q3	Q4	Q4
End of period	Quarter Average					
	Brent	87	110	90	85	83

Sources: BNP Paribas (Market Economics, Interest Rate Strategy, FX Strategy, Commodities Desk Strategy). Last update: 15/06/2026


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UNITED STATES

The US economy is expected to grow above its potential in 2026, with an average annual growth rate of 2.3%, a yearly improvement (up from 2.1% in 2025). This apparent resilience to energy, uncertainty and tariff and energy shocks, together with above-trend productivity growth, masks K-shaped growth, driven by investment linked to AI-optimism and consumption by the wealthiest amid a wealth effect (historically high stock market valuations). Inflation overshooting is set to continue (3.7% in 2026) at least through 2028, largely because of the rise in oil prices and tariffs – although the impact of these appears to be less significant than expected. The labour market is showing clear signs of improvement that should bring the unemployment rate down toward 4.0%. Given this shift in price and employment risks amid dynamic growth, we expect the FOMC to implement one rate hike (+25pb) and bring the Fed Funds target range at 3.75% - 4.0% by year-end.

CHINA

Economic growth accelerated to +5.0% y/y in Q1 2026, vs. +4.5% in Q4 2025. It stood at 5% in 2025 as a whole and it is expected to slow moderately in 2026. Growth remains characterized by a K-shaped trajectory. On the one hand, exports are still dynamic, and Chinese goods are likely to remain competitive in the short term. On the other hand, domestic demand remains sluggish. It rebounded in the first two months of 2026 but has weakened significantly since March. The crisis in the property sector continues and confidence of households and private investors remains low. The authorities will maintain supportive fiscal and monetary policies, but their measures may continue to be modest, even in a less supportive global environment. Deflationary pressures are expected to decline in 2026, notably thanks to higher global energy prices and anti-involution measures implemented by the authorities.

EUROZONE

Eurozone growth would slow in 2026 due to spillovers from the Middle East conflict. In Q1 2026, GDP growth contracted 0.2% q/q mainly due to the volatility of Ireland's GDP data, but growth in the rest of the Eurozone remained resilient (+0.2% q/q). In 2026, consumption would be held back by falling real wages. GDP growth, which reached 1.5% in 2025, would slow down to 0.6% in 2026, before rebounding at 1.6% in 2027, while inflation would rebound to 3.0% in 2026 and 3.3% in 2027 (compared to 2.1% in 2025). Activity would nevertheless withstand the energy shock, supported by investment in defence, AI, and electrification, which should continue to boost intra-EU trade. As inflation rebounds, two 25-basis-point hikes in the ECB's policy rate would take place in 2026 – with the first hike expected in June – pushing the deposit facility rate to 2.5%. As inflation rebounds, another 25-basis-point hikes in the ECB's policy rate – following June's increase – would take place in Q3 2026 pushing the deposit facility rate to 2.5%.

FRANCE

GDP growth deteriorated to -0.1% q/q in Q1 (after 0.2% q/q in Q4) as a result of one-off factors, including low aeronautics exports (-20% q/q despite an increase of the output) and construction output (-1.5% q/q). From Q2 2026, growth should be affected by the impact of higher oil prices on inflation (2.4% in 2026, after 1% in 2025) and household purchasing power (with a likely impact on their consumption). In 2026, GDP growth should reach 0.8% in 2026 (after 0.9% in 2025), driven by public spending and private investment in AI. Higher inflation (2.2% in 2026, after 1% in 2025) would weigh on GDP growth.

UNITED KINGDOM

Economic activity is expected to slow in 2026, with growth decelerating to 1% from 1.4% in 2025; following +0.4% q/q in Q1, growth dipped to -0.1% m/m in April, bringing the average quarterly pace for the remainder of the year down to approximately +0.1%. This slowdown is set against a backdrop of renewed inflationary pressures triggered by the war in Iran: inflation is projected to reach 3.4% y/y, and to remain sticky and well above BoE's target at +3.3% in 2027. In this context, and contrary to the initially envisaged easing scenario, monetary policy would shift toward a tightening of 50 basis points in H2 2026. 10y gilt yields will remain elevated in 2026, before falling to 4.30% in 2027 on reduced net supply, a decline in political risk premia and a market starting to eye BoE rate cuts.

JAPAN

The energy shock is set to impact the strong momentum of the Japanese economy negatively. We expect annual GDP growth to stand at 0.5% in 2026, down from 1.1% in 2025. Higher inflation and production costs are expected to weigh on the economy's overall performance. On the other hand, the latter is still tempered by structural supply constraints and supported by fiscal policy and wage growth. Inflation has generally overshoot the 2% y/y target since 2022 and is expected to stay there through at least 2028. Accordingly, the Bank of Japan initiated a process of "adjustment in the degree of monetary accommodation" in 2024, lifting the policy rate to 0.75% so far (previously negative). We expect the process to extend, including one hike (25pb) in Q2 2026, until a 2.0% terminal rate in end-2027. Japan is facing long-term rates pressure, illustrated by historically high 10- and 30-year yields, probably fueled by the level of public debt and the pace of monetary adjustment.

EXCHANGE RATES

In our base-case scenario (gradual normalisation of the Middle East situation with persistent price tensions), we expect the USD depreciation against the EUR to resume, albeit very gradually, amid broader diversification away from the dollar. We forecast EUR/USD to reach 1.21 by Q4 2026 and 1.25 by Q4 2027. We anticipate stabilisation of the yen and the GBP against the dollar in 2026 (USD/JPY 160 and GBP/USD 1.35 by Q4 2026) and 2027.



EcoFlash

ECB: An adjustment, but not necessarily the start of a tightening cycle

As expected, the European Central Bank raised its key interest rates by 25 basis points, bringing the deposit facility rate to 2.25%. This decision, taken unanimously, reflects the Governing Council's conviction that the persistence of the energy shock warrants a monetary policy response. The ECB revised its inflation outlook upward more significantly than its growth forecasts downward. It also updated its alternative scenarios relative to the central scenario (one more favorable, two adverse). Christine Lagarde emphasized that today's decision was "robust" across all scenarios.

The persistence of inflation at the heart of the ECB's concerns. During the Q&A session, Christine Lagarde confirmed that the decision to raise rates was unanimous, unconditional, and that no alternative proposal was discussed during the meeting. The ECB President reiterated that future decisions will be made "meeting by meeting," based on available data and without a pre-set rate path. A new favorable scenario ("mild"), deemed unlikely, was added alongside the existing three scenarios (central, adverse, and severe). The severe scenario, in which inflation would deviate significantly and durably from the target, would call for an "appropriate and decisive" response. The communication framework has clearly evolved since the April meeting, with a stronger focus on the persistence of the inflationary shock rather than solely on the levels reached. Nevertheless, as Lagarde noted, long-term inflation expectations remain broadly well anchored around the 2% target – a reassuring signal for the ECB.

Upward revisions to inflation projections, with more persistent pressures. The ECB's new inflation projections for 2026 now sit midway between the central and adverse scenarios outlined in March. They reflect a combination of durably higher energy prices and more pronounced second-round effects, largely confined to food and industrial goods (excluding energy). The headline HICP inflation forecast has been raised to 3.0% (from 2.6%) for 2026 and to 2.3% (from 2.0%) for 2027. Core inflation is expected at 2.5% for both 2026 and 2027 (compared to 2.3% and 2.2% respectively). While our own forecasts for 2026–2027 incorporate a rise in core inflation in line with the ECB's projections, we anticipate more persistent pressures on agricultural and energy prices in 2027 (particularly gas/TTF prices). These translate into a higher total inflation forecast of 3.3% for 2027.

More limited growth revisions against a backdrop of resilience. The ECB's downward revisions to GDP growth are modest (-0.1 pp for both 2026 and 2027, to 0.8% and 1.2% respectively). The ECB expects some resilience in growth, supported notably by investment efforts in infrastructure, digital, and defence – the same pillars underpinning our recovery profile for activity in 2027 (1.6%).

Another rate hike expected, likely in September. At this stage, forward-looking price indicators (European Commission surveys and PMIs) confirm a gradual transmission of the energy shock to other sectors. However, the transmission remains less significant than what was observed in 2022 and still only marginally affects finished goods. The emergence of a price-wage spiral appears, for now, unlikely, as wage pressures should remain contained in 2026. The ECB anticipates a slowdown in compensation per employee growth to 3.2% in 2026, followed by stabilization at that level in 2027–2028, consistent with the 2% inflation target. In this context, we maintain our scenario of one additional 25 bp rate hike, most likely in September, followed by a plateau in 2027.

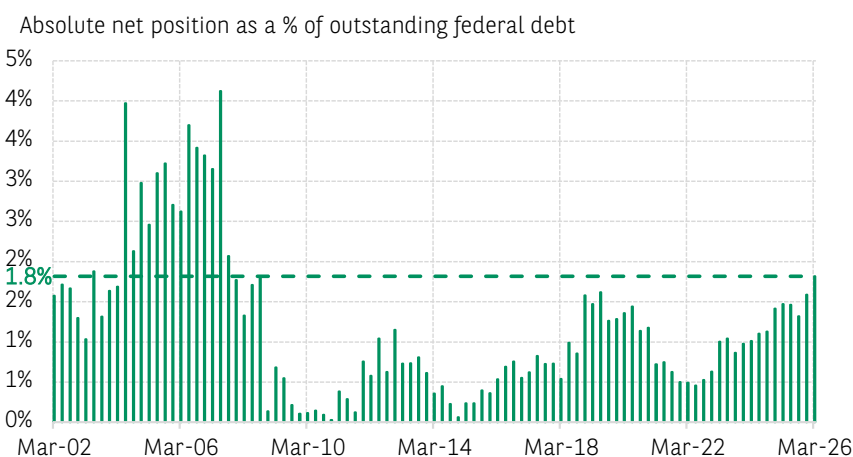
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THE US REGULATORY EASING OFFERS LIMITED SUPPORT TO THE TREASURIES MARKET

Céline Choulet

Primary dealers' Treasury inventories reach their highest level since 2008



A relaxation in regulations that supports Treasury market intermediation

Last year, the need to recalibrate the enhanced supplementary leverage ratio (eSLR) imposed on global systemically important banks (G-SIBs) rose to the top of American regulators' agenda¹. The leverage constraint was on the verge of becoming more binding than risk-weighted capital requirements. It risked preventing – or even discouraging – major banks from fulfilling their role as intermediaries in the Treasury market, an undesirable situation in normal times and even more so during periods of stress. Under the new formula in effect², the eSLR requirements for the eight US G-SIBs now range from 3.5% to 4.25% as of 1st January³, compared to the previous uniform 5% requirement⁴.

As regulators had hoped, this easing has improved intermediation conditions in the Treasury market. Amid heightened uncertainty driven by the Iran conflict, it has enabled major banks to absorb some of the Treasuries without buyers. This is evidenced by higher net positions among primary dealers – most of which are G-SIB subsidiaries – which reached 1.8% of outstanding federal debt in March and April, the highest level since the 2008 financial crisis. In conjunction with the Federal Reserve's Reserve Management Purchases and the Treasury's buyback programmes, the easing of leverage requirements has helped to preserve liquidity in the Treasury market and contributed to lower interest rates in the repurchase agreement markets.

However the capacity to absorb federal debt is still limited

Conversely, the eSLR easing has not triggered the expected surge in demand for these securities. While G-SIBs' trading portfolios – hosting securities held by their broker-dealer subsidiaries – have expanded, their Treasury investment portfolios (held-to-maturity or available-for-sale) have remained virtually unchanged. Multiple constraints have thwarted the Secretary of the Treasury's hoped-for surge in demand, including the eSLR requirement itself. It is still binding, or near-binding, for major G-SIB depository subsidiaries. Yet, G-SIBs' Treasury investment portfolios are predominantly booked on the balance sheets of these subsidiaries. The proposed reform of G-SIB capital surcharges (still under consideration) may further support Treasury market liquidity, but it will not fully alleviate balance sheet constraints⁵.

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1 A leverage ratio is a non-risk-weighted capital requirement designed to ensure that a bank's size – regardless of its risk profile – does not exceed a certain multiple of its capital. See Bensaïdani, A. and Choulet, C. (2025), *The US Treasuries Market, An Idol with Feet of Clay – Oiling the Wheels*, Ecolnsight, BNP Paribas.

2 The new eSLR requirement has been aligned with the Basel recommendation, set at 3% plus a buffer equal to 50% of the G-SIB surcharge calculated under the Financial Stability Board's method.

3 The effective date of the new eSLR rule was set for 1st April 2026, but banks were permitted to adopt it early as of 1st January 2026.

4 The buffer for their depository institution subsidiaries is capped at 1%, so their eSLR requirement cannot exceed 4% (down from the previous 6% requirement).

5 See Choulet C. (2026), *A drop of oil in the Treasuries market's gears*, forthcoming in Ecolnsight.

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EDITORIAL

3

EUROPE'S QUIET METAMORPHOSIS, POWERED BY FIVE UNDERAPPRECIATED BOOSTERS

Out of the spotlight, Europe is quietly preparing to emerge from its post-pandemic underwater years like a nymph turns into a stunning dragonfly. The turmoil of the last year and a half has brought about “Europe’s moment” in more ways than is being recognized. Europe isn’t just emerging as the alternative safe haven of choice. It can count on five powerful boosters: rebounding industrial strength, established services dominance, tech acceleration, a governance sea-change, and favorable geopolitical winds.

Over the past year, it has become impossible to ignore that the world is in the midst of a profound, multidimensional rewiring. Much of what we took for granted for decades about geopolitics, technology, economic policies, and the very fabric of globalization (trade and capital flows) is being upended¹. And the epicenter of this whirlwind is none other than the architect and implicit leader of the previously prevailing global economic order: the United States of America.

All this turmoil has already made Europe look more attractive, as a haven of stability. Last week, the ECB’s annual report on The International Role of the Euro revealed that the euro is catching up as the world’s safe asset of choice. On multiple occasions, during recent episodes of market turmoil, the euro behaved more like a safe asset than the US dollar. In a world where stable inflation, responsible fiscal policy, predictable and stable structural policies, and level playing field can no longer be taken for granted, Europe stands out. Financial markets have noticed: the so-called convenience yield² on German bunds rose threefold from 30 bps to 90 over 2023-25. To the extent that all other bonds (sovereign and private) in euros are priced off German bunds, this benefits the entire Eurozone economy.

Europe can also count on five lesser-known boosters to surprise on the upside.

1. REPORTS OF THE DEATH OF EUROPEAN INDUSTRY ARE GREATLY EXAGGERATED

After growing at a faster clip than the United States for most of the last ten years, the EU’s industry was dealt a severe blow by the energy shock of 2022, which hit it twice as hard as the US (in terms of energy expenditure relative to GDP). Industrial production fell by 6% from peak to trough—but it has been bouncing back since early 2025 above its pre-Covid level. Europe remains a net exporter of industrial goods, albeit it now has a deficit with China. Even against China, Europe retains competitive advantages in aerospace, pharmaceuticals, and a range of cutting-edge industrial equipment—most notably advanced semiconductor manufacturing and its supply chain including optics³. And while energy-intensive industries continue to struggle, EU industry is gradually shifting toward dynamic sectors.

Moreover, sectors such as defense, infrastructure (for clean energy, artificial intelligence, and single market connectivity), as well as sovereignty are also benefiting from strong tailwinds from public spending programmes due to span over the medium term, as well as a more pro-growth agenda of reforms at the EU level (see point 4 below).

2. EUROPE IS A SERVICES EXPORT SUPERPOWER

Europe’s industrial legacy obscures a crucial fact: the European Union is a services export giant. In 2025, EU services exports reached USD 1.8 trillion, making Europe the world’s largest exporter, far ahead of the United States by roughly 70%.

This sector generates a USD173.5 billion surplus—the largest in the world. And contrary to cliché, this is not mainly a tourism story. Tourism, at 13% of total services exports, does not even rank among the top three categories. Europe’s strength lies above all in business services, telecoms and IT, and transport—precisely the kinds of activities that signal depth, scale, and competitiveness in a modern economy.

3. EUROPE IS NOT A TECH DWARF. IT IS A FAST-MOVING CATCH-UP STORY

Europe is often portrayed as lagging the US and China in tech, but the reality is more nuanced. The continent hosts many world-class firms, even if its share of the market capitalisation of the top 1,000 global tech companies remains well below its weight in global GDP and its start-ups are still too few and too small.

What matters, though, is the direction of travel—and Europe is improving fast. Over the past decade, the tech sector has expanded from 4% to 15% of GDP. Since early 2020, it has been the leading source of job creation, with high tech alone accounting for 23% of new jobs, or 1.6 million positions.⁴

The financing picture tells the same story. Venture capital investment in European start-ups nearly quadrupled between 2015 and 2025 and now exceeds China’s. In green tech and quantum technologies, European start-ups are even raising more capital than their US counterparts. France is also emerging as a major hub in AI and cloud computing, with USD 110 bn committed in the past week to new data centers.

Talent flows are shifting too. As of last year, more tech talent is now moving from the United States to Europe than the other way around.

Europe has some catch up to do, but it now has the momentum to do it.

4. EUROPE IS FINALLY TREATING STRATEGIC AUTONOMY AND GROWTH AS URGENT POLICY PRIORITIES

The succession of unimaginable shocks that occurred since last Spring has done what Mario Draghi and his celebrated September 2024 report could not: it has jolted Europe out of complacency and refocused policymakers’ minds on key must-haves—notably strategic autonomy and, in order to afford it, growth—while de-prioritizing the nice-to-haves.

1 See our editorial: [IMF Spring Meetings: Coming to terms with multiple regime changes with Realism, Resilience and Rewiring](#), 20 April 2026.

2 This reflects the premium financial markets are prepared to pay for the convenience of holding a safe and liquid asset. It reduces the issuer’s borrowing costs compared to what macroeconomic fundamentals would suggest.

3 See our editorial: [Up against China’s industrial surge, Europe has strengths but is seeking a strategy](#), 18 May 2026.

4 See also [Job creation in the technology sector is a driver of the Eurozone’s labour market](#), BNP Paribas chart of the week, 19 November 2025.



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The new tech sovereignty package, unveiled last week, is a good example. It strikes a clever balance between preserving the benefits of openness and incumbent know-how while building domestic alternatives and helping them scale more quickly, including with public money and contracts. A month earlier came the Industrial Accelerator Act —“Made with Europe”—signaling the same shift in tone away from the dogma of previous decades that shunned state support and restrictions to open trade.

This follows a broader outbreak of pragmatism over the past year: delays to regulations on ESG, artificial intelligence, and bank capital rules, a consultation by the European Commission on banking competitiveness, a review of the ultra-restrictive merger guidelines, and a new “one Europe, one market” playbook with ambitious deadlines. Competitiveness is no longer secondary; it is becoming a central policy objective.

Even more encouragingly, member states have rediscovered the virtues of what Mario Draghi, in his recent *Karlspreis* acceptance speech, called “pragmatic federalism”: allowing a subset of willing member states to move ahead while others join later instead of blocking progress. The much-delayed capital markets union may be the next beneficiary, with the six largest member states recently backing centralised market supervision. Europe is not moving fast, smoothly or uniformly—but it is moving.

5. THE WINDS OF GEOPOLITICS ARE TURNING MUCH MORE FAVORABLE, AT LAST

The final booster is geopolitical. After years of being buffeted by adverse external forces, Europe may at last be entering a more favourable environment. Following its recent change of leadership, Hungary is no longer the blocking factor it was in recent years. The war in Ukraine appears closer to an armistice than at any point since its full-scale invasion by Russia. Ten years after the Brexit referendum, political sentiment in the United Kingdom has shifted markedly, with a majority now seeing the decision to leave the EU as a mistake. And the two leading contenders to replace the current prime minister are openly in favour of rejoining the EU.

At the same time, Europe is building and extending its economic and political relationships. Within the European Political Community, it is deepening ties with neighbours and Canada while cultivating newer partnerships, including with the Gulf. The inaugural Europe Gulf Forum in Athens last month was one illustration, and Gulf sovereign wealth funds directed 28% of their investments toward Europe in the first nine months of 2025, the highest share in at least five years.

The trade agreements concluded with Mercosur, India and Australia earlier this year reinforce the point. They are not just economic arrangements; they are signals of political intent. These shifts suggest that Europe is no longer merely adjusting to a harsher world. It is showing agency and taking steps to benefit from the new map being drawn rather than being reduced to the proverbial grass on which the elephants—the US and China—fight.

NONE OF THIS MEANS EUROPE'S PROBLEMS HAVE VANISHED

Growth remains too weak, fragmentation too real, and policy execution too slow for triumphalism. But the broader picture has changed more than many admit. The continent is entering this new era with more industrial resilience than assumed, genuine services firepower, more technological momentum than credited, and a policy and geopolitical backdrop that is becoming less of a handicap and more of an asset. Europe's moment may not arrive with a bang. But it has already begun.

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INTERNATIONAL

Global trade: New US Tariffs on the way. USTR has proposed new tariffs of 10% and 12.5% against all 60 countries investigated upon concluding a series of investigations under section 301 of the 1974 Trade Act, relating to forced labour. The EU would be subject to the 10% rate on grounds of failing to protect adequately against the use of forced labour (NB: USTR finds that Bangladesh and Pakistan do it better than Japan, Norway, or Switzerland and hence get the lower tariff). Existing exemptions would apply. It is likely though not certain that these tariffs would only come in if bilateral trade agreements became impaired. The proposal is now subject to a consultation period running up to 6 July. The results of another consultation under section 301 for excess capacities should be out soon.

ADVANCED ECONOMIES

UNITED STATES

United States. Blowout jobs report puts Fed hike back on the table. Nonfarm payrolls surged at 172,000 in May — roughly double the consensus forecast — and the prior two months were revised up by a combined 93,000. This brings 2026 YTD payroll growth to 569k vs. 116k for 2025 as a whole. The unemployment rate held steady at 4.3%. Gains were concentrated in leisure & hospitality, local government, and healthcare. The strong jobs print drove bonds to selloff, with markets now fully pricing in a 25bp Fed rate hike by year-end, with c. 60% odds of the move coming as early as October (we have changed our call from pause to expecting a hike in December). This, in turn, led to a 0.7% jump in the USD and a sharp fall in tech stocks. Earlier in the week, the ISM May activity gauge also surprised on the upside with the manufacturing ISM rising to 54.0 (+1.3pp), the highest since May 2022. However, the upbeat reading is at odds with qualitative responses that reveal strong concerns about prices, supply and uncertainty. The Services ISM also rose (54.5, +0.9pp).

EUROPEAN UNION

Flexibility and tech sovereignty. The European Commission (EC) is showing welcome **flexibility on two fronts: (i) Fiscal rules:** countries may deploy up to 0.3% of GDP annually (capped at 0.6% over 2025–2028) to support households/firms coping with energy price spikes—but only for fossil fuel phase-out measures, not subsidies for gas/petroleum. Member states could also use EU cohesion funds to offset energy cost pressures; and **(ii) Capital requirements for investment banking activities**, with time-limited amendments that will neutralize the capital impact of the new FRTB rules for three years from 1st January 2027 and thereby keep a level-playing field with the US, UK and other jurisdictions. The EC also published an ambitious package of measures to bolster the EU's digital autonomy through a (US-style) combination of public funding, procurement, and regulatory incentives: **(i) The CHIPS Act 2.0**, aims to reduce overreliance on external suppliers for critical semiconductor technology by strengthening research, innovation, and skills development across the semiconductor ecosystem. It aims to stimulate demand and industrial uptake; increasing the use of procurement to boost demand, notably for European-based startups & scaleups and their technologies; Designating Strategic projects to unlock EU funding and co-invest with Member States and industry in projects of strategic importance and added value for the EU; **(ii) The Cloud and AI Development Act (CADA)** aims to make it easier and faster to deploy sustainable cloud and data centre infrastructure, and ensure that Europe accelerates the rollout of cloud and AI for critical sectors,

aiming for at least tripling the EU's data centre capacity within the next 5–7 year; and **(iii) A Strategic Roadmap for Digitalisation and Artificial Intelligence in Energy**, to make sure energy production and usage are consistent with the growing needs of the tech sector.

EUROZONE

Inflation accelerates, activity remains resilient. Inflation in May accelerated to 3.2%, with core (2.5%) and services (3.5%, +0.5pp vs. April) exceeding expectations. April producer Prices recorded their biggest increase since March 2023: +4.9% y/y after +2.0% in March. May PMIs showed input prices rising at the fastest pace since May 2022, while output prices saw their inflation rate rebound to a 3.5 year high. More encouragingly, household medium-term inflation expectations stabilized in April. Meanwhile, Eurostat revised Q1 2026 GDP to -0.2% QoQ (from an initial +0.1%), but this was driven an unprecedented downward restatement of Irish GDP, which collapsed 12.1% (vs. the initial -2% estimate) due to multinational distortions. Excluding Ireland, Eurozone GDP growth grew at around +0.2% q/q. Comfortingly, all final May PMIs were revised up from the flash estimates: composite (48.5) – down for a 2nd month, hitting the lowest since Nov. 2024, driven by services (47.7), while manufacturing continues to expand (51.6). The unemployment rate was stable at 6.3% in April—broadly unchanged across most countries. Retail sales grew by +1.0% y/y in April (vs. +2.1% in March), its lowest since July 2024.

France. Activity improving, public deficit growing. Manufacturing production grew in April at a post-Covid high pace, driven mainly by aeronautics (+0.4% m/m +2.5% y/y). Goods exports increased by 10% y/y in April (+5% y/y) mainly driven by aeronautics, electronic and electrical equipment, pharmaceuticals, and defence. Exports to EU destinations increased the most: +12% y/y in April, esp. Germany (+15% y/y in April). Car passenger sales were dynamic as well +3.5% y/y in May, with strong EV momentum (29% vs. 27% in Q1 and 20% in 2025). Housing starts are on the rise: +39% y/y in April (YtD +37% y/y). Building permits decreased in April (-17% y/y) but still increased YtD (+12% y/y). Final May PMIs, while confirming the deterioration across all sectors seen in the flash estimates, were revised up slightly. “Choose France” 2026 led to record investment pledges: EUR 93 bn, mainly in data centres, across 71 projects, expected to create 15600 jobs. Less positively, the state budget deficit was EUR 69.9 bn in Jan-Apr 26 (vs. 69.3 in Jan-Apr 25). It should continue to deteriorate in the months ahead. This is mostly driven by higher spending on debt service and defence, and to a lesser extent by lower gasoline consumption reducing tax revenues.

Germany. Sluggish. The final composite PMI was revised slightly higher to 48.8 in May. Manufacturing remained in expansion for a 4th consecutive month at 50.1, but new orders dropped for the 1st time in 2026. Input costs surged to their highest level since June 2022 and selling prices remained elevated but stabilized (producers cautious due to weak demand). Services fell to 48.1 but new orders shrank less than in April, and firms are slightly more optimistic, while inflationary pressures remained high but stable. Retail sales fell by 0.3% y/y in April (after -0.2% in March) the worst print since August 2025. Key driver: fuel purchases at gas stations. Factory orders remained robust in April (+1.5% y/y, +6.4% 6m/6m), despite a monthly dip (-3.8%). Growth is driven by aerospace and computer/electronics/optical sectors. The report on the usage of the SVIK (infrastructure) Fund in 2025 revealed that it added 0.5pp to GDP growth — without it, the economy would have stagnated for another year. It left €13.3bn underutilized (vs. budget) in 2025. Spending is set to accelerate in 2026 thanks to regulatory simplification measures.



[Find out more in our scenario and forecasts](#)

Italy: Activity expanding at steady pace. Composite PMI at 50.4, almost unchanged from the previous month (-0.1 pt). Manufacturing is expanding at a faster pace (highest since April 2022), compensating for the contraction in services. Input price inflation reached its highest level in more than three years. Retail sales increased 1.6% y/y in April, unchanged m/m.

Spain. Activity rebound. The May composite PMI rose to 50.2 (up from 48.7 in April). Manufacturing is still in expansion but losing momentum. The Services PMI rose to 50.1 in May, moving back into expansion after a sharp contraction to 47.9 in April. Input-cost pressure rose at the fastest pace in four years.

JAPAN

Imminent rate hike, weak consumption. BoJ governor Ueda gave the clearest signal yet that he thinks conditions require a rate hike at the June 15-16 BOJ meeting. He warned that "substantial rate hikes" could be warranted later if the central bank delays action. Despite a 4-month streak of real wage growth (+1.9% y/y in April) after 12 months of contraction in 2025, real household spending contracted in April for a 5th straight month albeit at a lower pace (-0.5% y/y, up 1.4pp. USD/JPY has remained above 160 despite record FX intervention in May.

UNITED KINGDOM

Weak construction, even higher price expectations. Construction activity shrank at its fastest pace since 2020 in May, with the PMI falling to 38.2. Firms surveyed by the BOE expect their own-price growth to increase by 4.0% over the next year (+0.2 pp m/m).

EMERGING ECONOMIES

PMIs: Gulf improving, Europe steady, LatAm mixed. Non-oil activity rebounded in the GCC, with KSA and UAE in expansion. In Central Europe, PMIs were little changed. In Latam, Brazil saw a sharp deterioration while Mexico and Colombia improved.

ASIA

China: Industrial subsidies champion. According to the OECD, China stands out as the economy that provides the most industrial subsidies to its firms: between 2005 and 2024, they received, on average, 3 to 8 times more government support than firms in OECD countries (as a % of annual firm revenue), in the form of direct subsidies, tax concessions, and loans at below-market rates.

India: Growth beat, efforts to stem rupee depreciation. Real GDP growth for FY2025/2026 (ended in March 2026) reached 7.7% (vs. 7.1% in FY2024/2025), above expectations. The RBI revised its growth projection to 6.6% (from 6.9%) for the current fiscal year. After the rupee fell to a record low (having depreciated by 4.7% vs. USD since the onset of the Iran war), the central bank adopted several measures to support the currency and increase foreign portfolio investment: it kept its policy rate stable at 5.25%; expanded foreign access to Indian government bonds via a broader Fully Accessible Route (FAR) especially for long-dated issues; introduced a temporary facility (through Sep 2026) under which authorised dealer banks will receive support to bear the full hedging cost for raising fresh FCNR(B) deposits with maturities of three to five year; and relaxed regulatory barriers to make Indian debt markets more attractive to capital inflows.

Indonesia: Rupiah depreciation accelerates. Despite the rise in policy rates by 50bp two weeks ago, the rupiah's depreciation accentuated further. The stock market has lost more than 35% since the start of the year.

EMERGING EUROPE

Poland: Monetary policy on hold. As expected, the central bank maintained its policy rate at 3.75% for the third consecutive month. In May, inflation even edged down to 3.1% y/y (April: 3.2% y/y). Going forward, the central bank should retain a wait-and-see stance, though a rate hike is not ruled out this year.

LATIN AMERICA

Peru: The second round of the election took place on Sunday 7th June. The final result is not yet known. Regardless of the outcome, the highly fragmented political landscape suggests a term marked by tensions and likely significant difficulties in implementing economic reforms.

COMMODITIES

US oil stocks under pressure from record exports: Strategic Petroleum Reserve (SPR) of crude oil fell by 8 mb/d between the week of the 22nd of May and the 29th of May (close to an all-time high). Total US stocks of crude oil and petroleum products (commercial and SPR) have now dropped to their lowest level since 2004, at 1.573 million barrels. US distillate fuel oils stocks are close to their lowest level since 2003 (at 102 million barrels during the week of 29 May). The OPEC+ members have agreed to increase their production quotas by 0,188 mb/d in July (this decision is symbolic as navigation through the Strait of Hormuz remains minimal).

TO WATCH NEXT WEEK

US. May CPI (Weds) and PPI (Thu), U. Mich survey of consumer sentiment (Fri).

Europe. ECB policy meeting (Thu); German factory orders (Mon) and industrial prod (Tue); Banque de France monthly business survey (Wed), May CPIs (Fri); UK GDP and industrial prod, inflation.

Japan. Q1 GDP (Sun).

EM. Türkiye CBRT meeting (Thu); China inflation (Wed) and trade balance (Tue)

Other. EIA short term energy outlook (Tue).


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IN LATIN AMERICA, THE ENERGY CRISIS IS EXPECTED TO HAVE A MODERATE IMPACT ON PUBLIC FINANCES

Lucas Plé

Latin America is not exposed to the risk of a disruption in hydrocarbon supplies due to the conflict in the Middle East. However, the rise in international energy prices is exerting pressure on the region's public finances. In Brazil, Mexico and Colombia, fuel subsidies are increasing the risk of fiscal slippage; however, this risk is somewhat mitigated by the projected rise in oil-related fiscal revenues. In Chile and Peru, the lack of subsidies points to a significant inflationary impact that could result in a monetary tightening. This would increase the interest burden on public debt, but the moderate fiscal deficits in these countries should enable them to absorb the shock. Furthermore, governments in the region are expected to manage any tightening of international financial conditions with relative ease.

The energy shock poses moderate risks to public finances in Latin America

	Brazil	Colombia	Mexico	Chile	Peru
Fiscal deficit 2025, % GDP	8.1	5.7	4.9	2.8	2.4
Interest payments on debt 2025, % government revenue	19.5	8.4	24.4	3.3	7.4
Government debt, % GDP	75.2	64.3	47.8	43.5	28.8
Share of debt held by non-resident investors, % total	12.0	28.8	25.7	34.2	12.4
Share of foreign-currency debt, % total	3.4	28.3	15.7	34.0	41.6

Note: Sovereigns are ranked according to their level of risk exposure, ranging from green (low exposure) to red (high exposure).

SOURCES : IMF, WORLD BANK, NATIONAL INSTITUTES OF STATISTICS, BNP PARIBAS

The impact of the energy shock on primary fiscal balances is expected to be limited, but the risks of slippage should be closely monitored

The governments of Chile and Peru have not introduced any fuel subsidies. Consequently, gasoline and diesel prices have risen by 31% and 60% respectively in Chile, and by 43% and 65% in Peru since the start of the conflict in the Middle East. The inflationary impact of rising energy prices in these countries will be significant¹, as transport accounts for 12-13% of the consumer price index.

In Brazil, the cost of the subsidies introduced since March (BRL 7.5 billion per month) is expected to be entirely offset by the rise in oil revenues (BRL +8.5 billion per month). However, given the electoral context, these subsidies could be increased. In such a scenario, the energy shock could result in a negative net cost for public finances.

In Mexico and Colombia, fuel prices are set by the government, which increases the risk of fiscal slippage. The difference between international and domestic prices is an indirect subsidy financed by the state. Since late February, gasoline and diesel prices have risen slightly in Mexico (+10.6% and +4.1% respectively) while remaining virtually unchanged in Colombia (+1.9% and +2.7% respectively). The cost of subsidies could therefore be significant and may not be fully offset by the increase in fiscal revenue from oil.

Chile and Peru have the fiscal leeway to absorb higher rates in the event of a monetary tightening.

So far, the monetary *status quo* expected prior to the energy shock has been preserved in Chile and Peru; however, given the inflationary impact of the energy shock, an increase in key interest rates is likely. Monetary tightening is expected to result in a higher interest burden on debt, yet these countries have the fiscal leeway to absorb this additional cost. Fiscal deficits were below 3% of GDP in 2025, and interest payments did not exceed 8% of fiscal revenue (*Heatmap, lines 1 and 2*).

Other central banks in the region are not expected to react to the energy shock. In Brazil and Mexico, they have cut their key interest rates since the start of the conflict, in reaction to disinflation (in Brazil) and slowing growth (in Mexico). In contrast, the Colombian central bank has raised its key interest rate in response to domestic inflationary pressures that existed prior to the conflict in the Middle East. In Colombia, the rise in debt interest payments in 2026 will further reduce fiscal space, which has already been diminished by the government's expansionary fiscal policy.

¹ Year-on-year, inflation rose from 2.2% in February to 3.9% in May in Peru. In Chile, it rose from 2.4% in February to 4% in April.



The risks associated with a tightening of global financial conditions are limited in the short term

Latin American sovereigns appear vulnerable to a tightening of international financial conditions (Heatmap, lines 4 and 5), which raises risks of capital outflows and downward pressure on currencies. This vulnerability arises from the significant shares of debt denominated in foreign currency (Peru, Chile, Colombia) and debt held by foreign investors (Chile, Colombia, Mexico). Only Brazil has limited exposure to these risks.

However, certain factors help to mitigate the risks for the most vulnerable countries. In Chile and Peru, the governments can manage an increase in debt servicing costs due to their comfortable fiscal buffers. Besides, the depreciation of exchange rates against the US dollar since the start of the conflict has been modest (-3.3% in Chile and -1.7% in Peru). Colombia and Mexico, being oil-producing countries, have thus far avoided the financial volatility resulting from the energy shock – Colombia's energy trade balance shows a healthy surplus, while Mexico's shows a moderate deficit².

In conclusion, similar to Asia³, the energy shock poses moderate risks to Latin America's public finances, which should remain manageable if the conflict in the Middle East is resolved soon. Despite the fact that Colombia and Mexico are oil-producing countries, the deterioration of public finances in these countries is expected to continue.

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² See also: [Latin America: more exposed to inflationary pressures than to disruptions in hydrocarbon supplies](#).

³ See also: [The impact of the energy crisis on public finances in emerging Asia](#).



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1^{er} trimestre 2026

Avril 2026

2026-2027 Economic Outlook: Advanced Economies Facing the Risk of Stagflation

By Lucie Barette, Anis Bensaidani, Maëlys Biot, Stéphane Colliac, Guillaume Derrien and Marianne Mueller (Advanced Economies Team) and Hélène Baudchon (Deputy Chief Economist)

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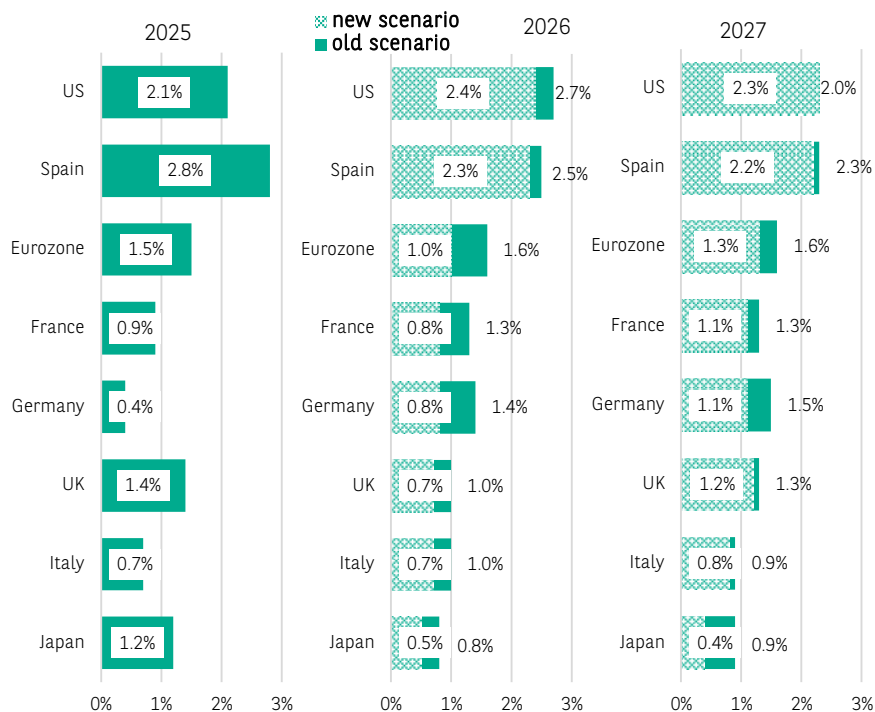


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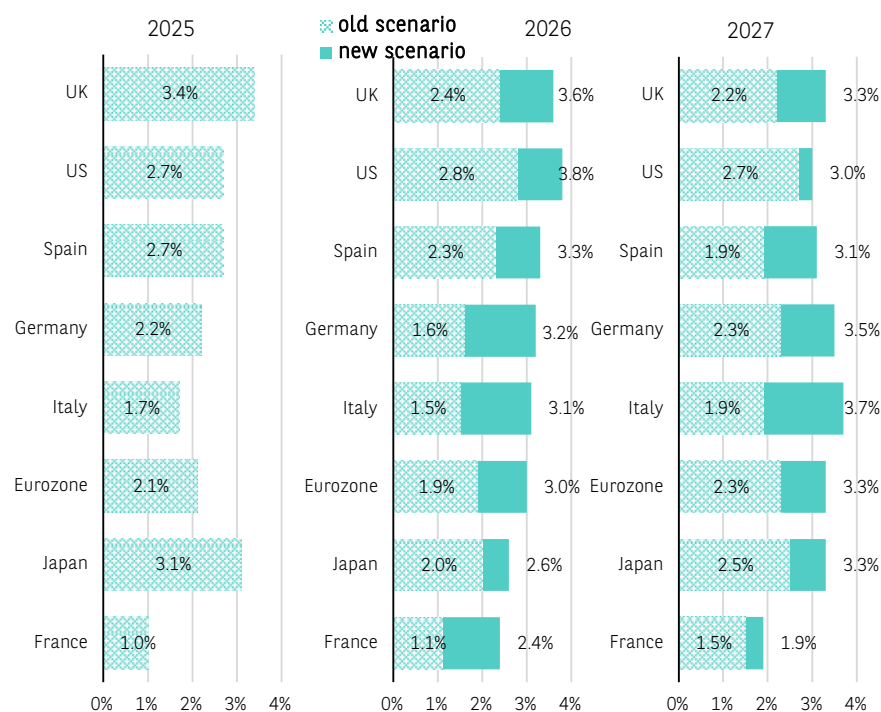
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2026-2027 Economic Outlook (as of 27 May 2026)

Growth forecasts
(annual average, %)



Inflation forecasts
(annual average, %)



Source: National, BNP Paribas



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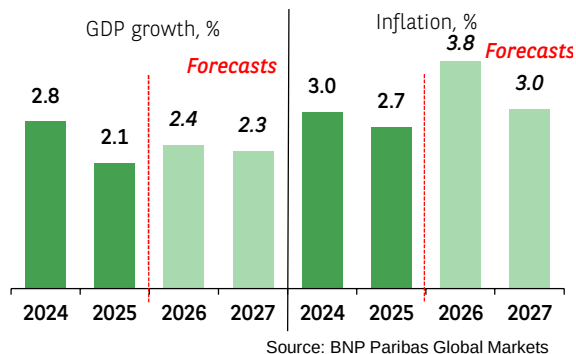
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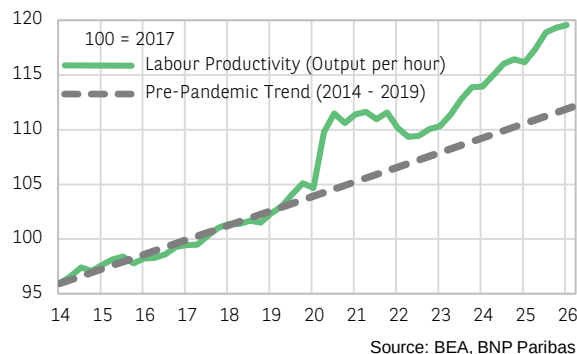
United States: Growth and Full Employment Tested by Uncertainty



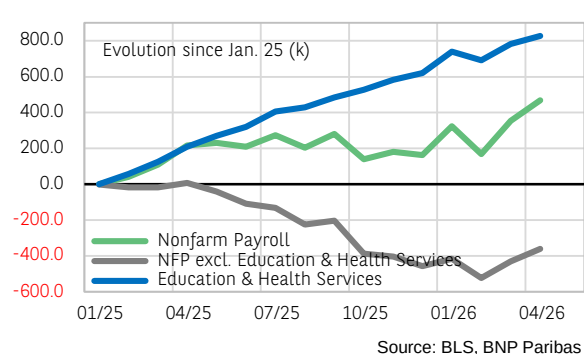
Growth above potential, inflation above target



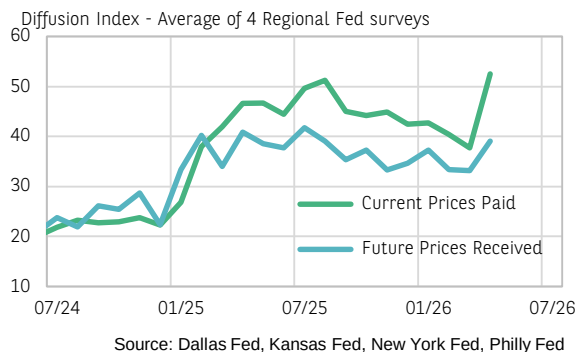
Above-trend productivity underpins growth



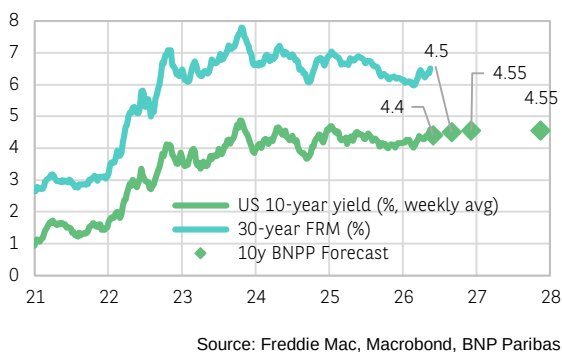
Slow payroll growth supported by healthcare



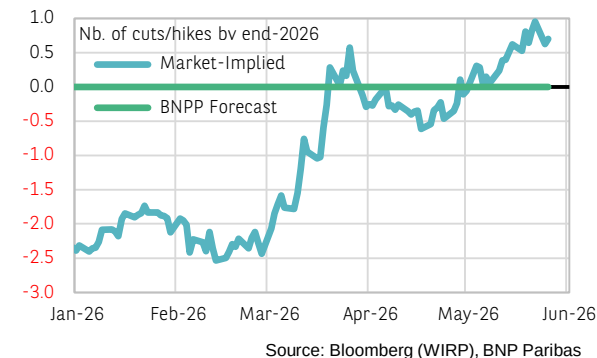
Prices: One shock follows another



Mortgage Rates: A short-lived relief?



FOMC to hold through end-2026 with a less-dovish stance priced-in by markets



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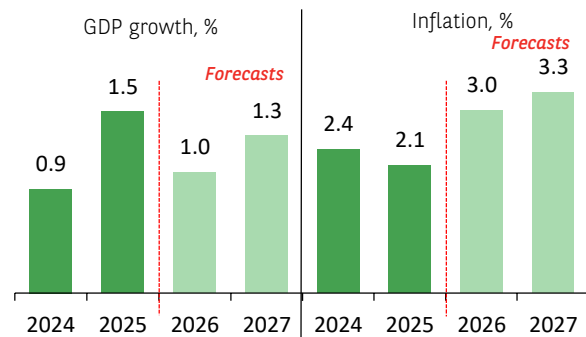
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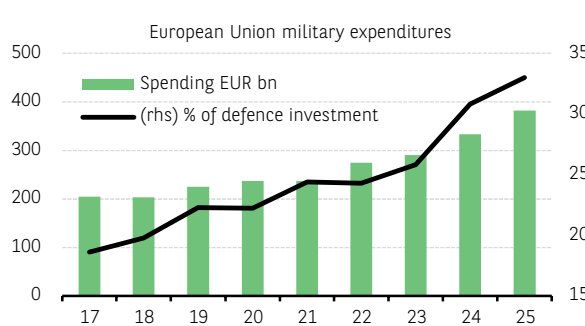
Euro area: Recovery fragile but not in doubt



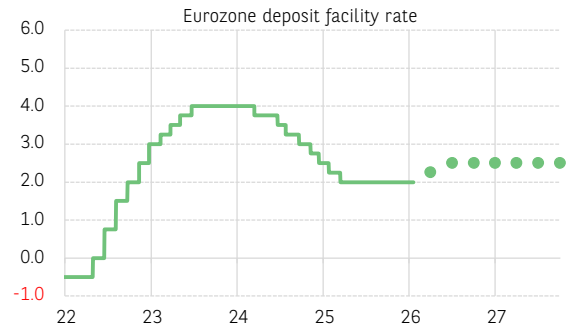
Growth hindered but structural strengths preserved



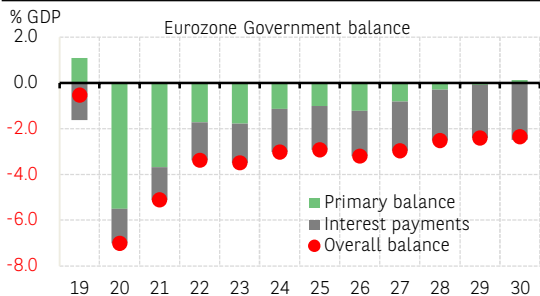
Structural factors supporting the recovery remain intact



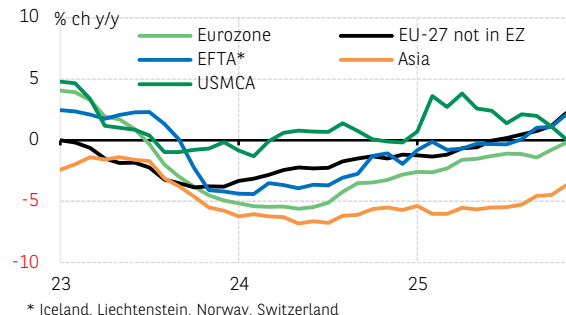
Interest rate rises brought forward to 2026



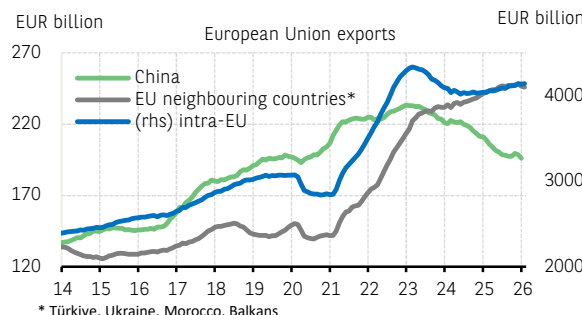
Moderate deterioration in public finances expected



Intra-EU trade expected to gain further momentum



The reorganization of export flows will continue



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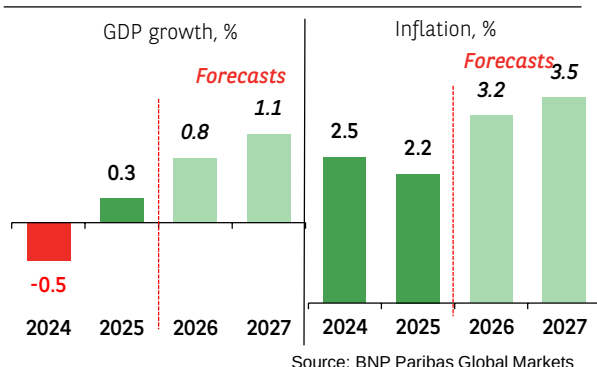
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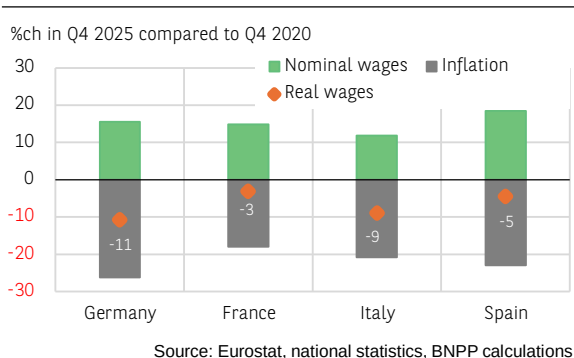
Germany: A modest recovery, but one that is expected to take hold



In 2026, the growth recovery should strengthen but inflation increase



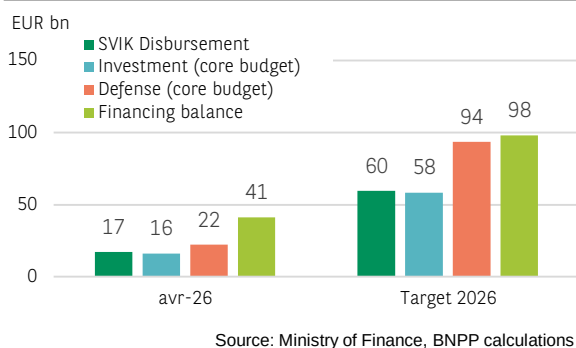
German wages have recovered less than in other countries to their pre-Covid inflationary crisis levels



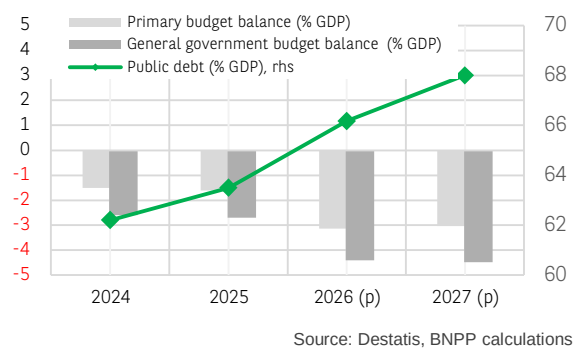
The labour market remains historically strong



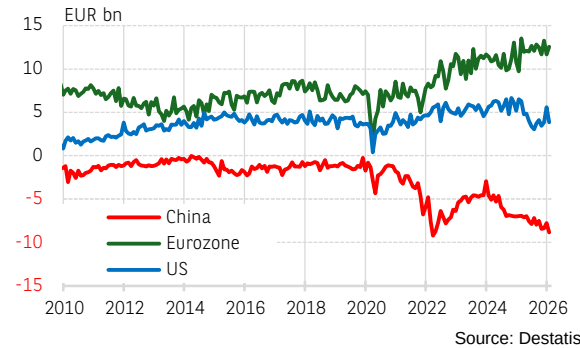
Domestic demand should stay the main growth driver



A fiscal trajectory largely unchanged at this stage



A rebalancing of foreign trade in underway



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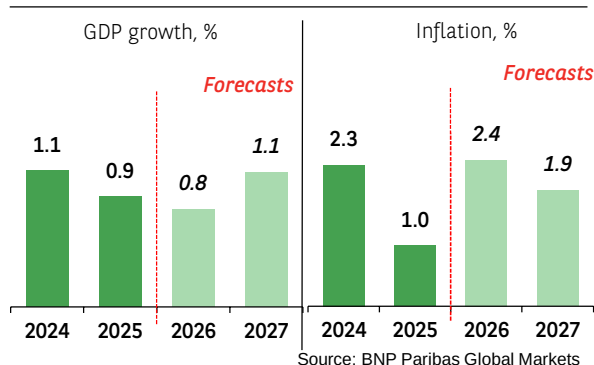
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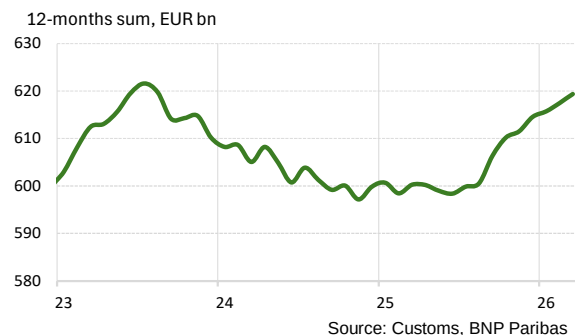
France: growth and public finance to stay on track despite the inflation shock



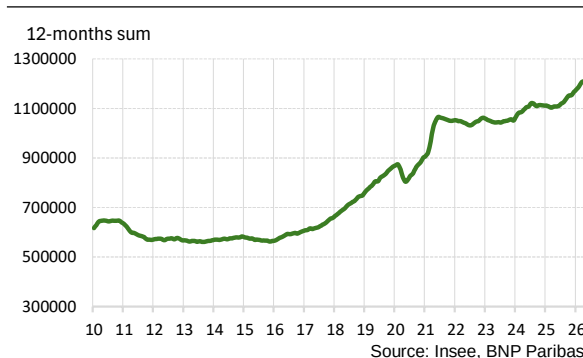
GDP Growth to be resilient despite the inflation shock



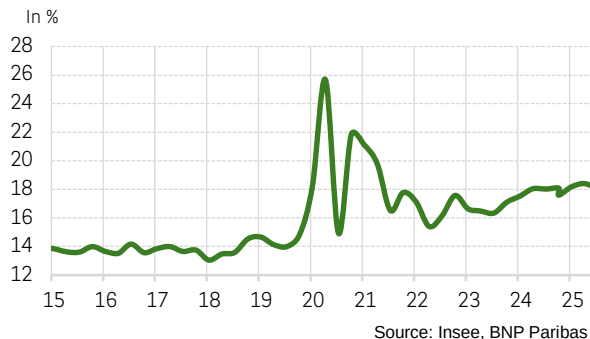
French exports are boosted by increased AI, military and aeronautics



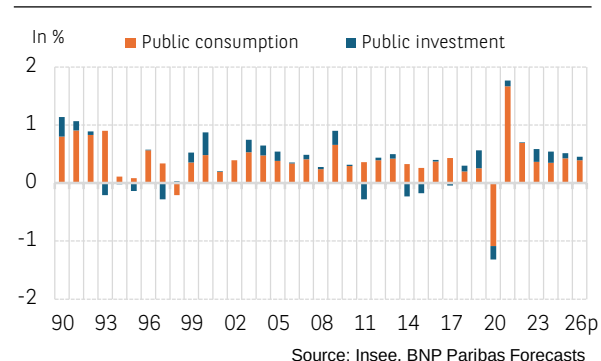
Business creations: a new wave (AI driven)



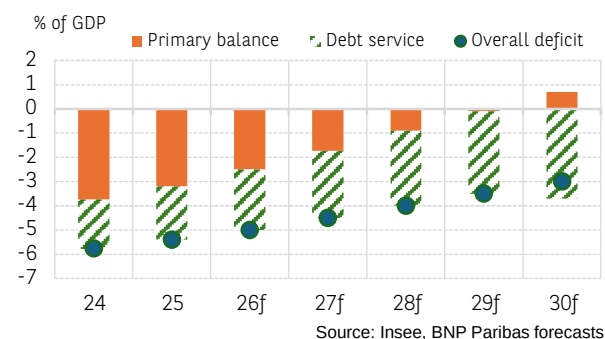
Household savings to remain high as a result of purchasing power pressures



Military and social spending are boosting public contribution to GDP growth



Fiscal consolidation should be increasingly constrained by the debt service



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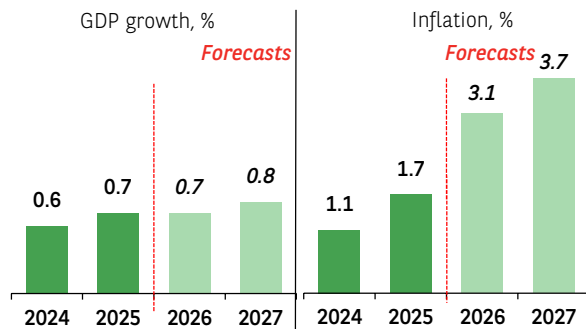
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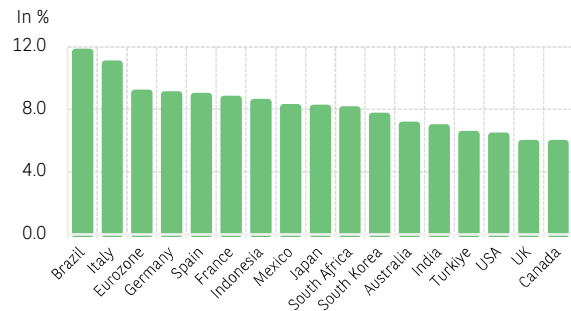
Italy: Navigating energy vulnerability, resilient trade and limited fiscal capacity



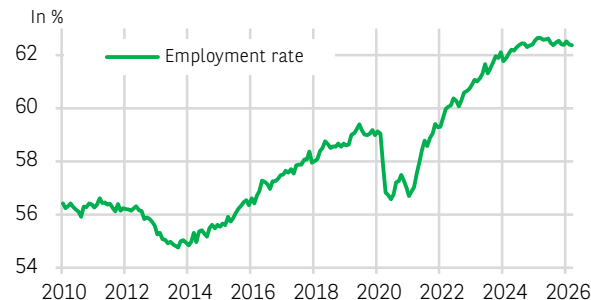
Growth is expected to stagnate while inflation surges



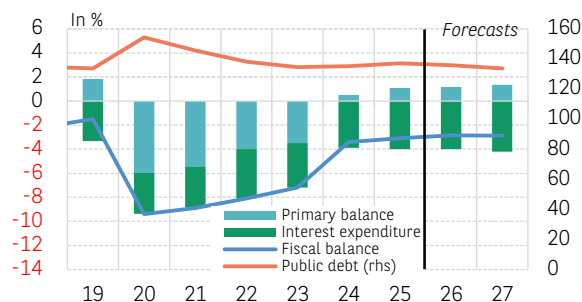
Energy accounts for a significant proportion of the consumer basket



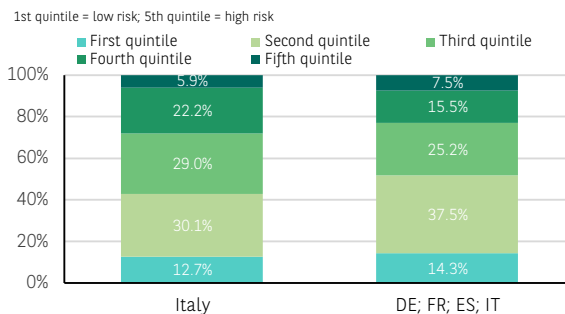
The employment growth is beginning to run out of steam



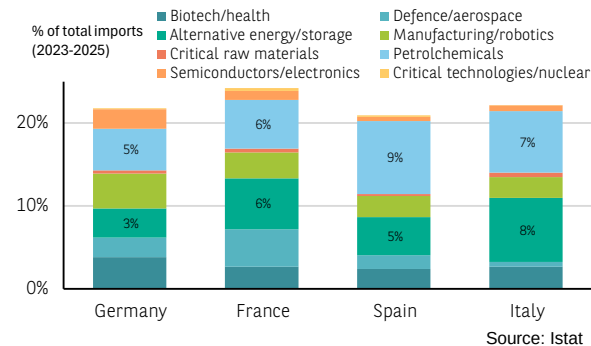
Public finances: real progress, thin margins



Italy's strategic imports originate from countries that are politically riskier than its eurozone peers



The import side remains vulnerable to potential disruptions in the supply of strategic goods



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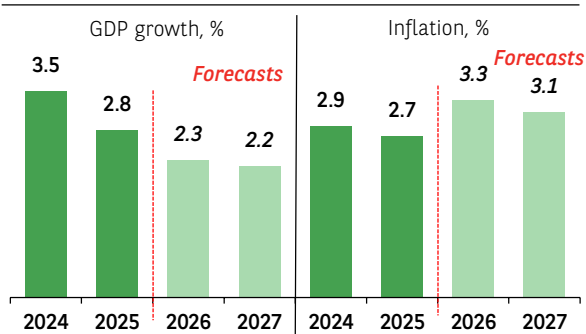
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Spain: Domestic demand is expected to continue to drive growth

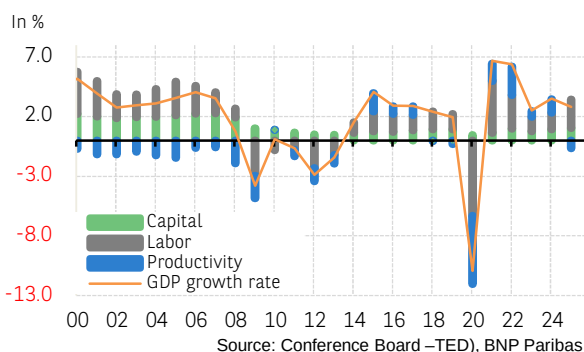


Growth is expected to remain strong and inflation is set to rise



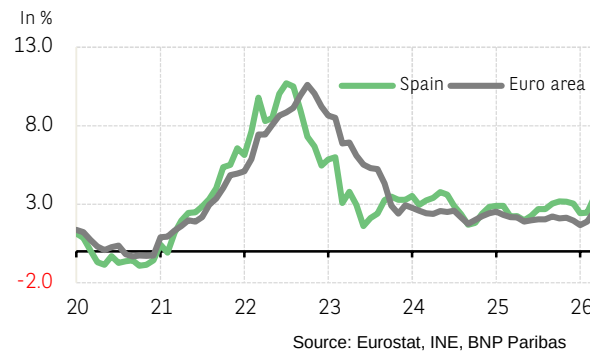
Source: BNP Paribas Global Markets

Growth driven by employment and held back by productivity



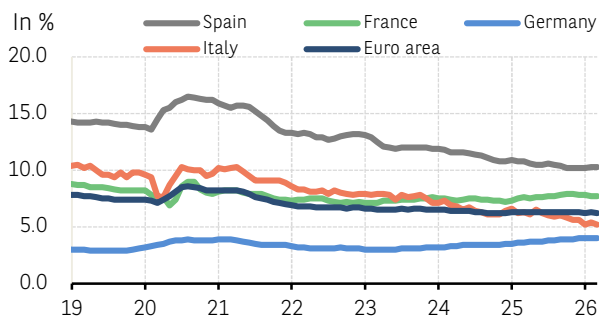
Source: Conference Board –TED), BNP Paribas

Inflation remains higher than in the eurozone

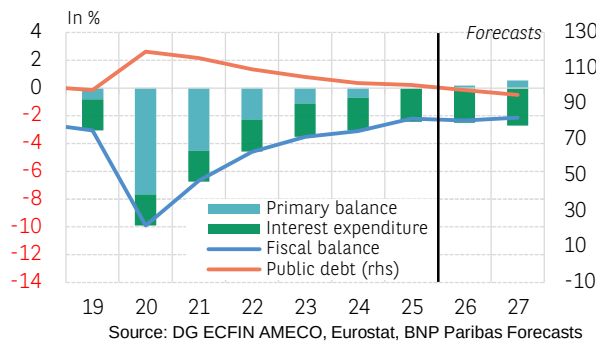


Source: Eurostat, INE, BNP Paribas

The unemployment rate remains above the Eurozone average

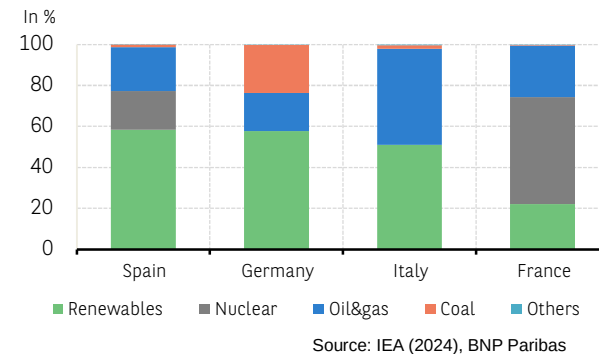


Strong nominal growth will reduce public debt



Source: DG ECFIN AMECO, Eurostat, BNP Paribas Forecasts

Renewable energy accounts for more than half of Spain's electricity generation



Source: IEA (2024), BNP Paribas



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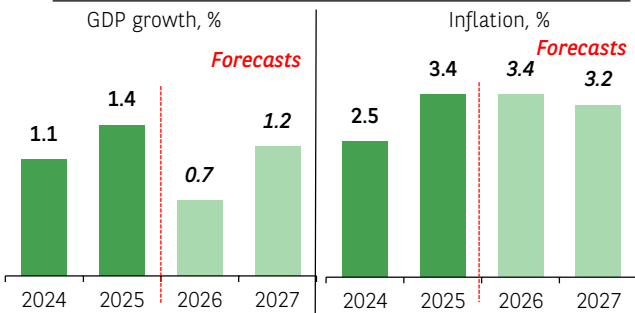
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United Kingdom: Risk of stagflation

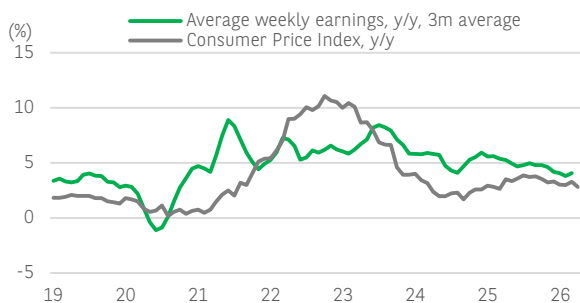


Significant growth slowdown, inflation rebound



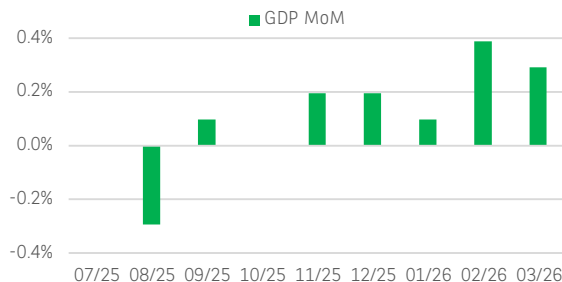
Source: BNP Paribas Global Markets

As labour market conditions have loosened, nominal wage growth has been decelerating and could undershoot inflation



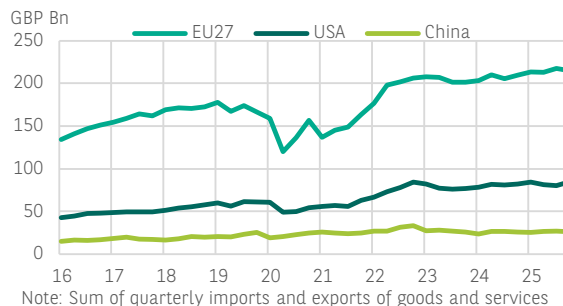
Source: ONS, BNP Paribas

Strong early-year momentum is expected to offset weaker quarters later on, weighed down by private domestic demand



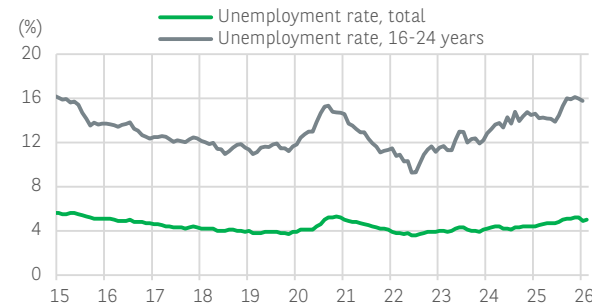
Source: ONS, BNP Paribas

Trade intensity (exports and imports of goods and services) underscores realignment with the EU



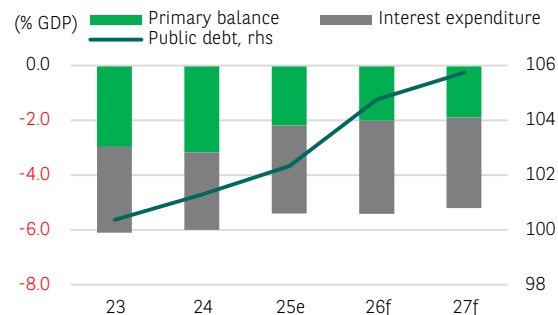
Source: ONS, BNP Paribas

Labour market stabilised at the start of the year after several months of deterioration, but is expected to weaken slightly



Source: ONS, BNP Paribas

Limited fiscal room for manoeuvre constrains the government's ability to respond to new shocks



Source: ONS, BNP Paribas



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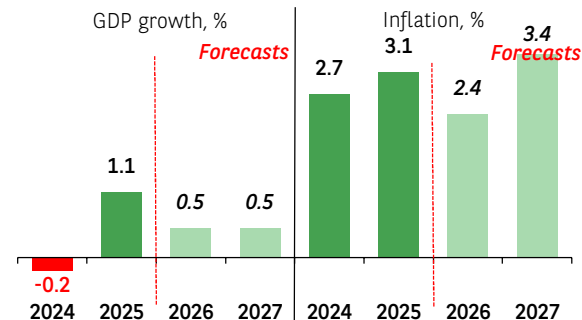
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Japan: Strong momentum, already under threat

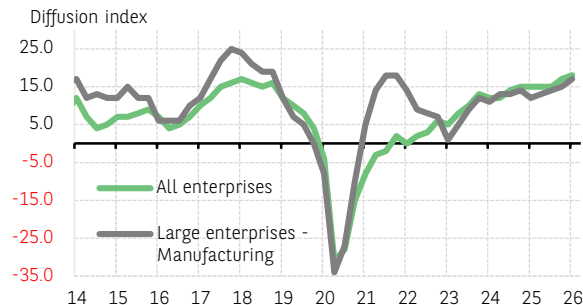


Energy shock weighting on the outlook



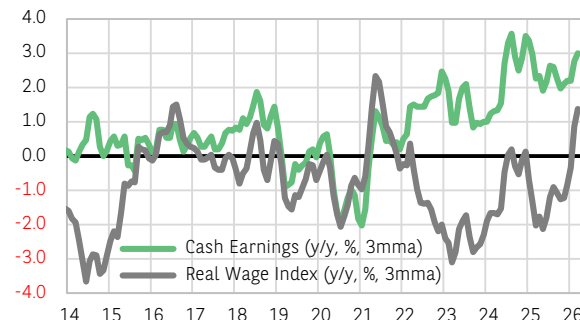
Source: BNP Paribas Global Markets

A sustained improvement in the business climate, undeterred by the tariff shock



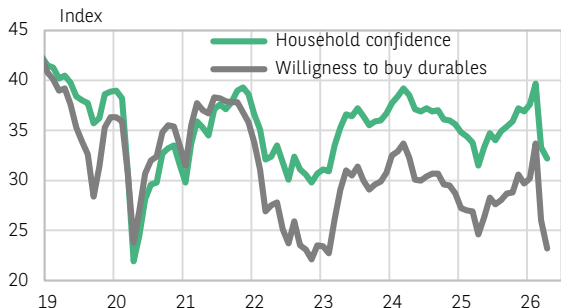
Source: BoJ, BNP Paribas

Real wages are struggling to move into positive territory



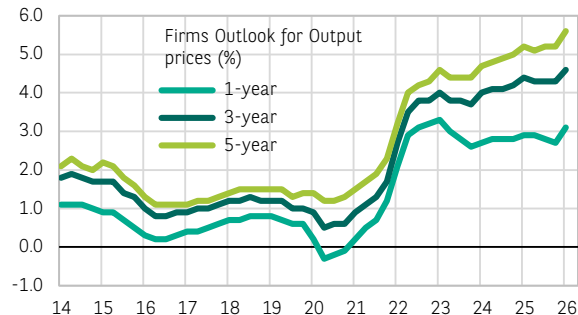
Source: Japanese Ministry of Health, Labour and Welfare, BNP Paribas

Abrupt change in consumer confidence



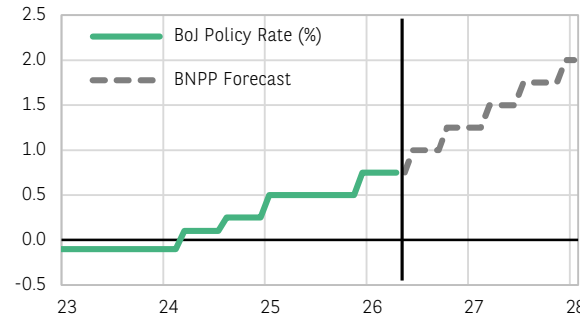
Source: Cabinet Office, BNP Paribas

Shift in firms' price-setting behavior



Source: BoJ, BNP Paribas

A cautious adjustment of the degree of monetary accommodation



Source: Bank of Japan, BNP Paribas Global Markets



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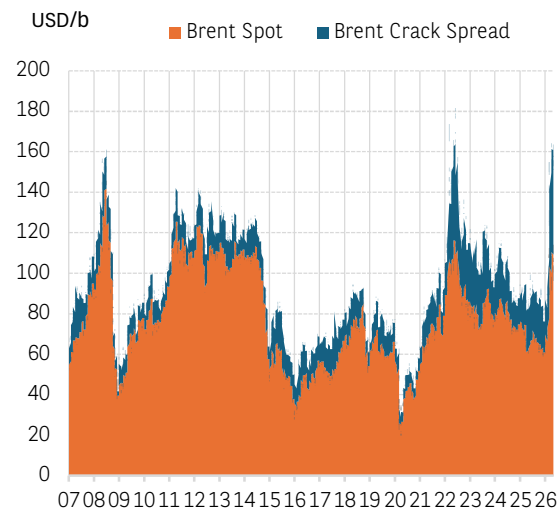
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Oil prices: a significant rise, but one that should be put into perspective

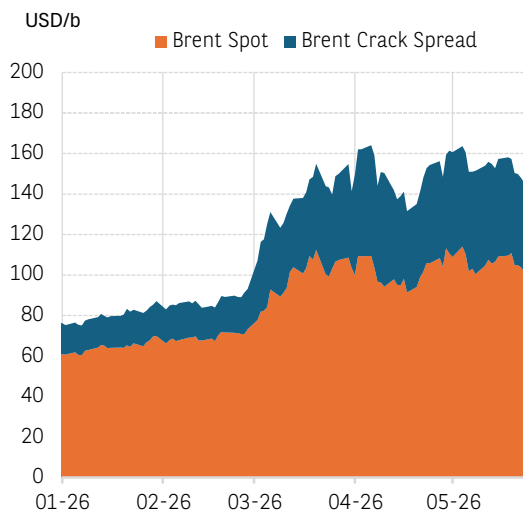
Will the shock have the same impact as it did in 2022? — Energy shock: Dashboard 2026 vs. 2022

When the crack spread is added to the spot oil price, the total approaches the highs reached in 2008 and 2022



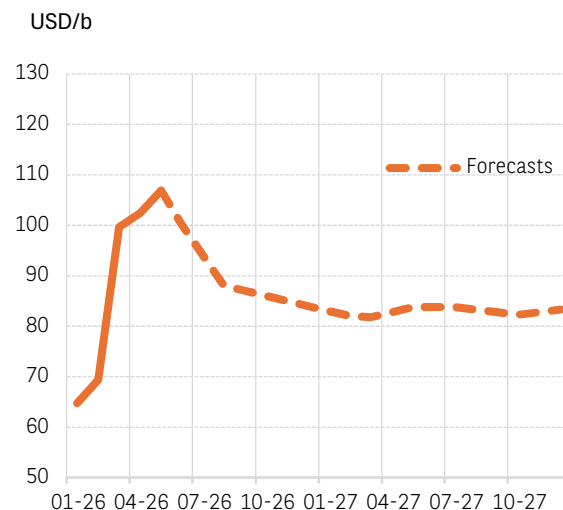
Source: ICE, Macrobond, BNP Paribas

In 2026, for consumers, the rise in oil prices is driven more by the crack spread than by the increase in spot prices



Source: ICE, Macrobond, BNP Paribas

Our baseline scenario for Brent prices does not anticipate any easing of tensions before the end of the second quarter



Source: BNP Paribas



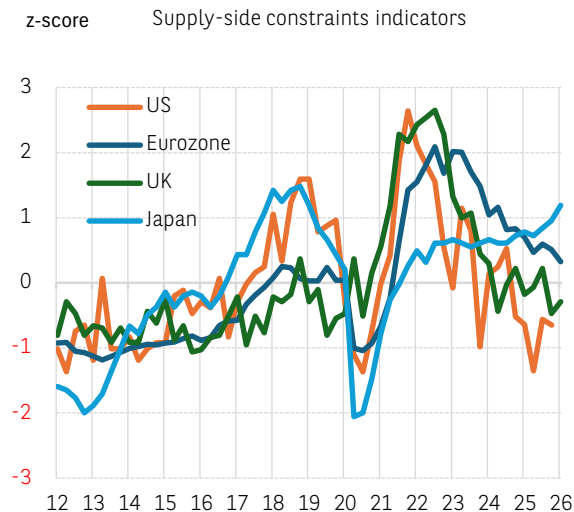
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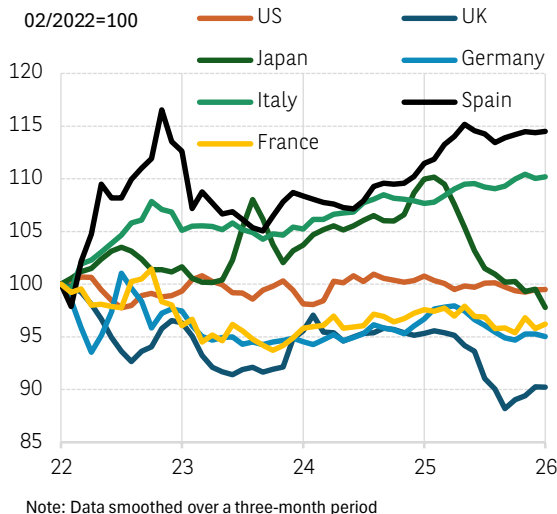
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The impact of the shock will be different from 2022

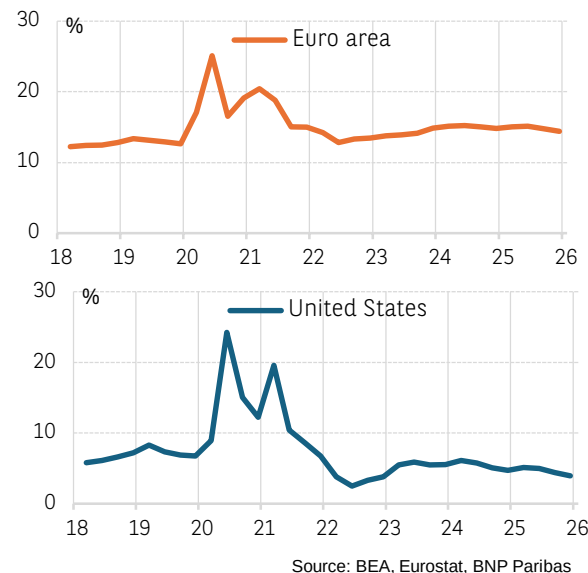
Supply constraints are limited except in Japan



The decline in fuel consumption took some time to materialize following the 2022 energy crisis



The household savings rate is higher than pre-Covid levels in the Eurozone and significantly lower than that level in the United States



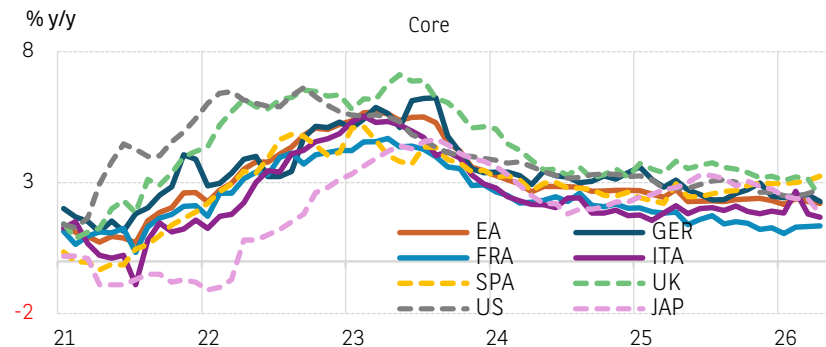
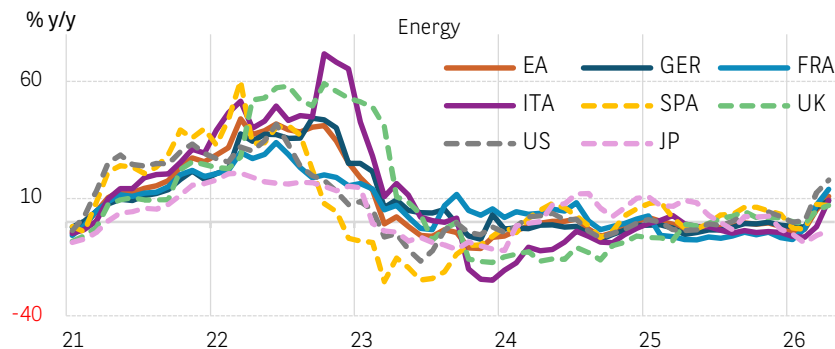
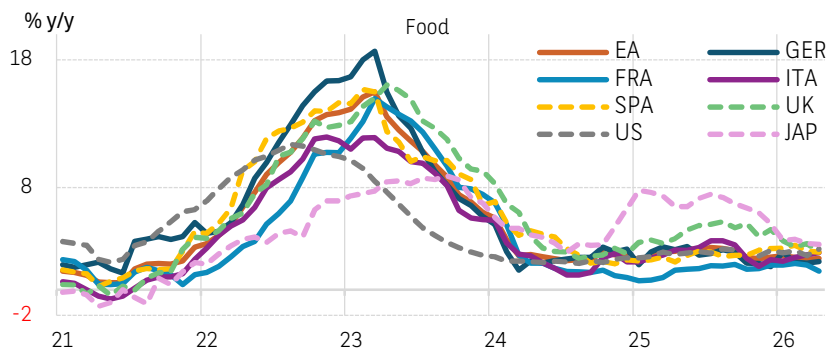
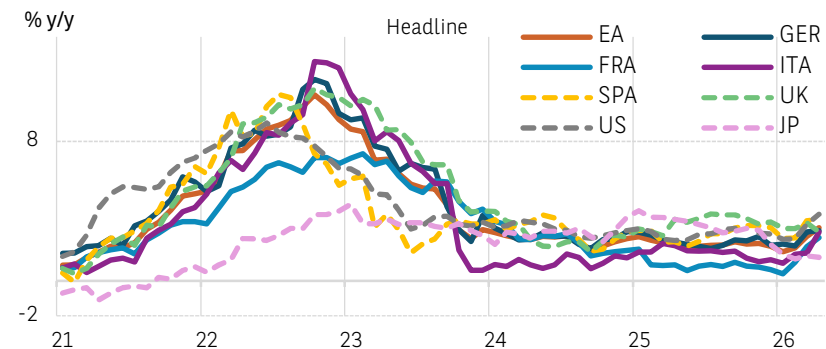
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An impact on inflation limited for now

Energy inflation is just beginning to pick up, while inflation in other categories shows no signs of accelerating at this stage



Source: National statistics, BNP Paribas



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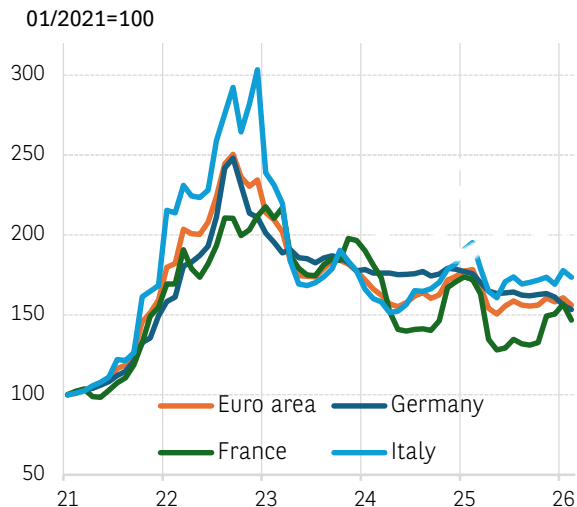
Source: National statistics, Macrobond, BNP Paribas

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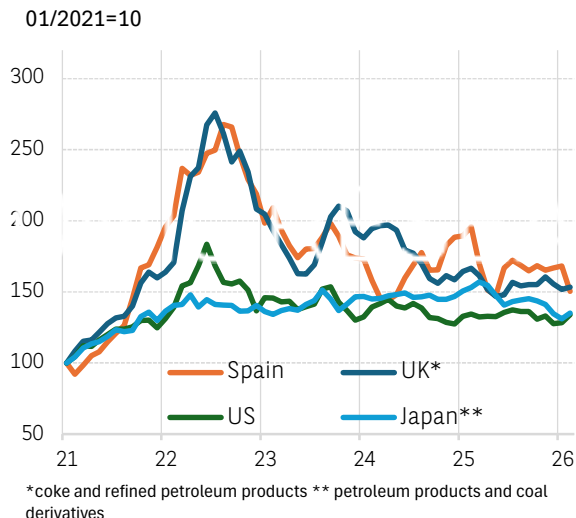
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A low impact for the time being on energy producer prices and a boost for electrification

After peaking in 2022, energy producer prices have stabilized

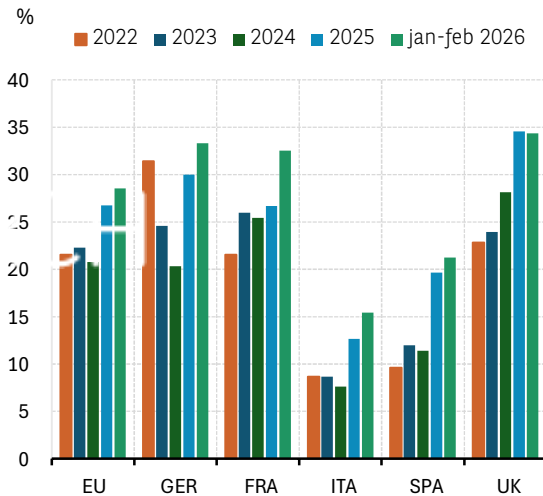


Source: National statistics, BNP Paribas



Source: National statistics, BNP Paribas

New green transition measures are expected to boost the share of EVs in the automotive market



Source: ACEA, BNP Paribas



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ECONOMIC RESEARCH

INFLATION

INFLATION TRACKER:

INFLATION CONTINUES TO RISE GLOBALLY, IN BOTH ADVANCED AND EMERGING ECONOMIES, AND REMAINS LARGELY DRIVEN BY ENERGY PRICES



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General dynamics of inflation:

Inflation continues to rise in the United States and the euro area, driven by energy prices, whilst temporary factors are causing it to fall slightly in the United Kingdom and Japan.

Inflation and survey data:

Indicators of price pressures continue to rise, with the increase being more pronounced on the input price side than on the output price side.

Inflation expectations (households, forecasters, markets):

Short-term inflation expectations continue to rise, whilst longer-term expectations remain stable.

Inflation-wage dynamics:

There are still no signs of a wage-price spiral taking hold.

Emerging economies:

The inflationary impact of the energy shock is spreading rapidly, though still moderately, across emerging economies.

Commodities:

Commodity prices remain high, but are stabilising.

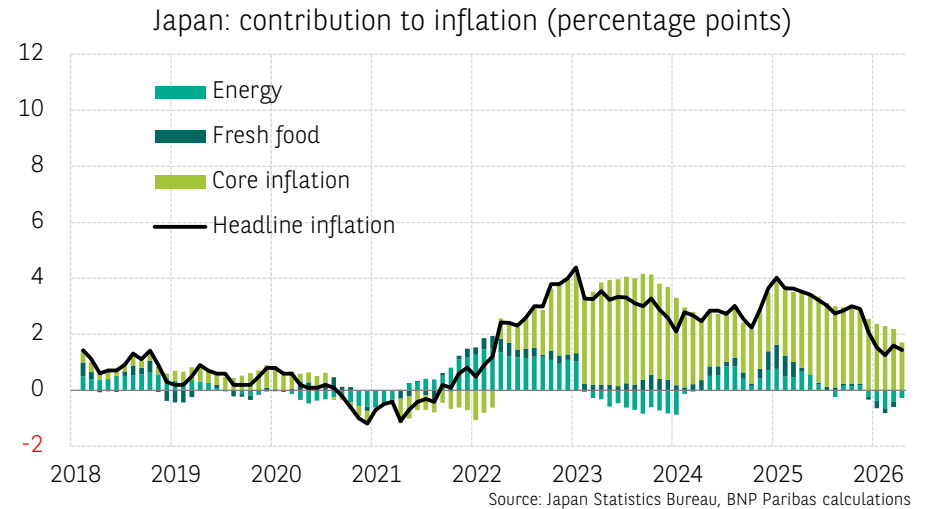
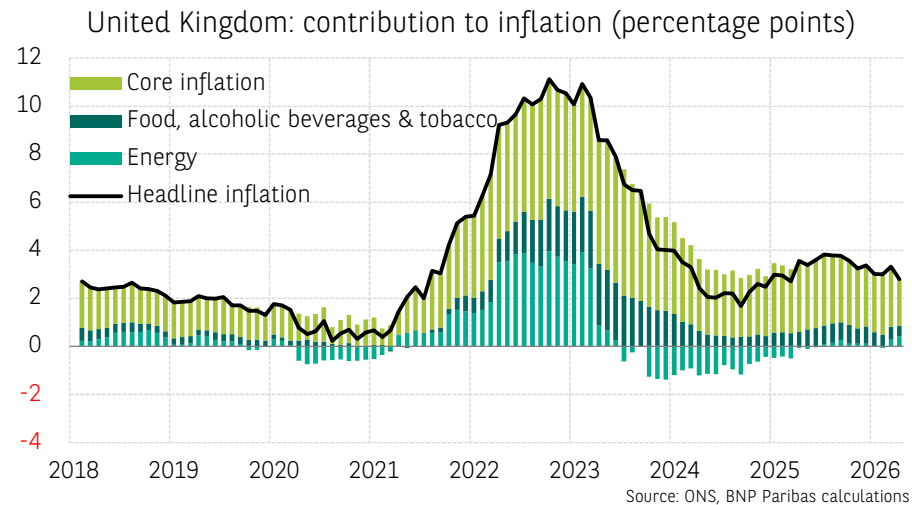
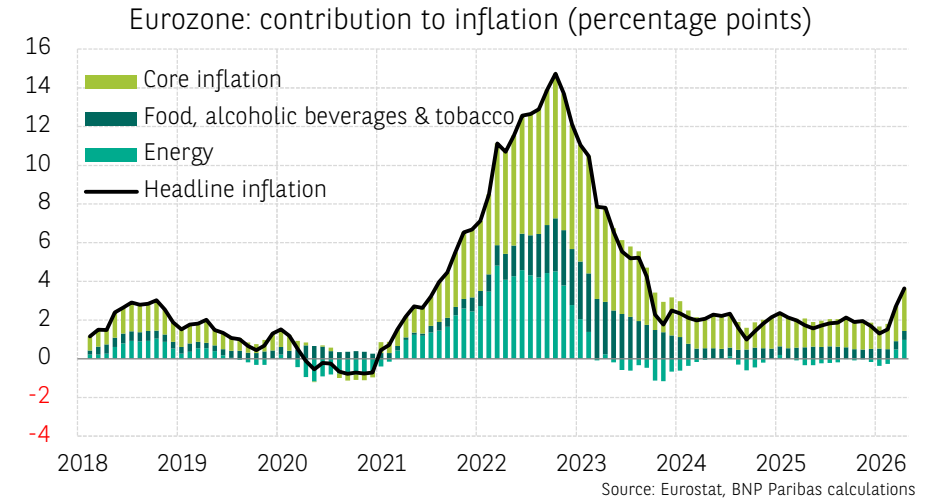
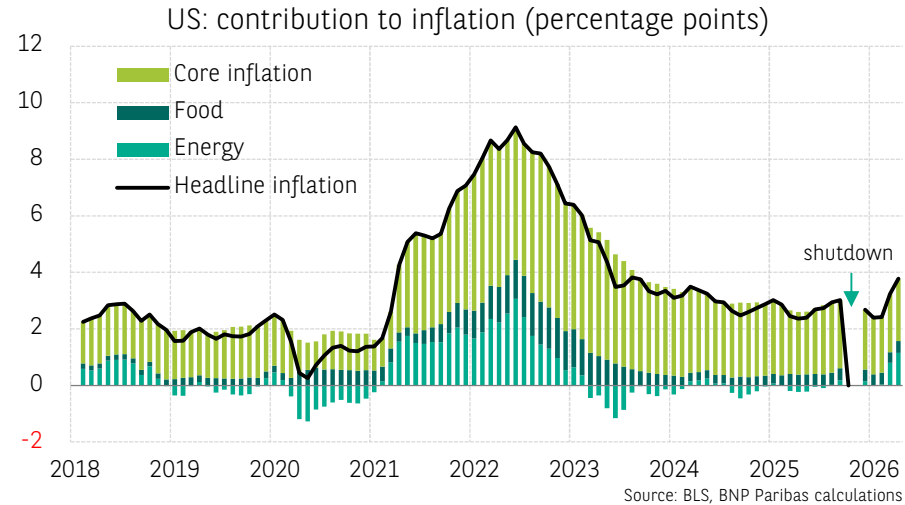


General dynamics of inflation:

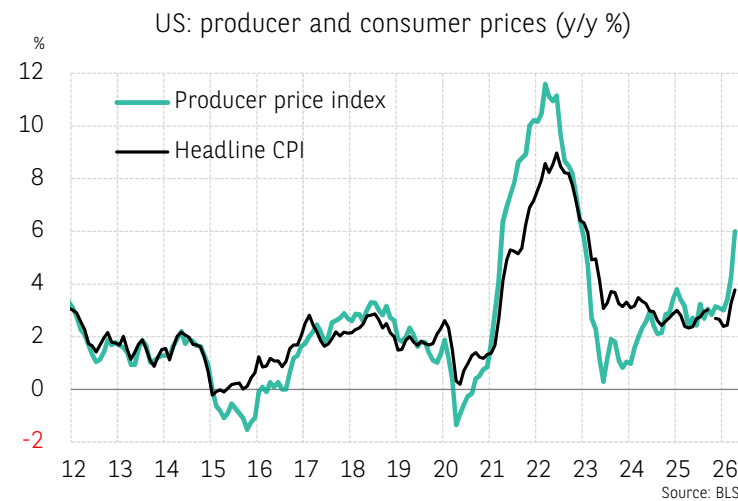
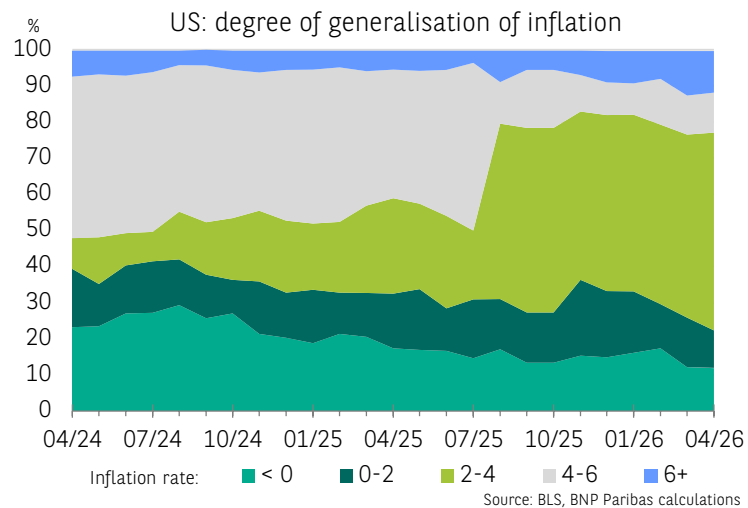
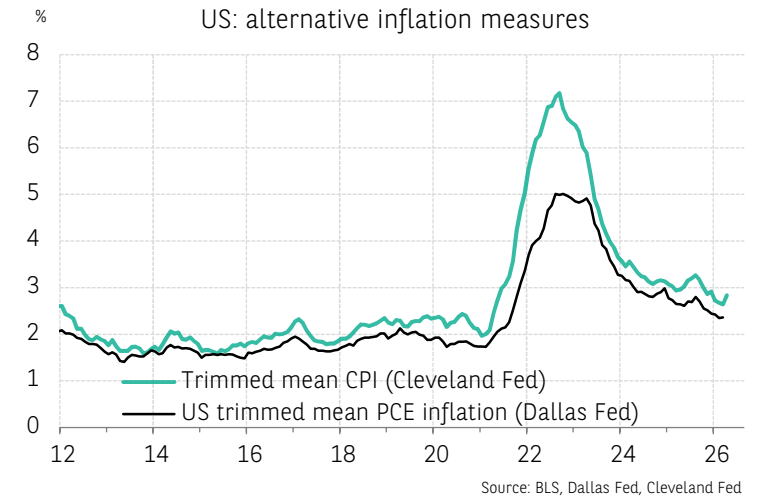
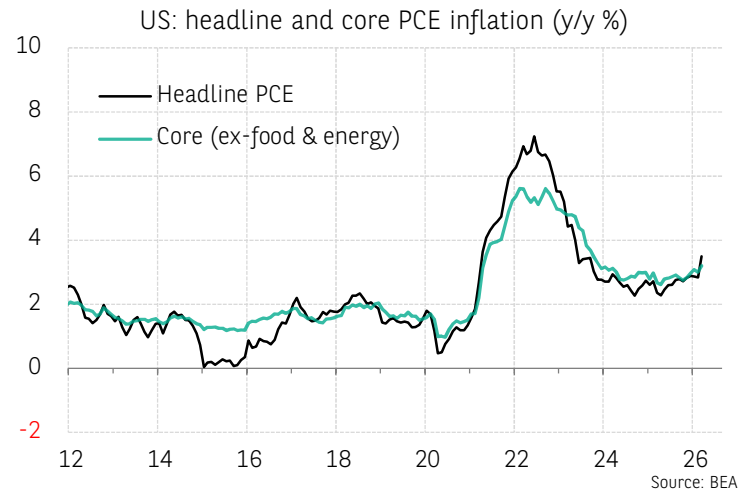
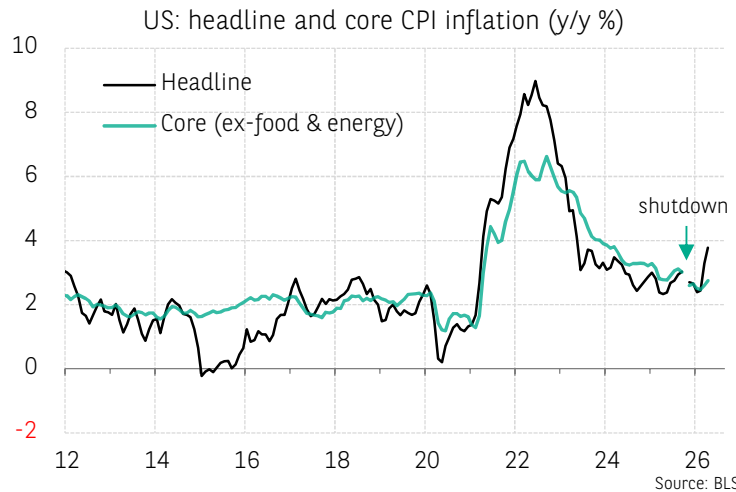
Inflation continues to rise in the United States and the euro area, driven by energy prices, whilst temporary factors are causing it to fall slightly in the United Kingdom and Japan.



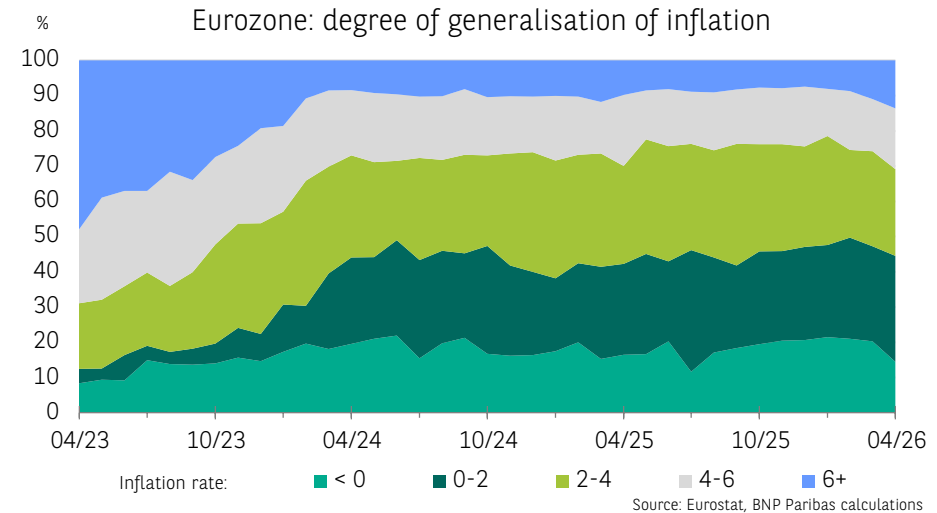
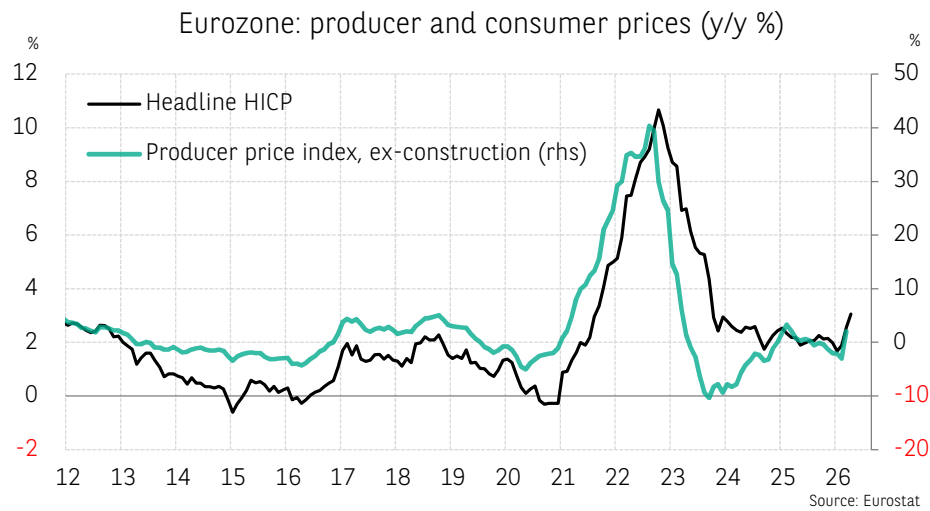
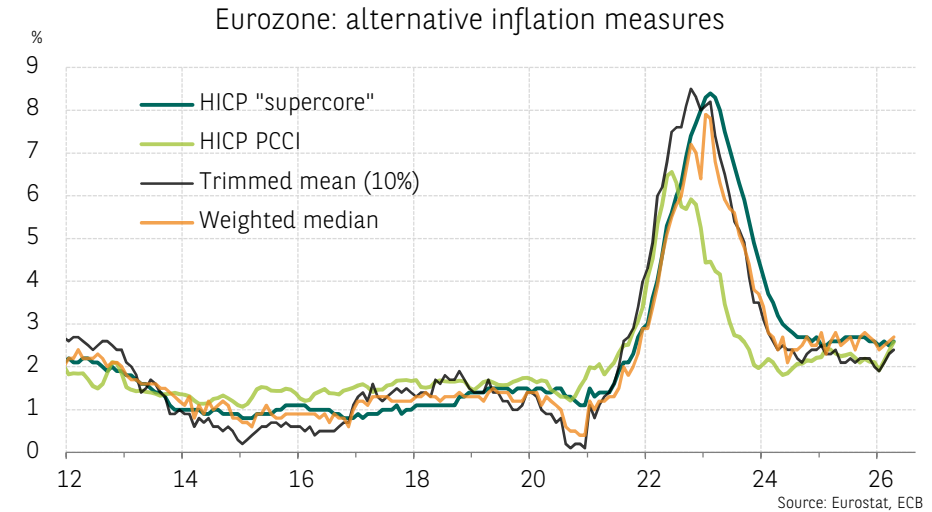
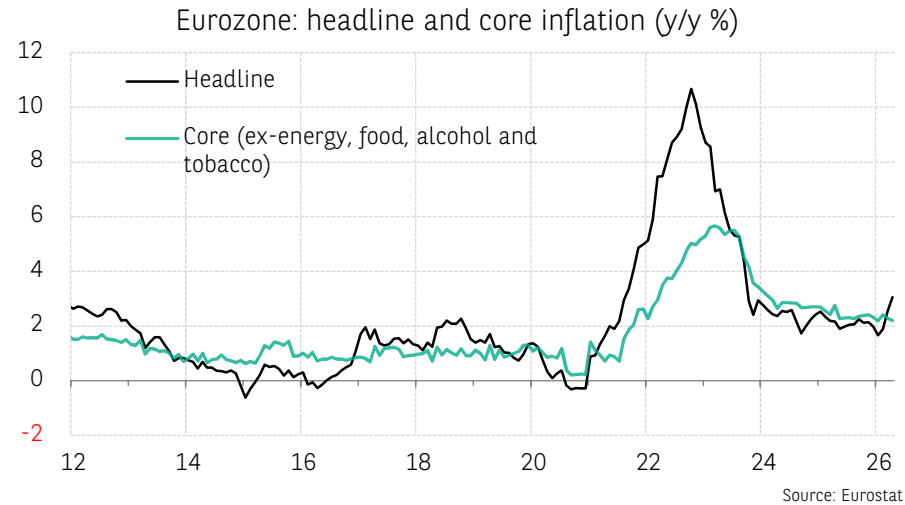
General dynamics of inflation: decomposition of inflation



Inflation dynamics in the United States: different metrics and degree of generalisation

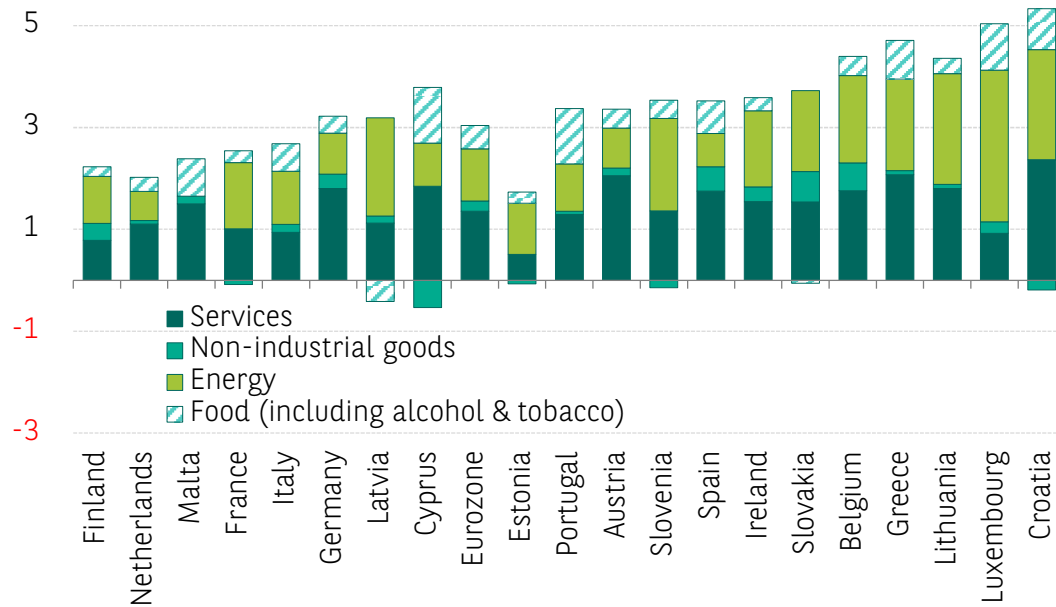


Inflation dynamics in the Eurozone: different metrics and degree of generalisation



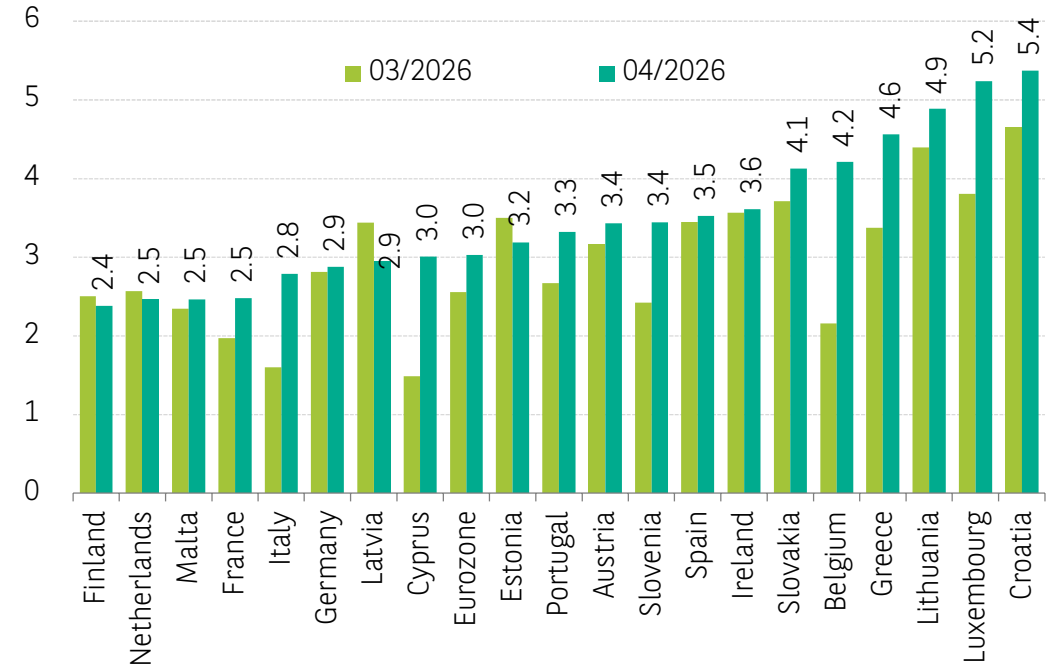
Inflation dynamics in the Eurozone by country (1)

Eurozone: contribution to inflation (% points), April 2026



Source: Eurostat

Eurozone: inflation in y/y % change



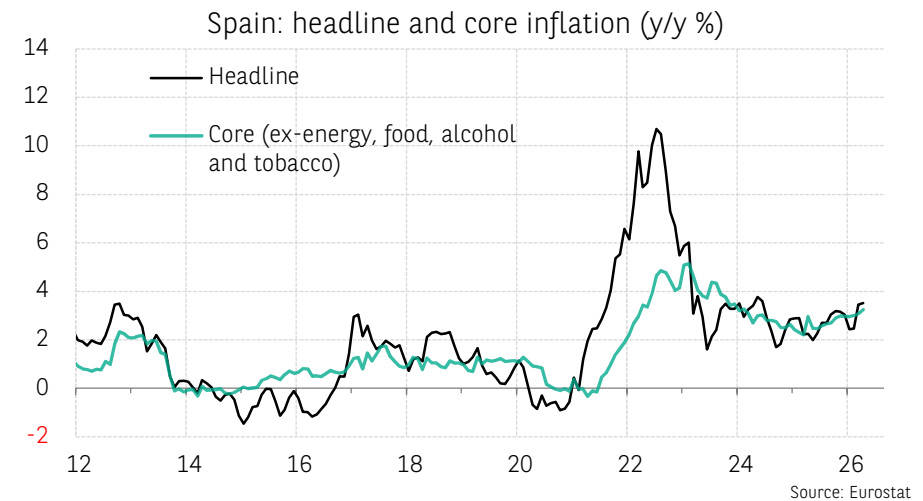
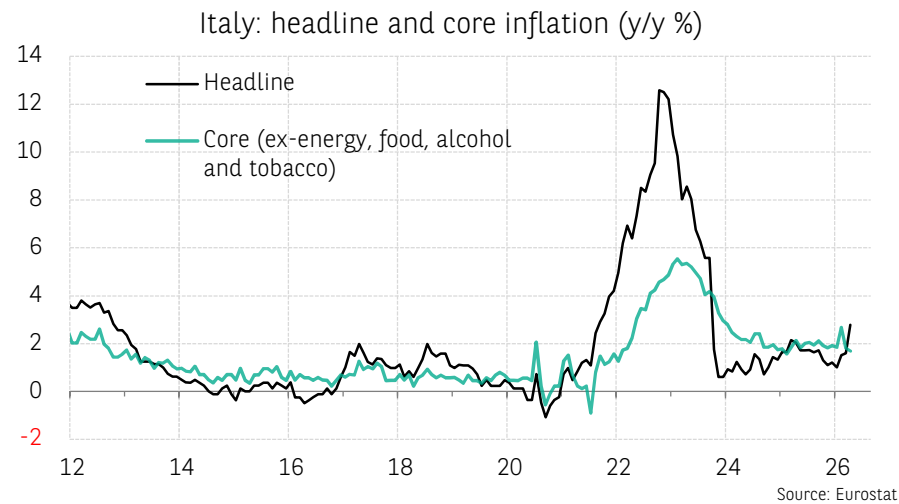
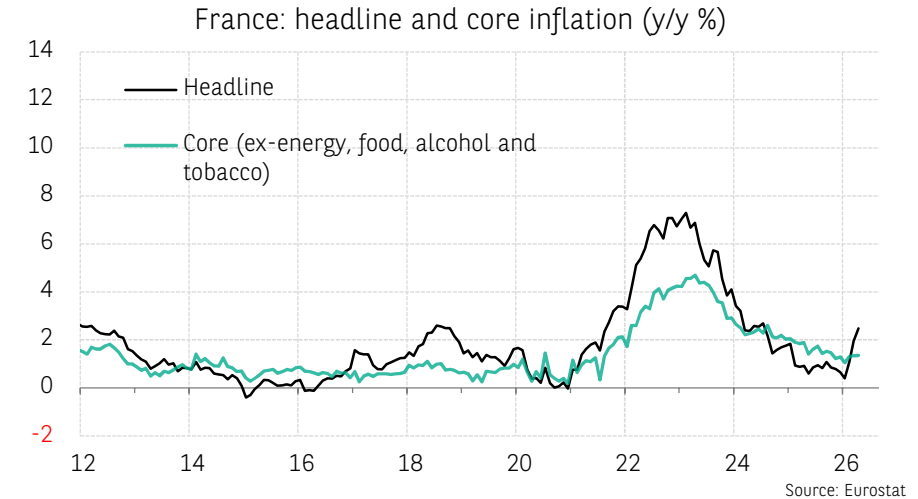
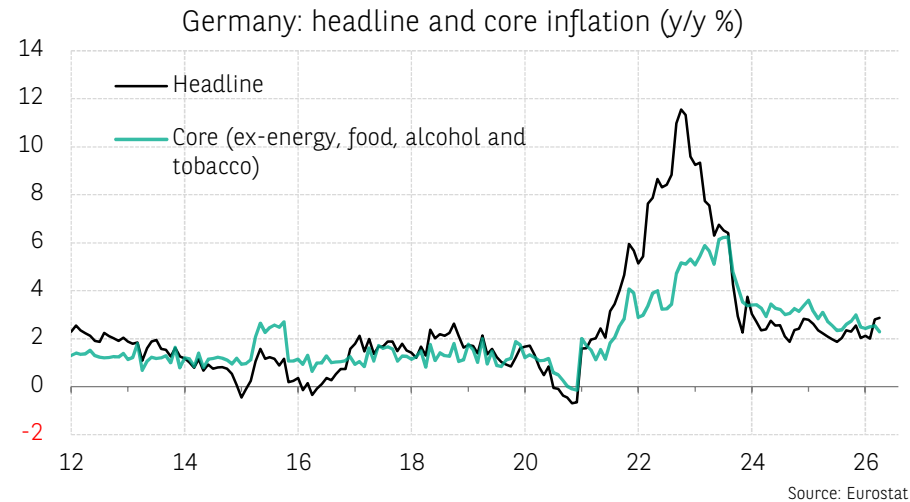
Source: Eurostat



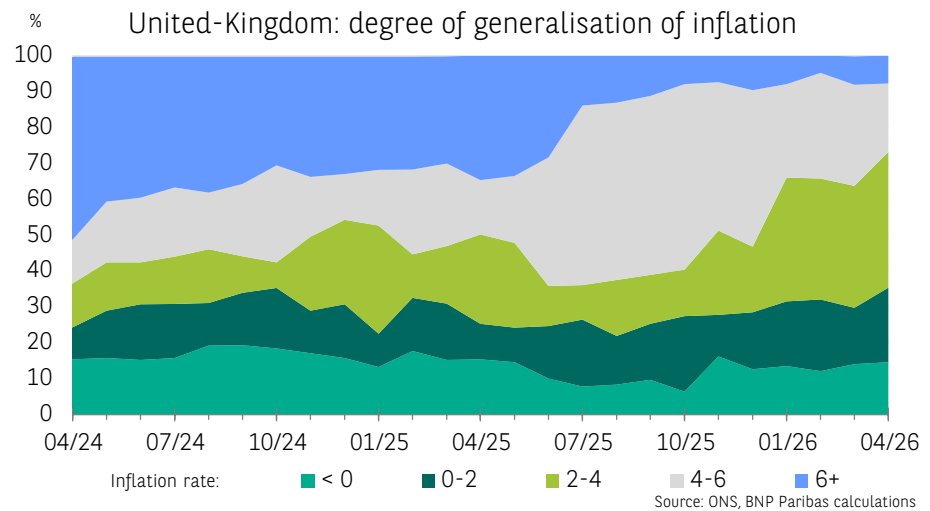
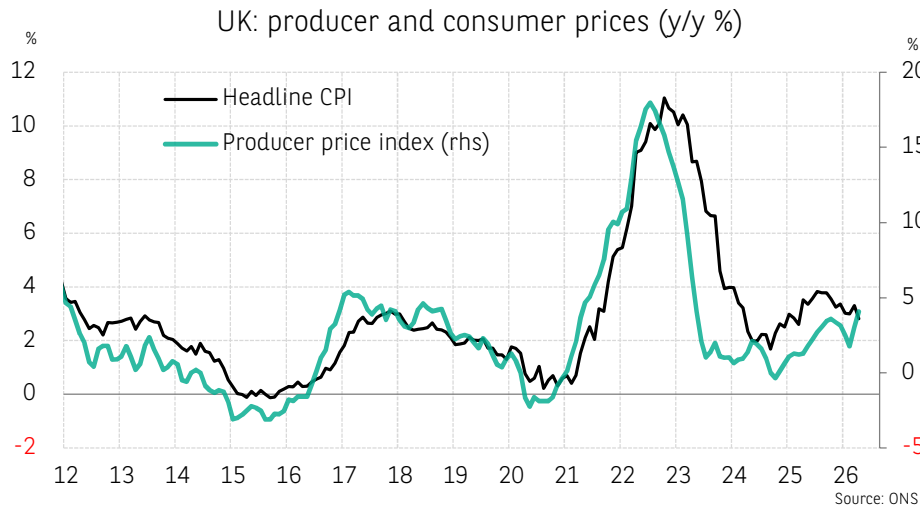
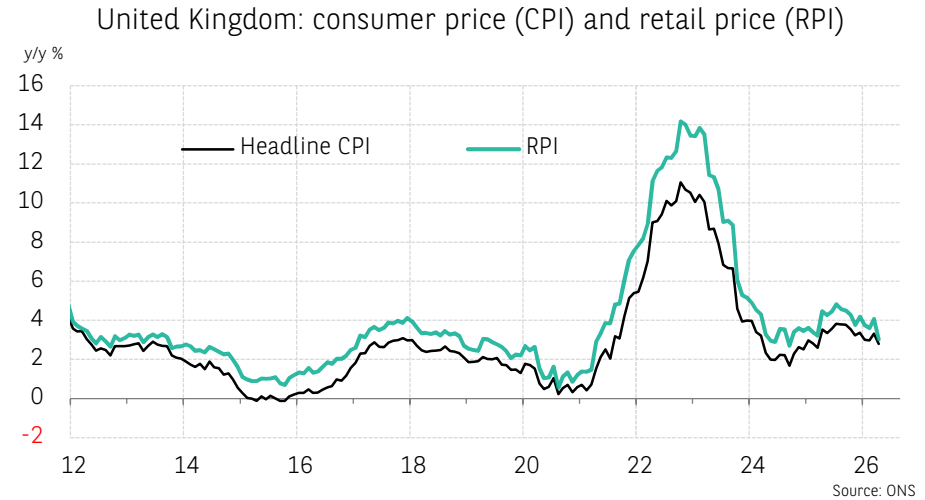
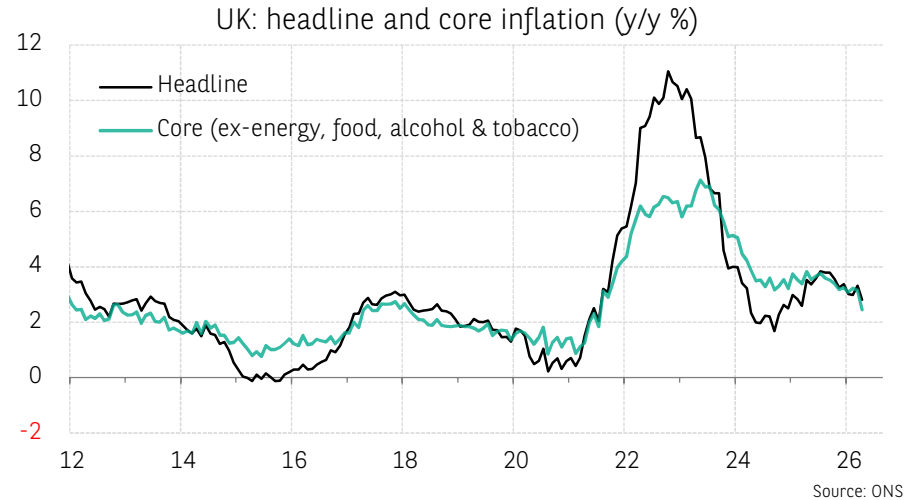
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Inflation dynamics in the Eurozone by country (2)

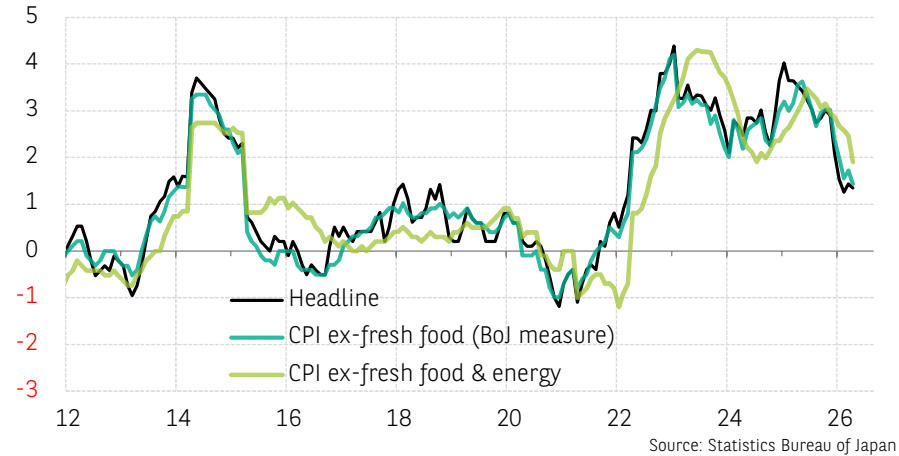


Inflation dynamics in the United Kingdom: different metrics and degree of generalisation

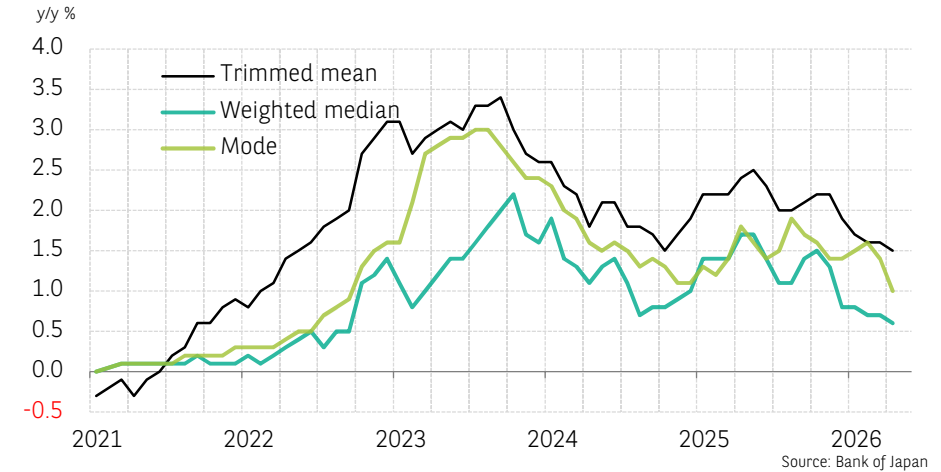


Inflation dynamics in Japan: different metrics and degree of generalisation

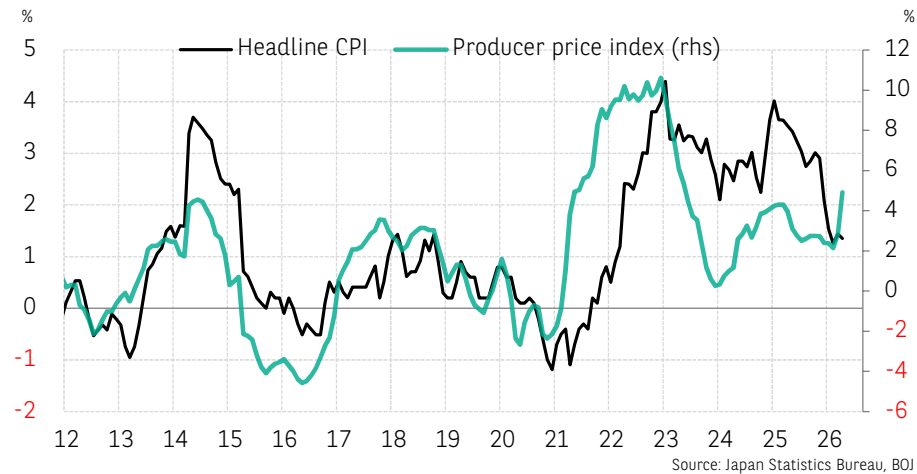
Japan: headline and core inflation (y/y %)



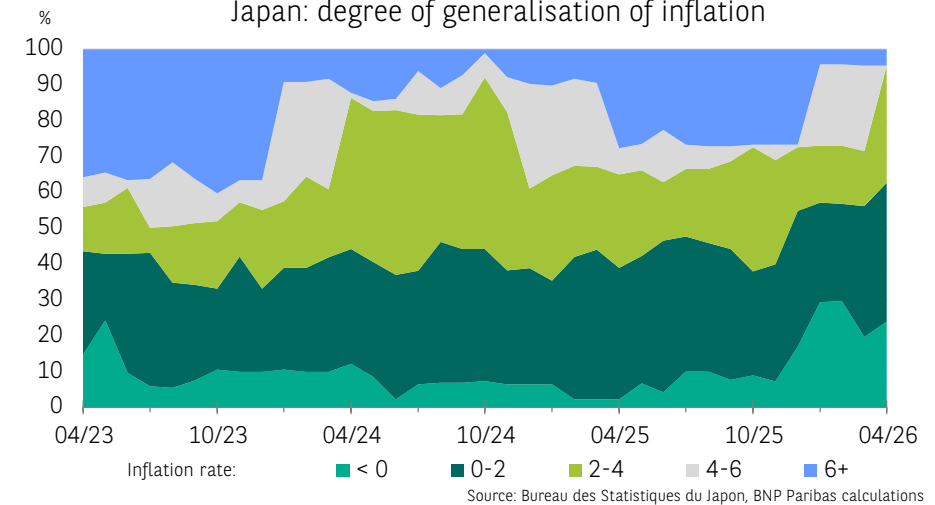
Japan: alternative inflation measures



Japan: producer and consumer prices (y/y %)



Japan: degree of generalisation of inflation

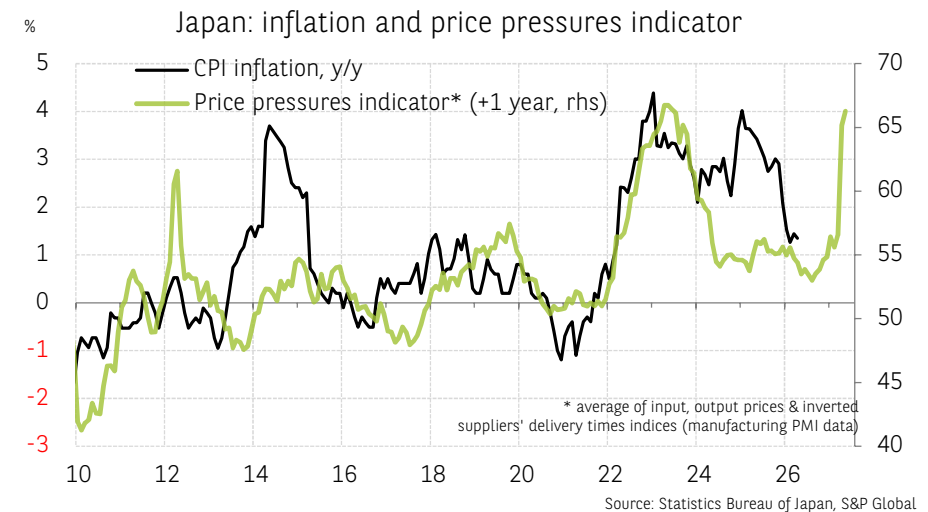
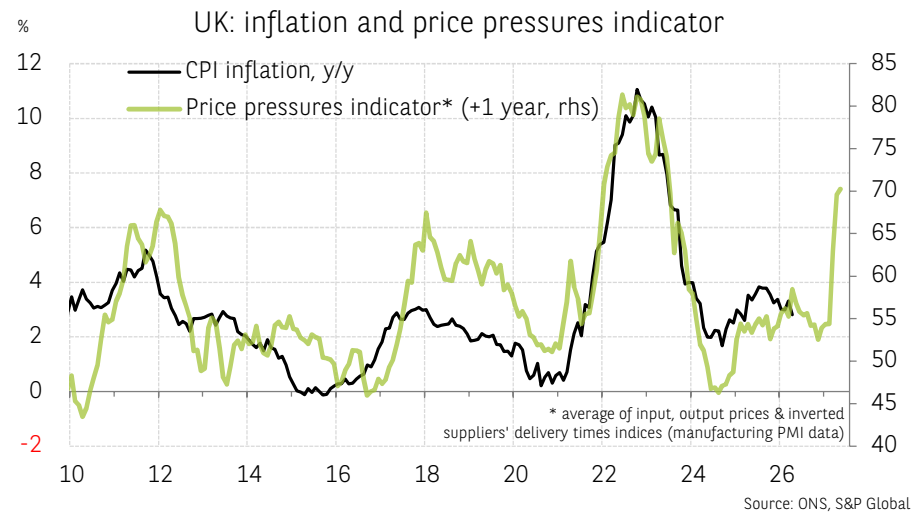
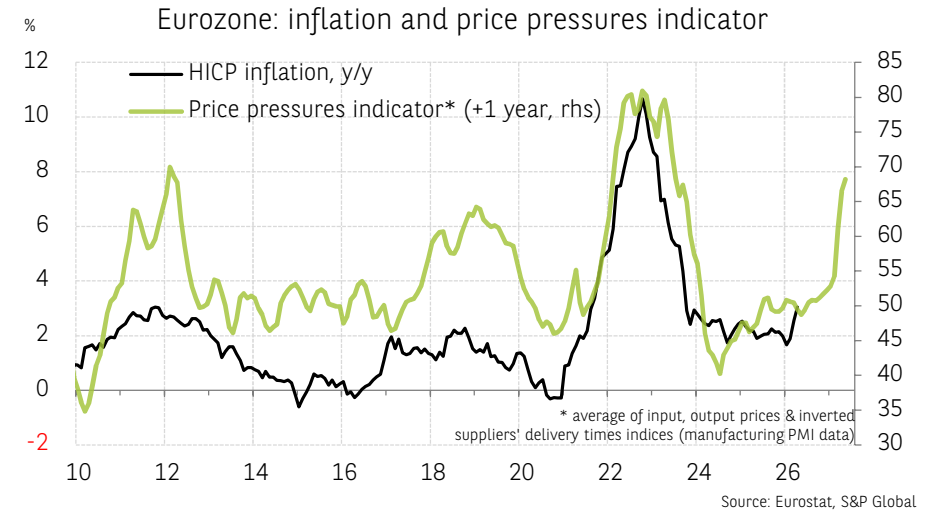
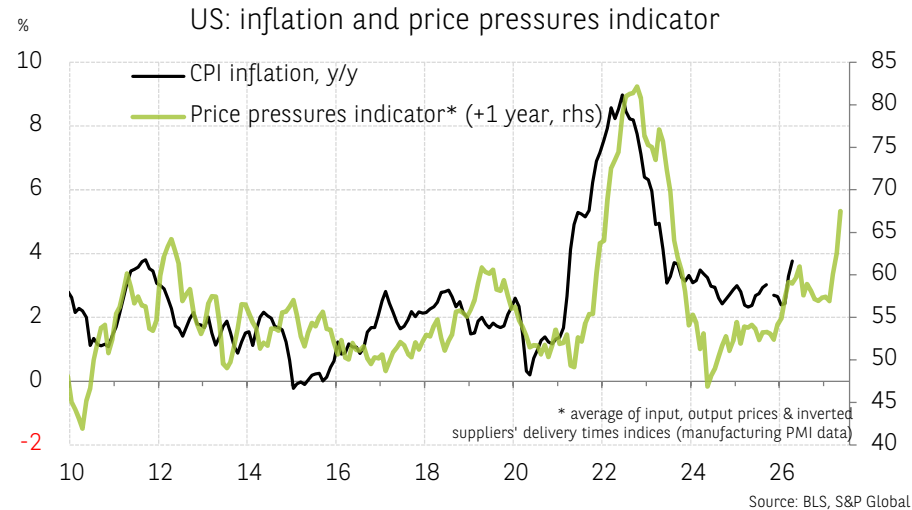


Inflation and survey data:

Indicators of price pressures continue to rise, with the increase being more pronounced on the input price side than on the output price side.



PMI surveys: an indication of inflationary pressures



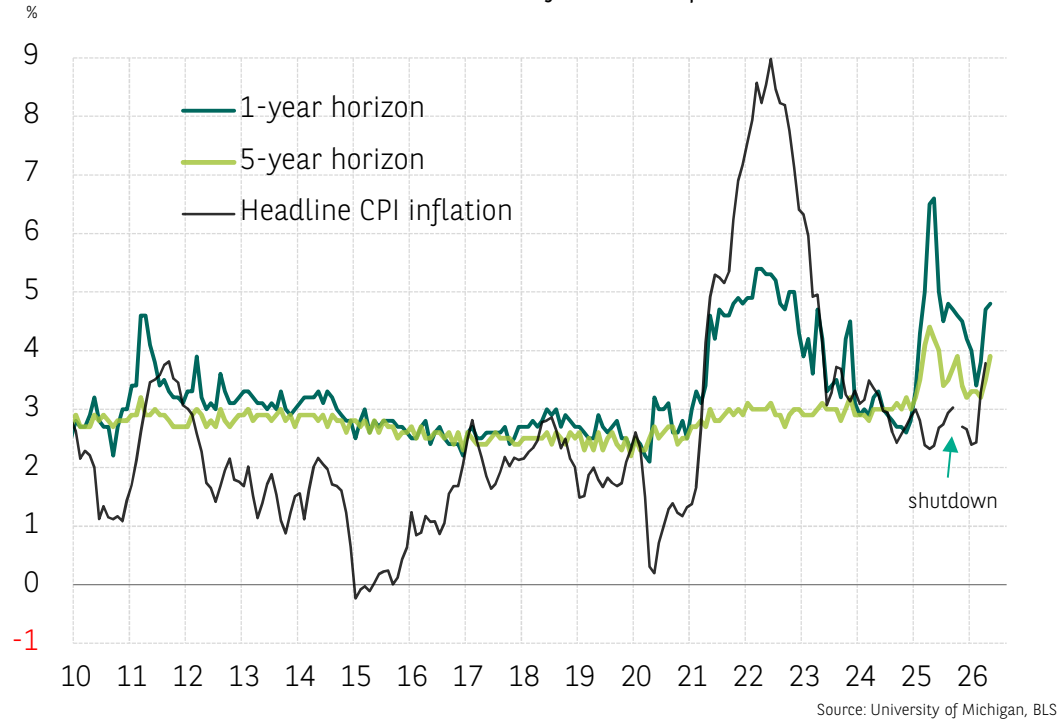
Inflation expectations (households, forecasters, markets):

Short-term inflation expectations continue to rise, whilst longer-term expectations remain stable.

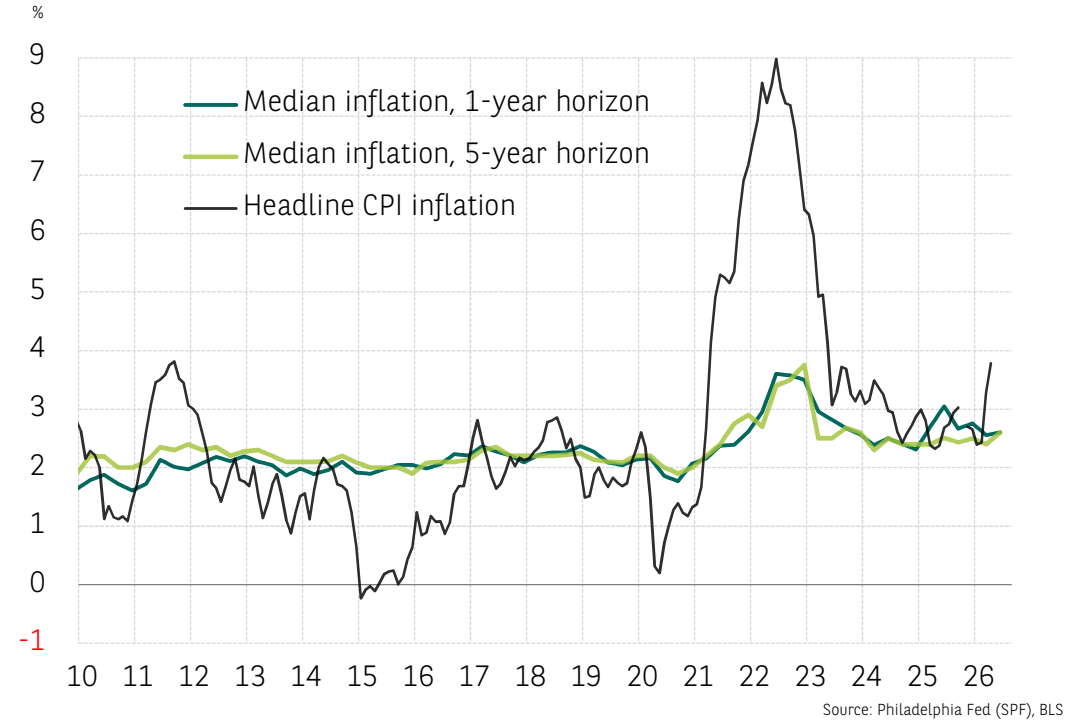


Inflation expectations in the United States

US: consumer inflation expectations

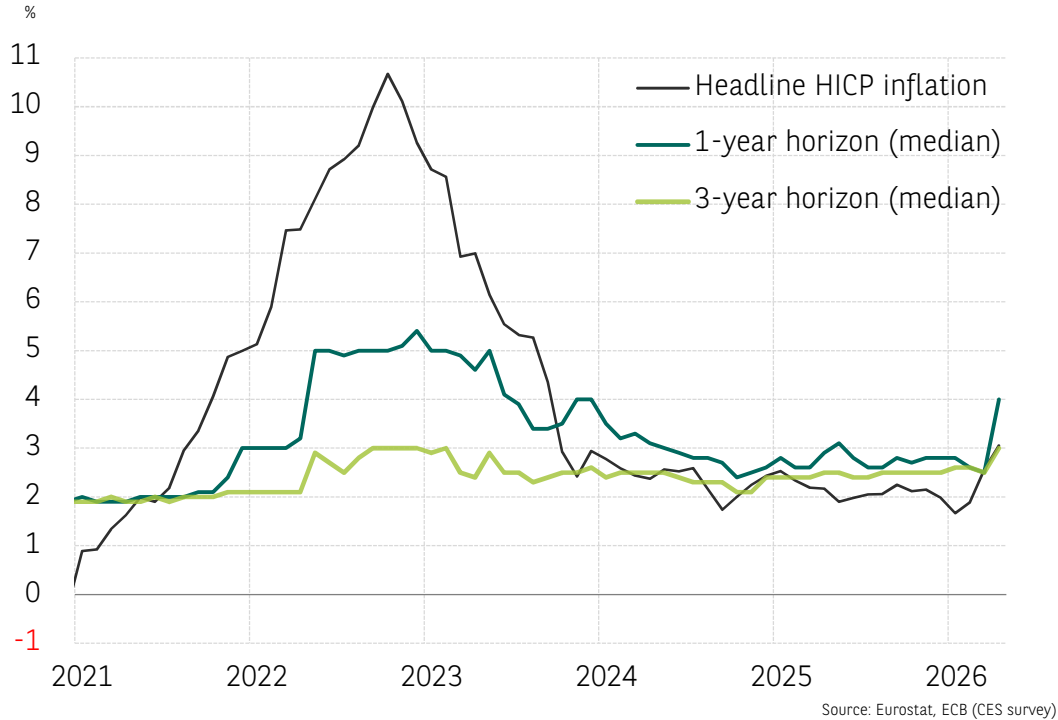


US: Survey of professional forecasters

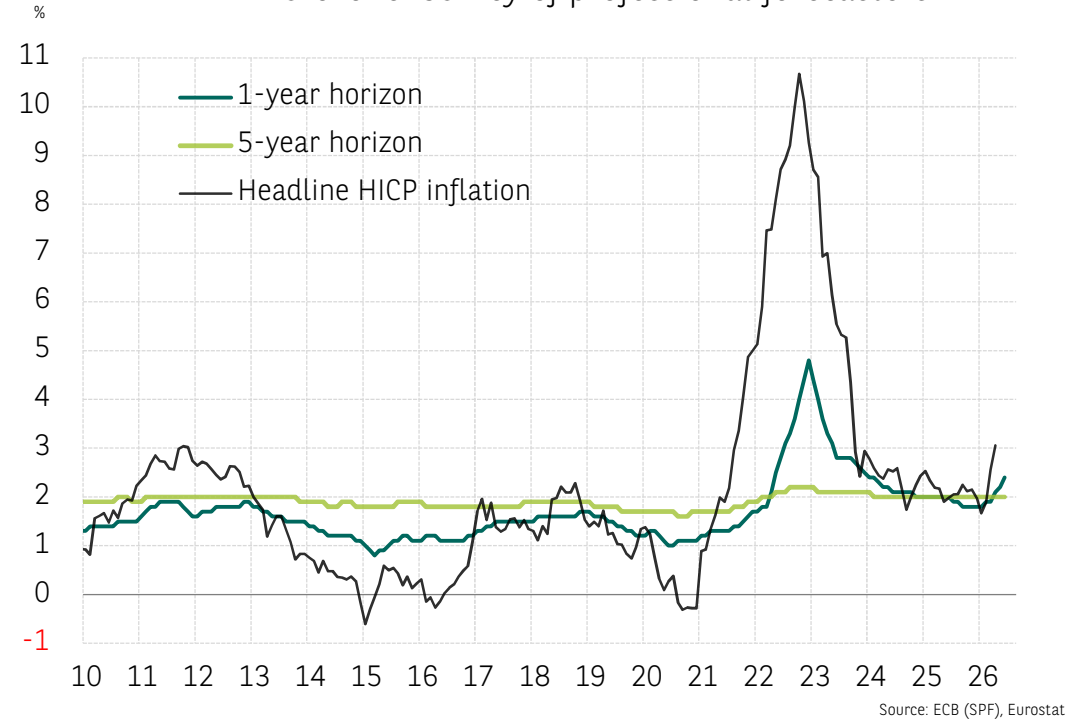


Inflation expectations in the Eurozone

Eurozone: consumer inflation expectations

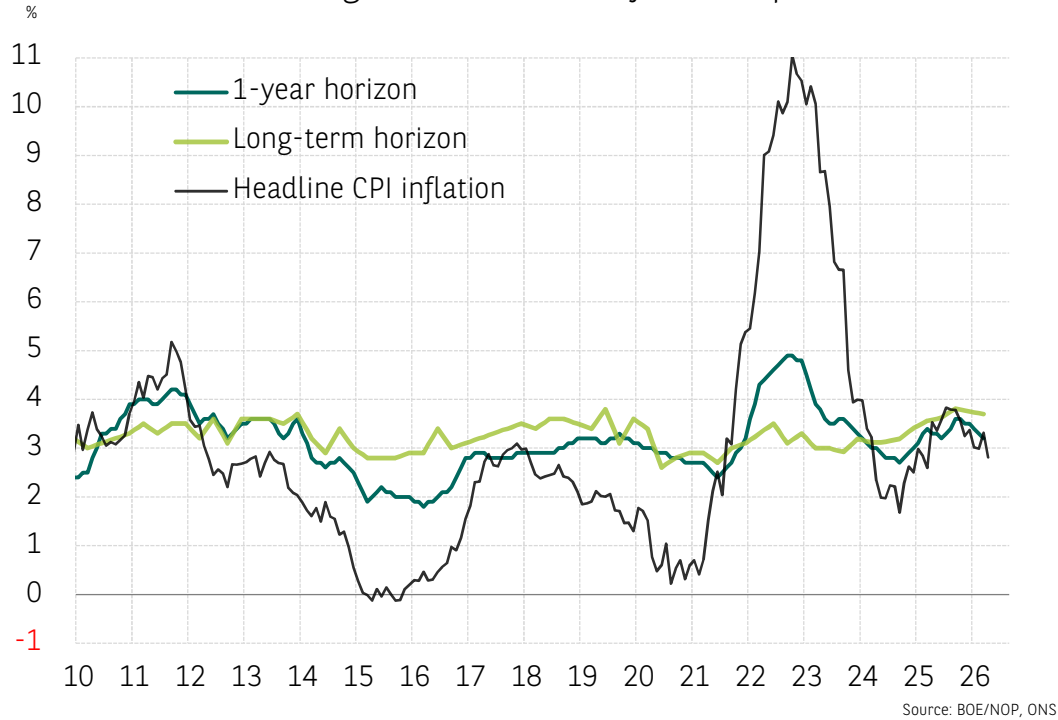


Eurozone: Survey of professional forecasters

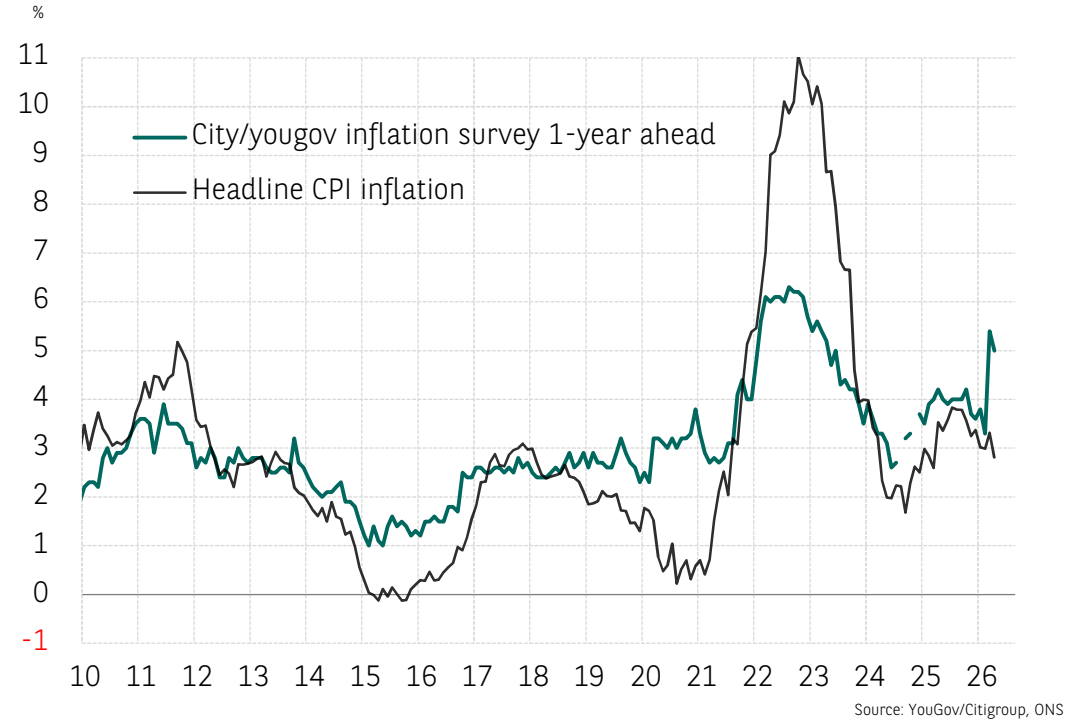


Inflation expectations in the United Kingdom

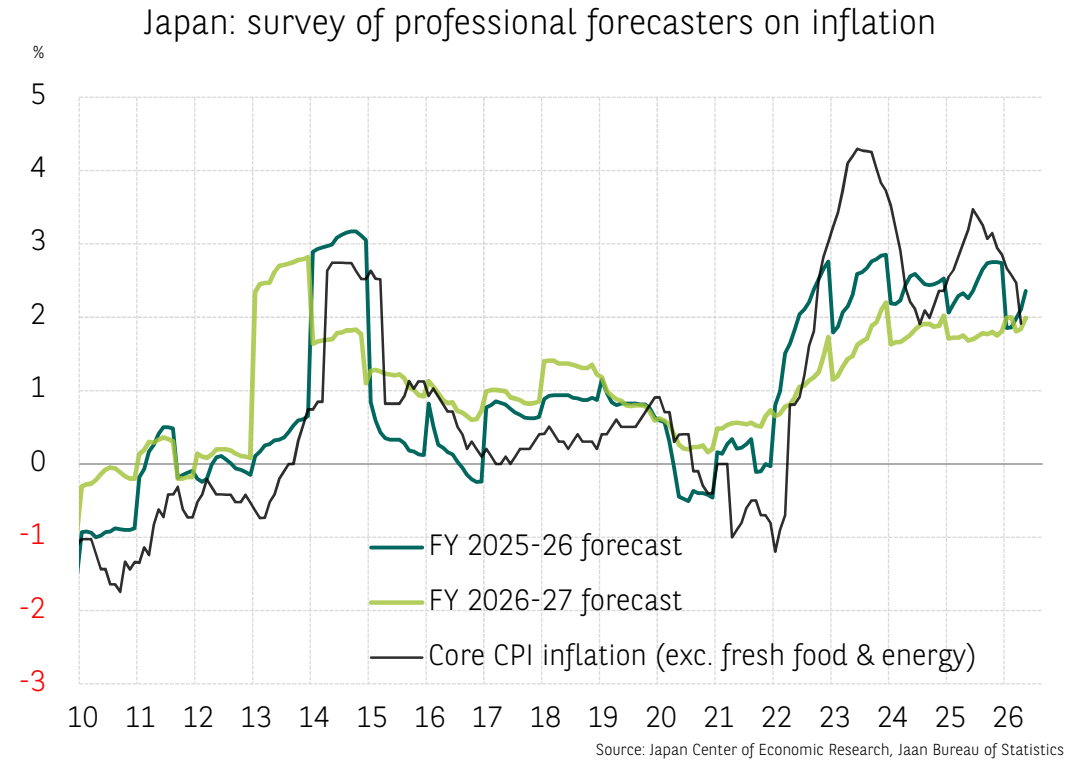
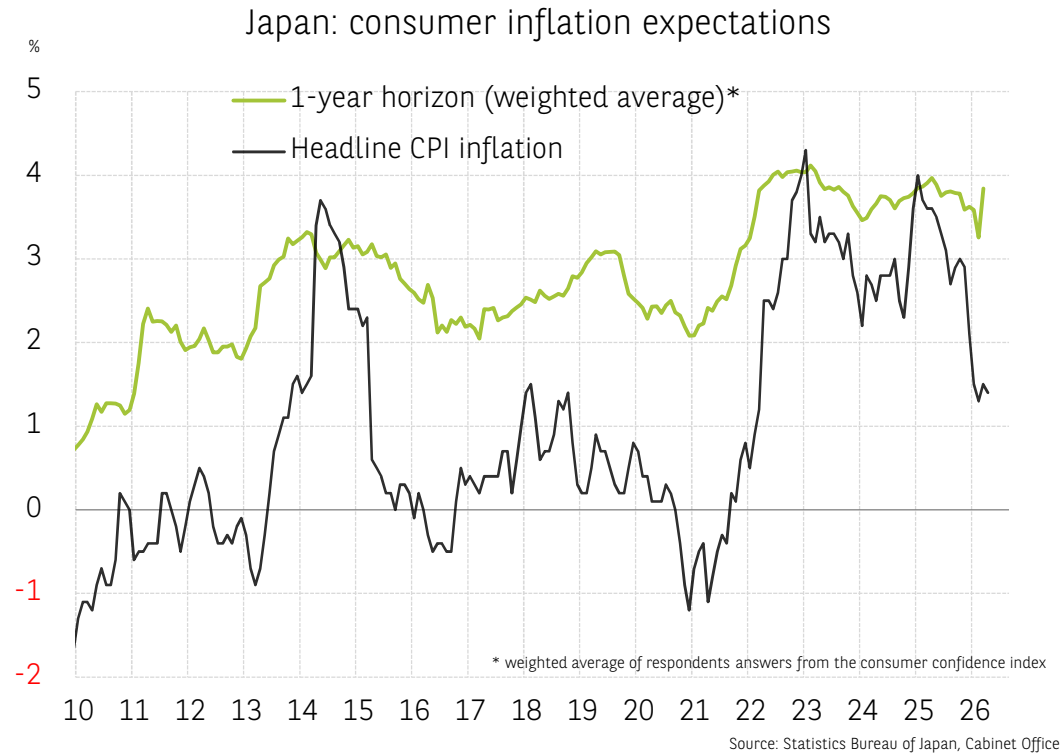
United Kingdom: consumer inflation expectations



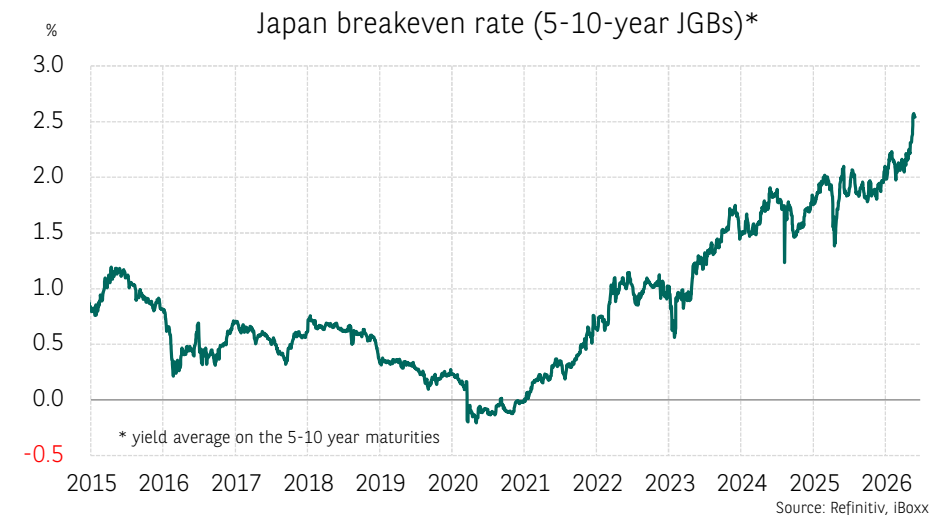
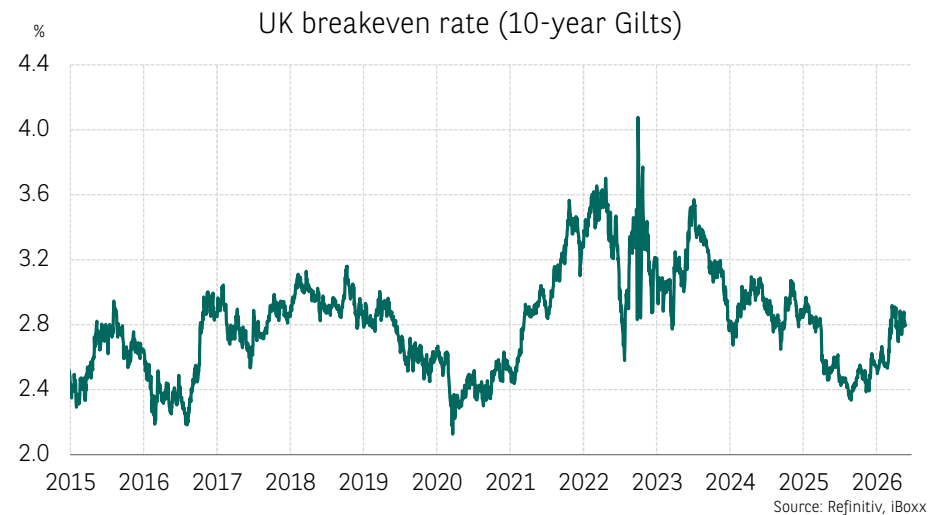
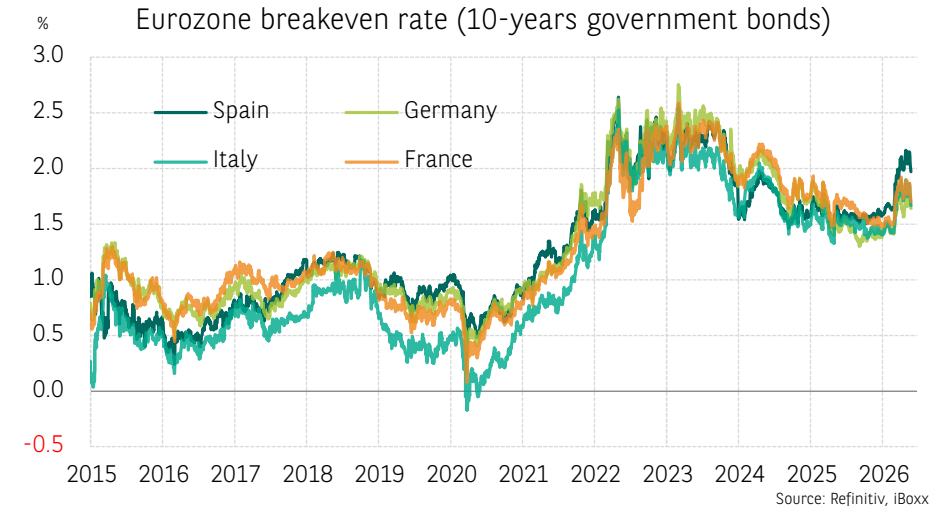
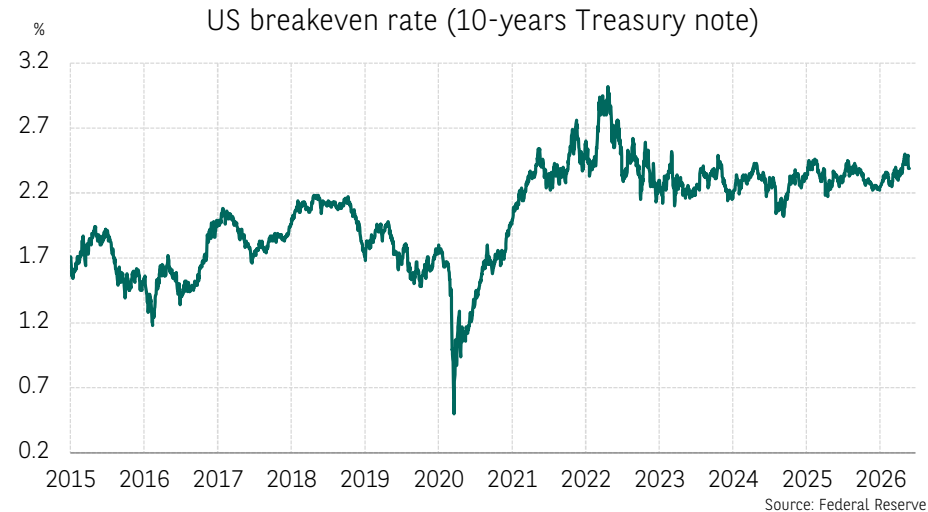
United Kingdom: inflation expectations



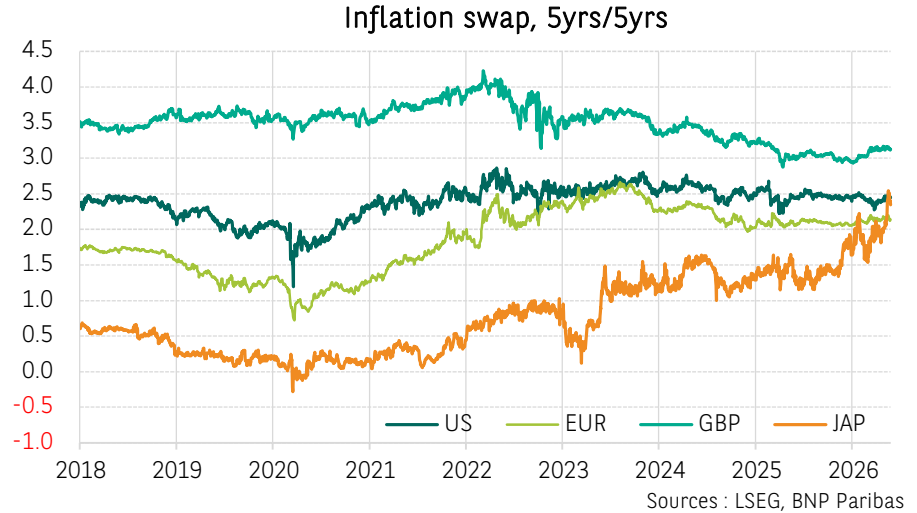
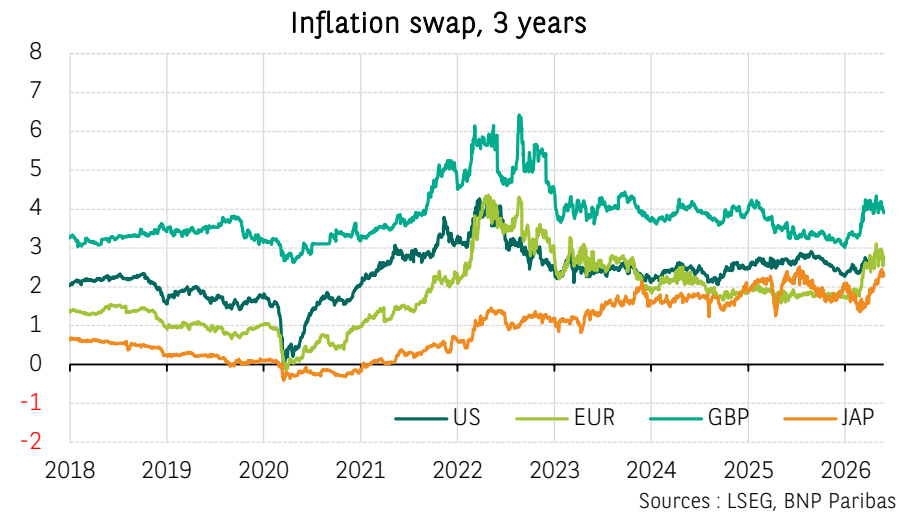
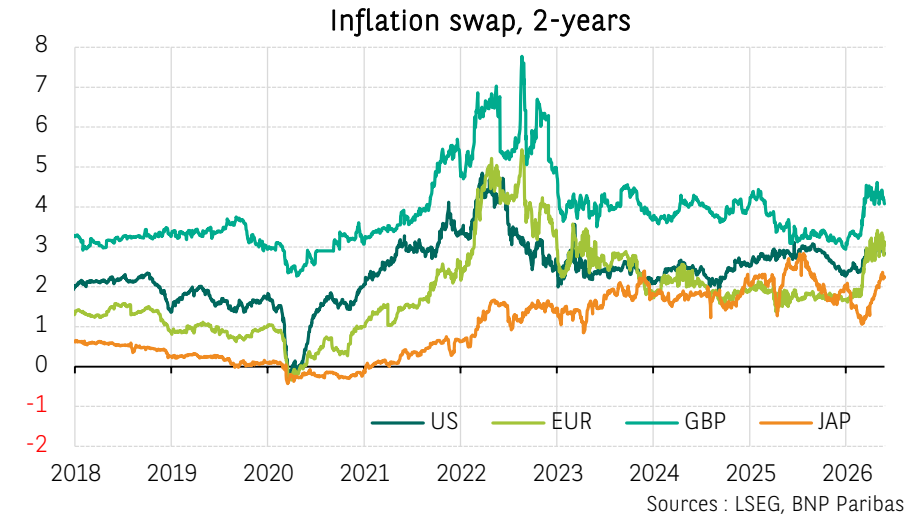
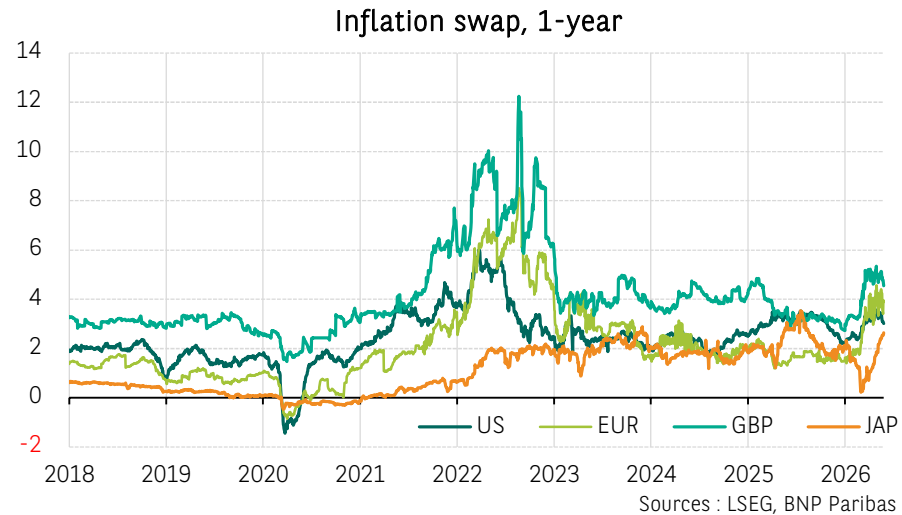
Inflation expectations in Japan



Market expectations: breakeven inflation rate



Market expectations: swap rate



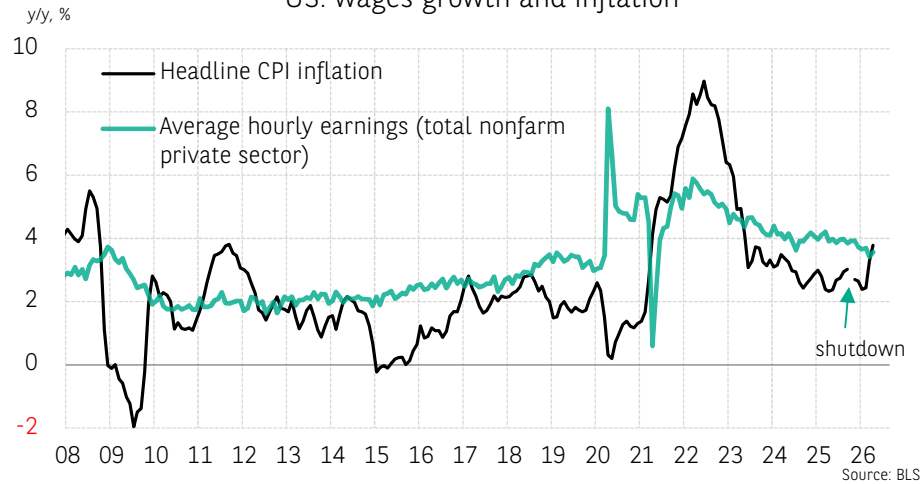
Inflation-wage dynamics:

There are still no signs of a wage-price spiral taking hold.

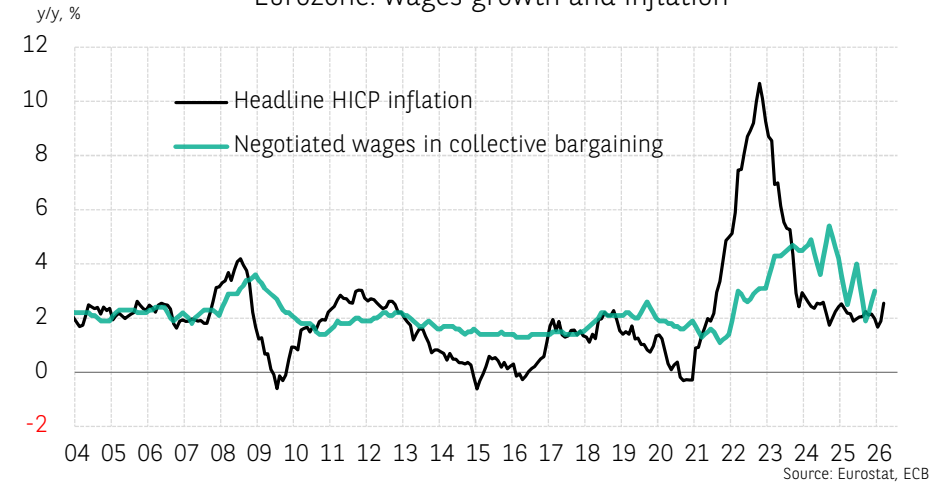


Inflation-wage dynamics

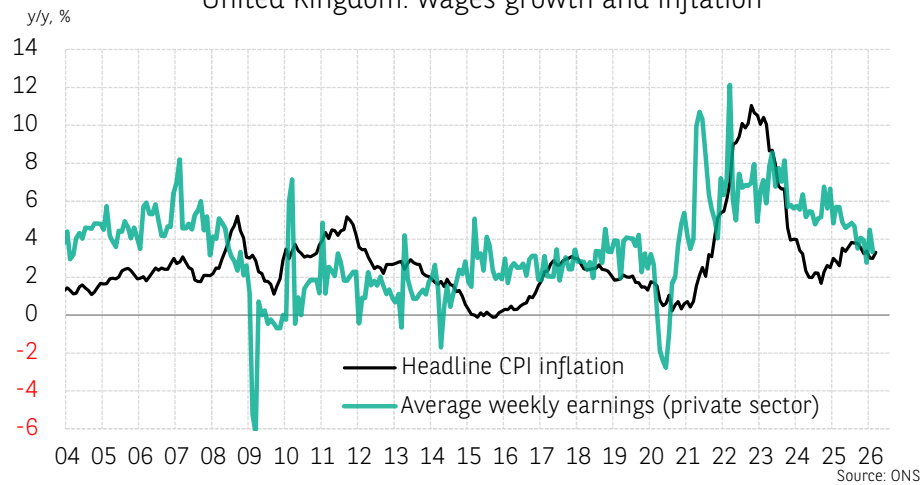
US: wages growth and inflation



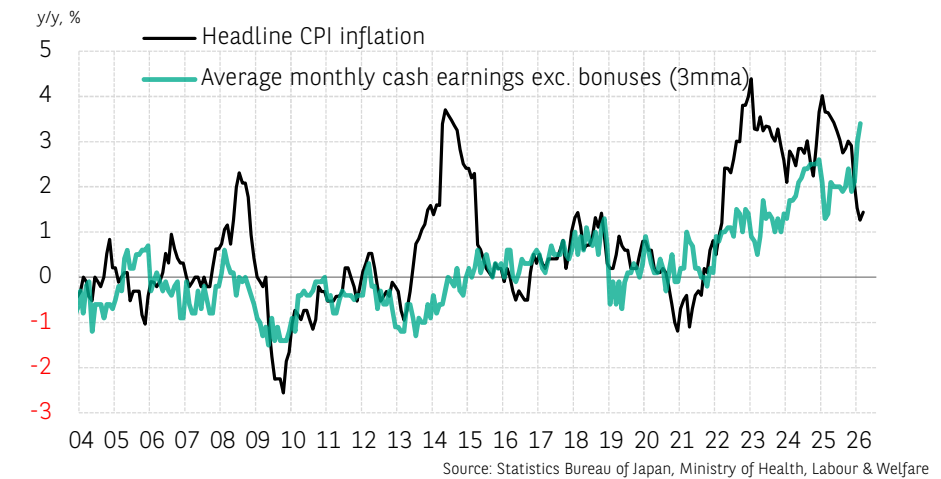
Eurozone: wages growth and inflation



United Kingdom: wages growth and inflation



Japan: wages growth and inflation



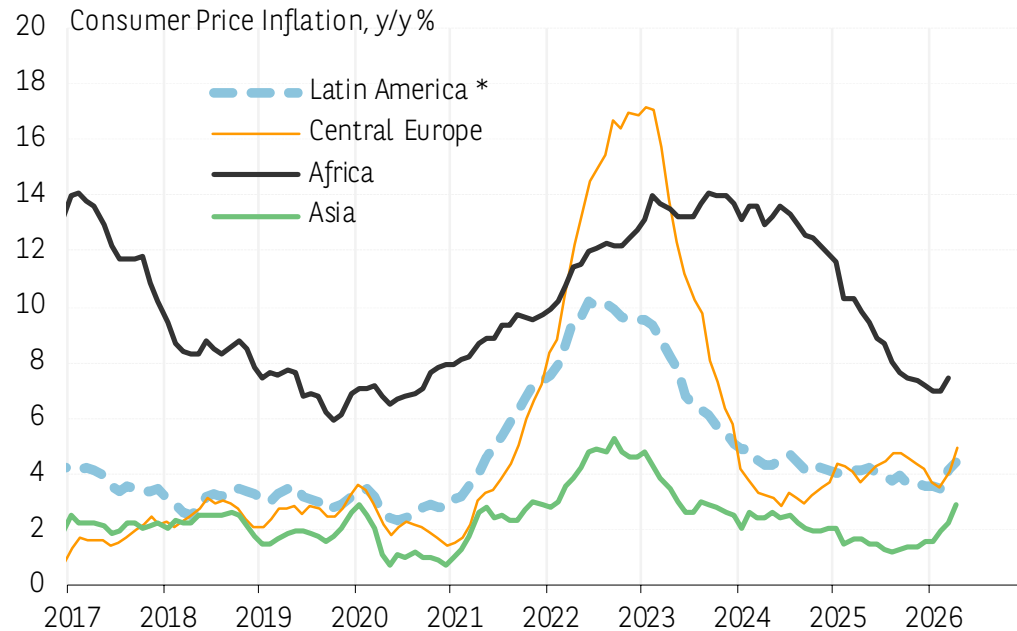
Emerging Economies:

The inflationary impact of the energy shock is spreading rapidly, though still moderately, across emerging economies.



Inflation dynamics in emerging economies: degree of generalisation

Emerging countries: Average inflation rates by region



Source: Central banks, Macrobond, BNP Paribas

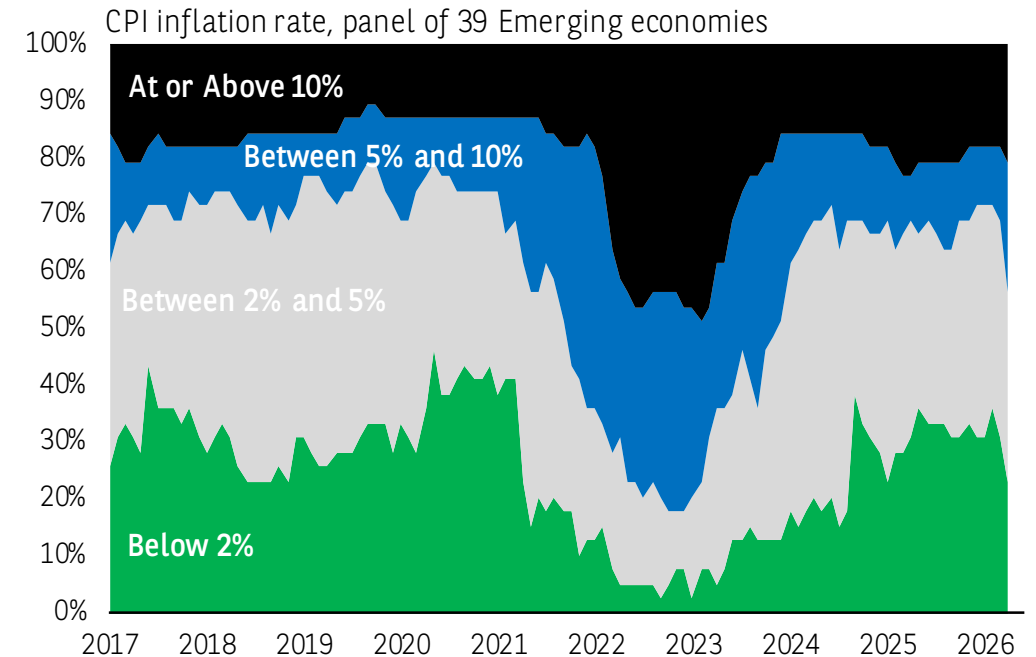
* Latin America: Brazil, Chile, Colombia, Mexico, Peru.

Central Europe: Bulgaria, Croatia, Czech Rep., Hungary, Poland, Romania, Slovakia.

Afrique: Algeria, Angola, Egypt, Kenya, Morocco, Nigeria, South Africa, Tunisia.

Asia: China, Hong Kong, India, Indonesia, Malaysia, Philippines, Singapore, South Korea, Taiwan, Thailand, Vietnam.

Emerging countries: Widespread increase in inflation pressures



Source: Central banks, Macrobond, BNP Paribas

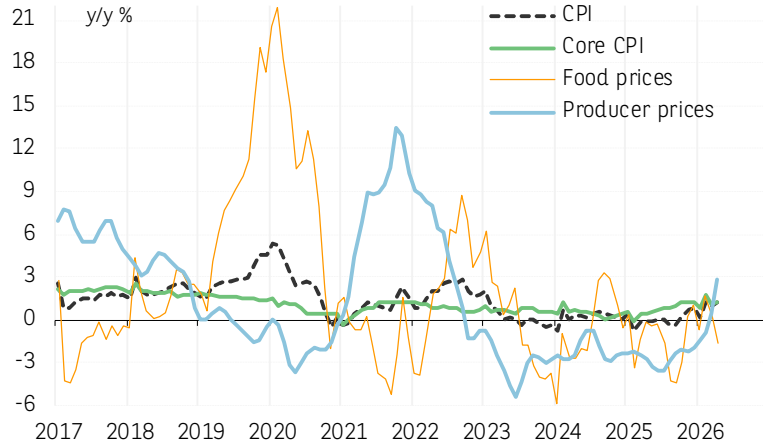


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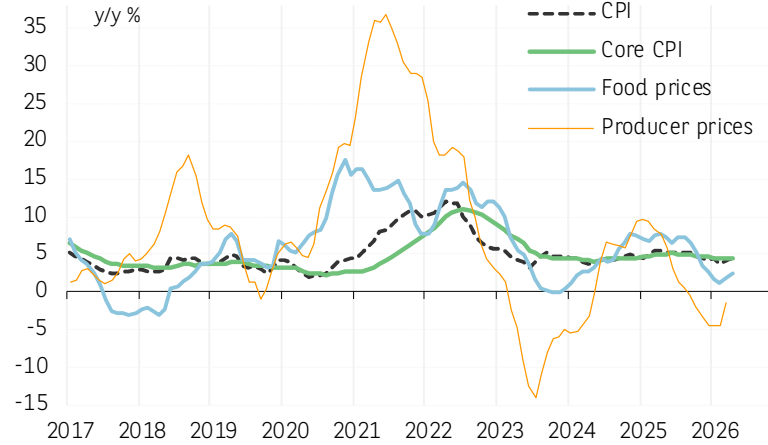
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Dynamics and breakdown of inflation in six large emerging economies

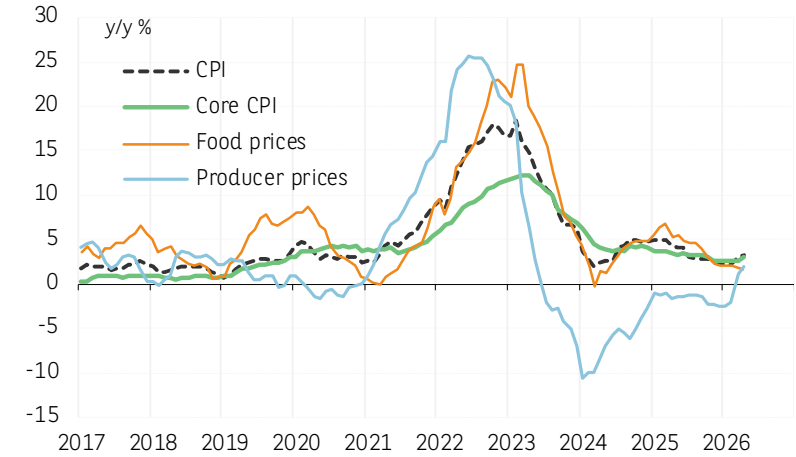
China



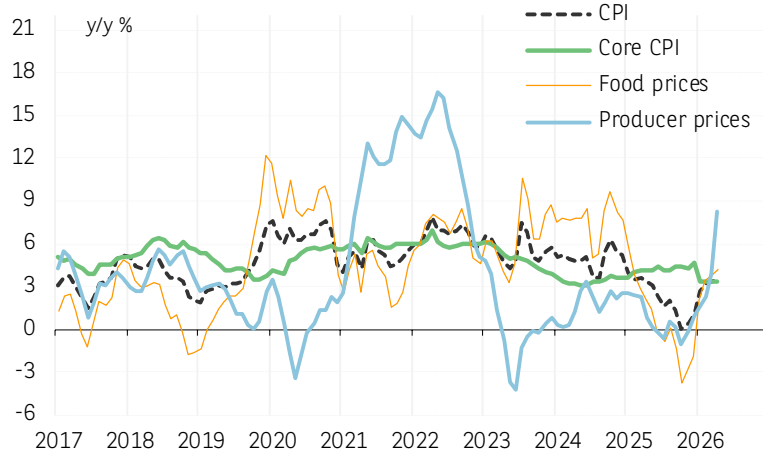
Brazil



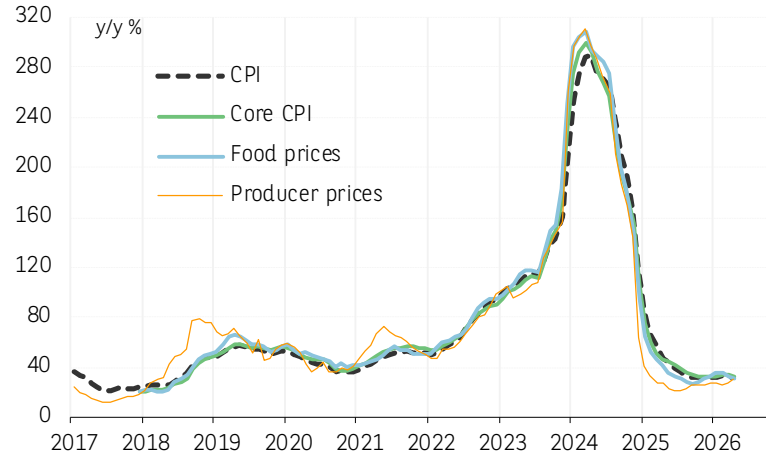
Poland



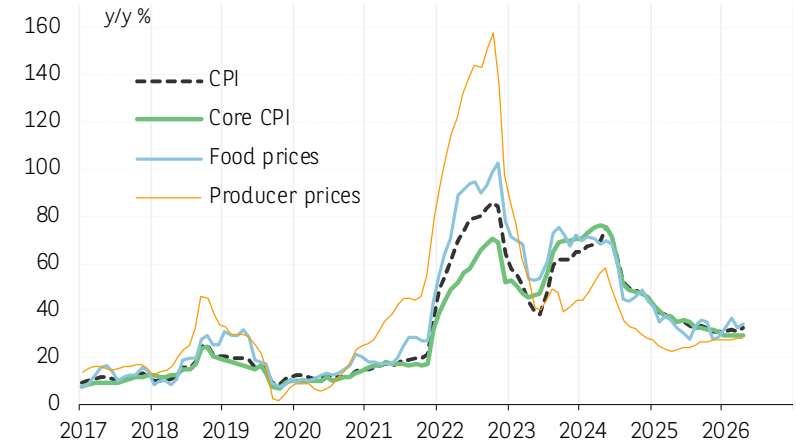
India



Argentina



Türkiye



Source: Central banks, Macrobond, BNP Paribas



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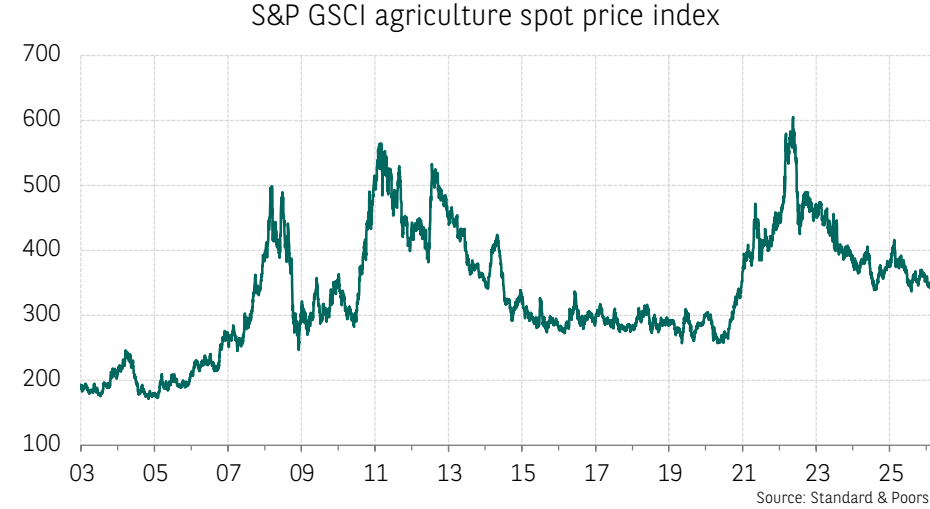
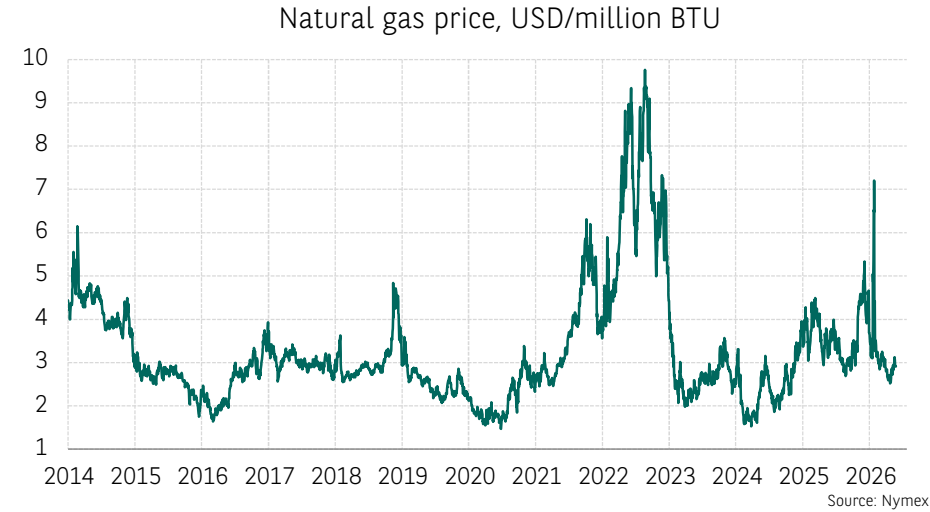
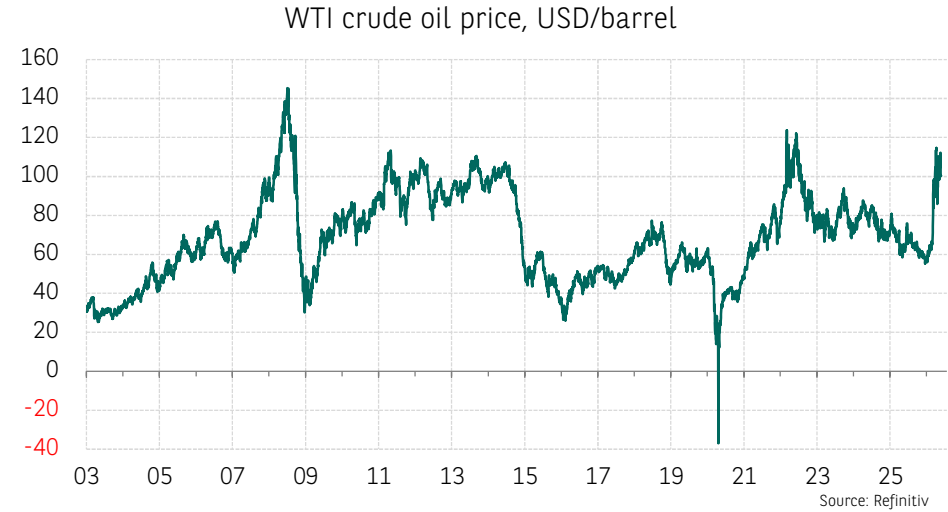
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Commodities:

Commodity prices remain high, but are stabilising.



Commodities



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